

Taxation — Income Tax & GST

CA Intermediate — Short Revision Notes

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Chapter 01 — Basic Concepts of Income Tax

Illustrative rates/limits drawn from recent Finance Acts. Verify exact figures and applicable AY against current ICAI material. Sitting used: PY 2025-26 → AY 2026-27.

Snapshot

- Income tax = progressive, annual, **direct** charge on **total income** of a **person**, earned in the **previous year (PY)**, taxed in the **assessment year (AY)** at the year's rates.
- Legal layers: **Income-tax Act, 1961** (skeleton — definitions, charge, machinery) · **Finance Act** (annual rates) · **Rules, 1962** (procedure) · CBDT circulars (bind dept only) · notifications · case law.
- Pipeline: Person → residential status → income under 5 heads → aggregate + set-off = **Gross Total Income (GTI)** → less Chapter VI-A = **Total Income (TI)** → slab/special rate → +surcharge → -marginal relief → -rebate 87A → +cess → less TDS/advance tax = **Tax Payable**.

Core concepts

- Person [Sec 2(31)] — 7 categories:** Individual, HUF, Company, Firm (incl. LLP), AOP/BOI, Local authority, AJP. AJP is the catch-all so nothing escapes. AOP = any persons (companies can be members); **BOI = individuals only**; two companies joining = **AOP, never BOI**. **LLP taxed as a firm**, not a company. HUF taxed separately from members. Applies "whether or not formed to derive income."
- Assessee [Sec 2(7)] — 3 sub-types:** (1) Ordinary (tax/interest/penalty payable or under proceeding — includes refund-claimant and loss-return filer); (2) Deemed/Representative (legal heir, guardian of minor, agent of NR, trustee); (3) Assessee-in-default (failed to deduct/deposit TDS). Every assessee is a person; not every person is an assessee.
- Income [Sec 2(24)] — inclusive** (not exhaustive), so future cleverness is netted. Includes business profits, dividends, voluntary contributions to trust, perquisites/profits in lieu of salary, capital gains u/s 45, lottery/betting winnings, Keyman insurance, gifts u/s 56(2)(x). Legal or illegal source irrelevant; cash or kind; regular or one-time; received OR accrued.
- Capital vs revenue receipt:** capital receipt taxable **ONLY** if a charging section (e.g. Sec 45) brings it in; revenue receipt taxable **UNLESS** specifically exempted.
- Diversion vs application:** income diverted by **overriding title** *before* it reaches you (charge by will/decreed/statute) = not your income. Income that reaches you then spent on an obligation = application = fully taxable (*CIT v. Sitaldas Tirathdas*).
- Not income / exempt income / taxable income:** exempt (Sec 10, e.g. agricultural income) IS income but freed from tax; "not income" never enters computation.
- GTI [Sec 80B(5)]** = sum of 5 heads after set-off, before Chapter VI-A. **TI [Sec 2(45)]** = GTI – Chapter VI-A. Chapter VI-A deductions can never exceed GTI (cannot create/increase a loss).

Key provisions / rules

Section	Concept	Key point
2(7)	Assessee	Owes tax / under proceeding / deemed / in-default
2(9)	Assessment Year	12 months from 1 April; year of assessment
2(24)	Income	Inclusive definition
2(31)	Person	7 categories
2(45)	Total Income	GTI – Chapter VI-A
3	Previous Year	FY (1 Apr–31 Mar) in which income earned; first PY can be shorter, never longer
4	Charge of tax	FA rates × AY × PY's TI × every person; "subject to provisions of this Act"
5	Scope of TI	Depends on residence (next ch.)
14	5 Heads	Mutually exclusive; residuary last

Section	Concept	Key point
15–17	Salaries	Head 1 (standard deduction)
22–27	House Property	Head 2 (30% std deduction; needs ownership)
28–44	PGBP	Head 3 (net profit basis)
45–55	Capital Gains	Head 4 (special rates, holding period)
56–59	Other Sources	Head 5 (residuary)
87A	Rebate	Resident individual only; not on special-rate income
111A/112/112A	Special-rate CG	Surcharge capped at 15%
115BB	Winnings	Flat 30%; no exemption/deduction/87A
115BAC	New regime	Default ; low rates, few deductions; Form 10-IEA to opt out
172/174/174A/175/176	PY = AY exceptions	Taxpayer/income may vanish
288A / 288B	Rounding TI / tax	Nearest ₹10, once each

Sec 4 (Charge): 4(1) — tax charged for AY on PY's total income of every person at FA rates, "subject to provisions of this Act" (lets deeming/override/exemption sections work). 4(2) — TDS / advance tax (pay-as-you-earn). Sec 4 is the general charging section; Secs 15/22/28/45/56 are head-level charging sections.

PY = AY same-year taxation exceptions — memory hook "Ships Leaving Are Transferring & Discontinuing":

Sec	Situation
172	Non-resident shipping (self-contained; % of freight deemed income)
174	Persons leaving India, likely permanently
174A	AOP/BOI/AJP formed for a particular event, likely to dissolve
175	Person likely to transfer assets to avoid tax
176	Discontinued business

First PY of a new business/source: date of set-up → following 31 March (shorter than 12 months permitted only for first PY).

Slabs — Old regime, resident individual < 60 (illustrative):

Slab	Rate
Up to ₹2,50,000	Nil
₹2,50,001–₹5,00,000	5%
₹5,00,001–₹10,00,000	20%
Above ₹10,00,000	30%

Senior (60–80): exemption ₹3,00,000; super-senior (80+): ₹5,00,000 — **old regime only**.

Slabs — New regime u/s 115BAC (illustrative):

Slab	Rate
Up to ₹4,00,000	Nil
₹4,00,001–₹8,00,000	5%
₹8,00,001–₹12,00,000	10%
₹12,00,001–₹16,00,000	15%
₹16,00,001–₹20,00,000	20%
₹20,00,001–₹24,00,000	25%

Slab	Rate
Above ₹24,00,000	30%

Slabs vs flat: Individual/HUF/AOP-BOI/AJP → slabs + basic exemption. Firm/LLP (flat 30%, no exemption), Company (domestic/foreign vary; 115BAA 22%, 115BAB 15% new mfg), Local authority (30%), Co-op society → flat rate, no basic exemption.

Rebate 87A: resident individual only (not HUF, not firm, not NR). Lower of actual tax on non-special-rate income or statutory cap. Illustrative: old — TI ₹5,00,000 / cap ₹12,500; new — higher TI ceiling ₹12,00,000 with marginal relief on the 87A edge. Not on 115BB winnings.

Surcharge (on tax, individual, illustrative):

TI exceeds	Rate
₹50 lakh	10%
₹1 crore	15%
₹2 crore	25%
₹5 crore	37% (capped lower, e.g. 25%, under new regime)

Surcharge on tax relating to dividends and 111A/112/112A capital gains **capped at 15%** regardless of TI — split the tax and cap the gains portion.

Marginal relief: at every surcharge threshold, extra tax (incl. surcharge) ≤ extra income above the threshold; benchmark against the **immediately-lower** threshold just crossed.

Health & Education Cess: 4% on (income tax + surcharge), after marginal relief and rebate, always last.

Regime opt-out: No business income → choose old/new every year in the return. Business/professional income → Form 10-IEA by due date u/s 139(1) to opt out; may switch back to new **once only** (one-way ratchet).

Rounding: TI rounded to nearest ₹10 [288A]; final tax to nearest ₹10 [288B]; once each, not intermediate steps.

Worked mini-example

Mr. C, resident individual, 45, PY 2025-26, TI ₹51,00,000 (all normal income, old regime). Surcharge 10% above ₹50 lakh; cess 4%.

Tax on ₹51,00,000: Nil + 12,500 + 1,00,000 + (30% × 41,00,000 = 12,30,000) = **₹13,42,500** Surcharge 10% × 13,42,500 = ₹1,34,250 → Tax + SC = **₹14,76,750**

Marginal relief test — tax on exactly ₹50,00,000 = 12,500 + 1,00,000 + (30% × 40,00,000) = **₹13,12,500** (no surcharge).

- Extra income = ₹1,00,000; extra tax = 14,76,750 – 13,12,500 = ₹1,64,250 > ₹1,00,000 → relief applies.
- Relief = 1,64,250 – 1,00,000 = ₹64,250 → surcharge after relief = 1,34,250 – 64,250 = ₹70,000.

Tax + surcharge = 13,42,500 + 70,000 = 14,12,500 → cess 4% = 56,500 → **Tax payable = ₹14,69,000**. Check: 14,12,500 – 13,12,500 = exactly ₹1,00,000 = the extra income. ✓

Exam traps & must-remember

1. **Higher slab taxes only the slice** in that slab, never the whole income.
2. **87A never reduces tax on 115BB winnings** or (generally) special-rate capital gains.
3. **Cess = on (tax + surcharge)**, computed LAST — after marginal relief and rebate.
4. **Marginal relief only reduces** surcharge; benchmark against the immediately-lower threshold.
5. **Default regime is NEW (115BAC)**. If question is silent, use new. Business opt-out gets one switch back.
6. **Person leaving India permanently → Sec 174** same-year assessment (not next-year).

7. **Diversion (before it reaches you, overriding title) = not income; application = taxable.**
8. **Illegal income is taxable** (smuggling, bribes).
9. **HUF/AOP taxed as separate persons**, not the karta/members.
10. **Senior/super-senior higher exemption = OLD regime only** (new regime exemption uniform).
11. **Refund-claimant / loss-return filer IS an assessee.**
12. **Two companies joining = AOP (never BOI); LLP taxed as a firm.**
13. **Basic-exemption adjustment against special-rate gains = resident only, never against 115BB winnings.** NR cannot shelter LTCG with unused exemption.
14. **First PY can be shorter than 12 months, never longer.**
15. **Firms/companies: no slabs, no basic exemption** — applying individual slabs is a structural error.
16. **Capital receipt taxable only if a charging section catches it; revenue receipt taxable unless exempted.**
17. **Special-rate income shown/taxed separately** from slab income; round TI and tax once each.

One-line recall

- **Persons (7):** Individual, HUF, Company, Firm/LLP, AOP/BOI, Local authority, AJP — humans → families → companies → firms → groups → govt bodies → everything else.
- **Heads (5):** She Has Big Capital Outflows — Salaries(15-17), House Property(22-27), PGBP(28-44), Capital Gains(45-55), Other Sources(56-59, residuary).
- **Same-year tax:** Ships(172) Leaving(174) Associations-for-event(174A) Transferring(175) Discontinuing(176).
- **Stacking:** Slab/special rate → +Surcharge (15% cap on gains/dividends) → -Marginal relief → -87A rebate → +4% Cess → -TDS/advance tax = Tax payable.
- **Sec 4:** FA rates × AY × PY's total income × every person, "subject to the provisions of this Act."
- **Regime:** New (115BAC, default, low rates/few deductions) vs Old (high rates/many deductions) → compute both, choose lower.

Chapter 02 — Residential Status & Scope of Total Income

Snapshot

- Residential status is the **first substantive gate** in the computation pipeline: person [Ch.1] → previous year [Ch.1] → **residential status [Sec 6]** → scope of total income [Sec 5] → five heads → deductions/set-off → rates.
- It decides the **SCOPE** (which income basket is taxable), **NOT the rate**.
- Based on **physical presence (day-count)**, not citizenship, domicile, or nationality.
- Tested **afresh every previous year** — no "once resident, always resident".
- Three individual labels: **NR, ROR, RNOR**. RNOR reached by **four routes**.
- Governing sections: **6** (who you are), **5** (what is caught), **7 & 9** (deeming — no escape).
- Illustrations use **PY 2025-26**. Verify ₹15,00,000 threshold, 120-day figure, POEM turnover threshold, and day-count convention against current ICAI material.

Core concepts

- Economic allegiance / nexus** drives residence. Two nexuses: **source nexus** (income arose here → catches everyone) and **residence nexus** (person lives here → extra reach onto global income, residents only).
- Sec 5 design**: everyone pays on India-source income; **residents additionally** pay on foreign income.
- Residence ≠ domicile ≠ nationality/citizenship**. An Indian citizen/domiciliary can be NR for a given PY.
- Accrue/arise ≠ receive** — separate events. *Accrual* = right to receive arises; *receipt* = money comes to hand. Sec 5 catches income if **either** event is (or is deemed) in India.
- "Received" = first receipt**. Salary first received in India then remitted abroad = received in India. **Remittance to India of income already received abroad is NOT "received in India"**. Past-year foreign income brought into India later = **not taxable for anyone**.
- RNOR = soft-landing** transitional status for returning NRIs: shields **passive** foreign income but not foreign income from a business controlled from India.
- Statuses with no ROR/RNOR split: **firm/AOP and company** (only Resident or NR). RNOR exists **only for individuals & HUFs**.

Key provisions / rules

Statutory map

Section	Deals with
Sec 6	How residential status is determined (individual, HUF, firm, company)
Sec 5	Scope of total income for each status
Sec 7	Income deemed to be <i>received</i> in India
Sec 9	Income deemed to <i>accrue or arise</i> in India

Hook: "6 = WHO, 5 = WHAT, 7 & 9 = no escape."

Individual — Step 1: Basic conditions [Sec 6(1)] — Resident if satisfies at least ONE

Limb	Condition
(a)	In India ≥ 182 days during the PY
(b)	In India ≥ 60 days in PY AND ≥ 365 days in the 4 immediately preceding years (BOTH limbs cumulative)

Fails both → **Non-Resident (NR)**. Always name **which limb** was used.

Relaxations to condition (b) — 60 replaced by 182 [Explanation 1 to Sec 6(1)]

Case	Rule
Indian citizen leaving India during PY for employment abroad (or crew of Indian ship)	60 → 182 (only limb (a) can make resident)

Case	Rule
Indian citizen or PIO outside India coming on a visit to India during PY	60 → 182
Visitor (citizen/PIO) whose total income other than foreign-source > ₹15,00,000	60 → 120 (not 182) [Expl. 1(b) proviso]

- **"For employment"** read widely — includes leaving to start/carry on a business/profession/vocation abroad. **Excludes** leaving for holiday, medical treatment, or study.
- Employment relaxation applies **only in the year of leaving**; later years use the visitor relaxation.
- **PIO**: he, or either parent, or any grandparent, was **born in undivided India** (pre-Partition India, incl. present Pakistan/Bangladesh).

Deemed resident [Sec 6(1A)] — ALL four preconditions must hold

1. Person is an **Indian citizen** (PIO **not** covered).
2. **Total income other than foreign-source income** > ₹15,00,000.
3. **Not liable to tax in any other country** by reason of domicile/residence ("liable to tax" = the *right* to tax exists, not that tax was paid).
4. **Fallback only** — applies only if NR under ordinary 6(1). Test 6(1) first.

Such a deemed resident is always classified **RNOR**.

Step 2: Additional conditions [Sec 6(6)] — ROR needs BOTH; fail either → RNOR

Condition	Test	Unit
(i)	Resident in ≥ 2 of the 10 immediately preceding PYs	resident- years
(ii)	In India ≥ 730 days in the 7 immediately preceding PYs	actual days

Windows differ: **10 years** for (i), **7 years** for (ii). Do not swap.

Four routes into RNOR: (1) fail additional (i); (2) fail additional (ii); (3) 120-day high-income visitor who becomes resident; (4) Sec 6(1A) deemed resident.

Non-individual persons

Person	Resident if...	ROR/RNOR split?
HUF [6(2)]	control & management wholly or partly in India ; ROR/RNOR by testing karta on 6(6) additional conditions	Yes
Firm / AOP [6(2),6(4)]	control & management wholly or partly in India	No
Company [6(3)]	Indian company (always resident) OR POEM in India	No

- NR only if control & management is **wholly outside** India (low bar to be caught, high bar to escape).
- "Control and management" = the **head-and-brain** (where policy decisions taken, *De Beers* principle), not day-to-day operations.
- **POEM** = place where key management & commercial decisions for the business as a whole are **in substance** made (substance-over-form). Company POEM not triggered merely by some Indian shareholders/directors/support office. De-minimis turnover relief (verify figure).

Scope of total income [Sec 5]

Type of income	ROR	RNOR	NR
Received / deemed received in India	✓	✓	✓
Accrues / deemed to accrue in India	✓	✓	✓
Foreign income (accrues and received outside India) from business controlled from / profession set up in India	✓	✓	✗
Any other (passive) foreign income	✓	✗	✗

Two-question reduction: (1) India-connected? → taxable for all, stop. (2) If foreign: from a business controlled from India/profession set up in India? Yes → ROR & RNOR; No (passive) → ROR only.

Sec 9 — income deemed to accrue or arise in India

Sec 9(1)	Item
(i)	Income from business connection , property/asset/source in India, or transfer of a capital asset situate in India (incl. indirect transfer of shares deriving substantial value from Indian assets). Only income attributable to Indian operations is caught.
(ii)	Salary for services rendered in India (even if paid abroad)
(iii)	Salary paid by Govt of India to an Indian citizen for services outside India
(iv)/(v)	Dividend by Indian company; Interest by Govt / resident / NR (funds used for business in India)
(vi)/(vii)	Royalty & FTS by Govt / resident / NR (used for business in India)

Source rule for interest/royalty/FTS: Indian-source if **payer is resident**, *except* where used for a business/source **outside** India; a non-resident payer creates Indian-source income if the borrowing/IP/service is used for a business **in** India. Test = **where the money/IP/service is put to work**.

Sec 7 — deemed received: excess employer contribution to RPF, interest credited to RPF beyond notified rate, transferred balance. Deemed received in India → taxable for **all three statuses**.

Worked mini-example

Ms. Chandni — Indian citizen, NR for 20 years in USA, returned permanently **1 April 2025**, present entire **PY 2025-26 (365 days)**.

Step 1 (basic): $365 \geq 182 \rightarrow$ **RESIDENT**. **Step 2 (additional):** (i) resident in ≥ 2 of last 10 PYs? NR all 10 years → **fails** → **RNOR**.

#	Income	Nature	Taxable (RNOR)?	₹
1	Consultancy salary, services + received in India	India-source	✓	18,00,000
2	Bengaluru rent, received in India	India-source	✓	3,00,000
3	US bank interest (accrues + received USA)	Passive foreign	✗	—
4	Business received in USA but controlled from India	India-controlled foreign business	✓	6,00,000
5	US dividend, received in USA	Passive foreign	✗	—
	Total taxable in India			27,00,000

Same facts: **ROR** = ₹32,00,000 (all 5); **NR** = ₹21,00,000 (items 1,2 only). ₹5,00,000 swing from status alone.

Exam traps & must-remember

- Citizenship ≠ residence.** Foreign citizen present 182+ days = resident; Indian citizen abroad can be NR.
- "Received" vs "remitted".** Foreign income remitted to India stays foreign; past-year foreign income brought in later = never taxable.
- Forgetting the relaxation.** 60-day limb inoperative (→182, or 120 if visitor's non-foreign income > ₹15L) for citizen leaving for employment / citizen-PIO visiting.
- RNOR business exception** — foreign income from business **controlled from India** IS taxable for RNOR. Deciding word = location of **control**, not operations/receipt.
- Day counting** — both **arrival and departure days count** as in-India days. Count only days **within the PY** (1 Apr–31 Mar) when a stay straddles 31 March. Leap-year PY: 182 still governs (366 days available; don't adjust threshold).
- "2 of 10" counts RESIDENT-years, not days.** (i) uses 10-year window; (ii) uses 7-year/730-day. Never swap.
- HUF/firm/company use CONTROL, not days.** Indian company is **always resident** regardless of POEM.

8. **RNOR exists only for individuals & HUFs.** Firm/AOP/company = Resident or NR only.
9. **Sec 6(1A)** — Indian **citizens only** (not PIO), non-foreign income > ₹15L, not liable to tax anywhere → **RNOR**; fallback used only if NR under 6(1).
10. **Govt salary to citizen abroad** [9(1)(iii)] taxable even for NR (Indian source). Non-Govt employer paying NR for services abroad = foreign income, not taxable.
11. **120-day rule vs 6(1A)** — 120-day = high-income **visitor** (citizen OR PIO) who **actually crosses 120 days**; 6(1A) = high-income **citizen** deemed resident regardless of days, only when tax-resident nowhere.
12. **"Business connection" ≠ whole global profit** — only India-attributable part deemed to arise here.
13. **HUF two layers:** Layer 1 = family's **control** (Resident/NR); Layer 2 = **karta's** personal additional conditions (ROR/RNOR).
14. **Don't assume a returning NRI is auto-RNOR** — may be ROR immediately if prior visits satisfy 2/10 and 730/7. Always check the numbers.
15. Determine status **first, completely**, then apply scope; quote the section beside each conclusion; state the reason for each income item.

One-line recall

- **Basic:** ≥182 days in PY **OR** (≥60 in PY **AND** ≥365 in prior 4 yrs); relaxations lift 60→182 (or →120 if visitor non-foreign income > ₹15L).
- **Additional (ROR needs both):** resident in ≥2 of last 10 PYs **AND** ≥730 days in last 7 PYs; fail either → RNOR.
- **Scope:** India income → taxed for all; India-controlled foreign business → ROR + RNOR; passive foreign → ROR only.
- **Sec 6(1A):** Indian citizen + non-foreign income > ₹15,00,000 + not liable to tax anywhere → deemed RNOR (fallback).
- **Non-individuals:** HUF/firm/AOP resident if control wholly/partly in India; company resident if Indian company OR POEM in India; RNOR split only for individuals & HUFs.
- Hooks: "6=WHO, 5=WHAT, 7&9=no escape" · "182 half-year; 60+365 a habit; 2/10 & 730/7 history for ROR."

Chapter 03 — Income under the Head "Salaries"

Sections 15–17 of the Income-tax Act, 1961. Verify every rate/limit against current ICAI Study Material for your AY.

Snapshot

- Head "Salaries" taxes the **total employment reward** flowing from an employer–employee (master–servant) relationship, in every form: cash, allowance, kind (perquisite), profits in lieu, deferred (retirement).
- Charge (Sec 15): **earlier of due or receipt**, taxed **once only** (proviso bars double tax).
- Definition (Sec 17(1)): **inclusive** ("includes") → nothing escapes by relabelling.
- Taxed near **gross receipts**, not profit → only Sec 16 deductions allowed.
- **Regime split (115BAC)**: new regime = lower slabs but most exemptions/deductions withdrawn. **Fix the regime first.**

Core concepts

- **Relationship, not label, is the trigger.** Same rupee sits in a different head depending on control/supervision.
- **Due-or-receipt (Sec 15)**: blocks defer (taxed on due), advance (taxed on receipt), and double-count (proviso). "Due" = legally enforceable entitlement, not "morally earned."
- **Bonus** usually taxed on **receipt** (no due date till declared); **contractual commission** accrues on its fixed due date.
- **Sec 89(1)**: re-spreads bunched arrears/advance to earlier years' rates — changes the *tax*, not the *head/year*. Often not available in new regime (verify).
- **Allowances**: "spare the cost, tax the surplus."
- **Retirement benefits**: exempt = **least of** (actual / statutory cap / formula) — two-jawed anti-abuse (never > actual, never > objective ceiling).
- **"Salary" means different bases** for HRA, RFA, gratuity, PF — read each.

Key provisions / rules

Boundary cases (correct head)

Receipt	Head
Whole-time director remuneration	Salaries
Non-executive director sitting fee/commission	Other Sources
Partner's remuneration from firm	PGBP
MP / MLA salary & allowances	Other Sources
Family pension (widow/heir)	Other Sources (Sec 57 std deduction ⅓ or ₹15,000, lower)

Employee's own pension = Salary; family pension = Other Sources.

Sections at a glance

Section	Governs
15	Charge — due or receipt, whichever earlier, once only (3 limbs: due; advance; arrears)
16(ia)	Standard deduction (flat; capped at figure or salary, lower)
16(ii)	Entertainment allowance — govt employees only
16(iii)	Professional tax — deductible on payment
17(1)	Definition of salary (inclusive) — "WAGP-F-PL"
17(2)	Perquisites, valued by Rule 3 — "HALE-CG"
17(3)	Profits in lieu of salary

Section	Governs
10(5)	LTC — exempt within limits
10(10)	Gratuity
10(10A)	Commuted pension
10(10AA)	Leave encashment
10(10B)/(10C)	Retrenchment / VRS
10(13A)	HRA (with Rule 2A)
10(14)	Special allowances
89(1)	Relief for arrears/advance
115BAC	New regime

Allowances (Sec 10)

Type	Rule
Fully taxable	DA, city compensatory, overtime, servant, warden, non-practising
10(14)(i) spend-to-save	Exempt = actual amount spent (capped at received); tour/travel, daily, conveyance, uniform, helper, research
10(14)(ii) flat caps	Children Education ₹100/child/month (max 2); Hostel ₹300/child/month (max 2); disabled transport; border/tribal
HRA 10(13A)	Least of three
Fully exempt	HC/SC judges, UN employees

Trap: CEA *allowance* (₹100, cash) ≠ free-school *perquisite* (Rule 3, ₹1,000/month/child). Plain transport allowance now generally taxable (subsumed into std deduction), except higher exemption for blind/deaf-dumb/orthopaedically disabled.

HRA (10(13A)) — exempt = LEAST of

1. Actual HRA received
2. Rent paid – 10% of salary
3. 50% of salary (metro) / 40% (non-metro)

Salary = Basic + DA (if enters retirement benefits) + commission as fixed % of turnover. **No rent → limb 2 = 0 → HRA fully taxable.** Metros = **Delhi, Mumbai, Kolkata, Chennai only** (Bengaluru/Hyderabad/Pune = 40%). Compute **period-wise** on any mid-year change. No HRA → **Sec 80GG** (least of ₹5,000/month, 25% of total income, or rent – 10% of total income); cannot claim both.

Perquisites (Sec 17(2), Rule 3)

- **Specified employee** (Sec 17(2)(iii)) if ANY: (1) director; (2) >20% voting power; (3) monetary salary (all employers, after Sec 16, excl. non-monetary perks) > ₹50,000. Gates 1 & 2 have no floor.
- **Employer discharging employee's own liability (17(2)(iv))** — taxable to **ALL** (e.g., employee's income tax, own club bill, child's fee billed to employee). Facility employer contracts for = often specified-only.
- **Exempt perks:** telephone/mobile; employer PF/superannuation within limits; free refreshments; club/laptop use; medical within limits; goods at trade price; interest-free loan ≤ small ceiling or for specified medical treatment; LTC within 10(5).

Perk	Rule 3 value
Rent-free/concessional accommodation	% of salary (govt vs non-govt, population slab) – rent recovered; if leased = lower of lease rent or %; furnished = +10% p.a. of furniture cost (or hire). Salary = Basic + DA(retirement) + bonus + commission + all taxable allowances + monetary payment; excludes perks & employer PF
Motor car	By owner / cost-bearer / engine cc (≤1.6L vs >1.6L). Wholly official + logbook = Nil
Interest-free/concessional loan	SBI rate (1st day of FY) × max monthly outstanding – interest recovered. Exempt if loan ≤ ₹20,000 or for specified-disease medical treatment

Perk	Rule 3 value
ESOP/sweat equity	FMV on exercise – price paid (FMV becomes cost for future CG)

Profits in lieu (Sec 17(3))

Terminal compensation, unrecognised PF (employer share + interest), keyman insurance, amounts before joining / after leaving. **Sec 10(10B)** retrenchment = least of (actual / ID Act amount / notified ceiling). **Sec 10(10C)** VRS exempt up to ceiling (commonly ₹5,00,000); claiming it **bars Sec 89(1)** on same amount.

Section 16 deductions

Sec	Deduction
16(ia)	Standard deduction — flat, one per aggregate salary (not per employer)
16(ii)	Entertainment allowance — govt only : least of (actual / ₹5,000 / 20% of basic); added first, then deducted
16(iii)	Professional tax — actually paid; employer-paid PT = added as perquisite then deducted (not a perfect wash)

New regime: std deduction generally survives; 16(ii)/16(iii) generally not (verify).

Retirement benefits

Gratuity (10(10)): Govt = fully exempt.

	Act-covered	Non-Act
Formula limb	$15/26 \times \text{last-drawn salary} \times \text{years}$ (>6m rounds up)	$\frac{1}{2} \times \text{avg last 10 months salary} \times \text{completed years}$ (ignore part-year)
"Salary"	Basic + full DA	Basic + DA-in-retirement + turnover commission
Also least of: actual; statutory ceiling (₹20,00,000, shared across lifetime).		

Pension (10(10A)): Uncommuted = fully taxable. Commuted: Govt = full exempt; others = $\frac{1}{3}$ of full value (if gratuity also received) or $\frac{1}{2}$ (if not). Gross up partial commutation (full value = amount $\div$ % commuted) first.

Leave encashment (10(10AA)): During service = fully taxable. Govt retiree = fully exempt. Others = least of: actual / notified ceiling / 10-month avg salary / cash equiv (**max 30 days per completed year** $\times$ avg 10-month salary). Ceiling is lifetime aggregate.

Provident Fund:

Fund	Employer contrib	Interest	Lump sum
SPF	Exempt	Exempt	Fully exempt
RPF	Exempt $\leq$ 12% of salary (excess taxable)	Exempt $\leq$ notified rate	Exempt if $\geq$ 5 yrs service
URPF	Not taxed yearly	Not taxed yearly	4-bucket split
PPF	Self	Exempt	Fully exempt

Modern aggregate caps: employer's RPF+NPS+superannuation $>$ **₹7,50,000/yr** = taxable perquisite (17(2)(vii)); accretion on excess taxable (17(2)(viii)). Interest on employee's **own** RPF contribution $>$ **₹2,50,000/yr** (₹5,00,000 if no employer contribution) = taxable. Employee's own RPF contribution $\rightarrow$ **Sec 80C**. URPF payout split: own contribution (nil) / interest on own (Other Sources) / employer share + its interest (Salary, profit in lieu).

Worked mini-example

Ms A, Mumbai (metro). Basic ₹40,000/m, DA ₹10,000/m (enters retirement), HRA ₹18,000/m, rent ₹22,000/m.

- Salary for HRA = $(40,000 + 10,000) \times 12 = ₹6,00,000$

- HRA received = ₹2,16,000; Rent = ₹2,64,000
- Limb 1 (actual) = ₹2,16,000
- Limb 2 (rent – 10% salary) = 2,64,000 – 60,000 = ₹2,04,000
- Limb 3 (50% metro) = ₹3,00,000
- Exempt = least = ₹2,04,000 → Taxable HRA = 2,16,000 – 2,04,000 = ₹12,000

Exam traps & must-remember

1. **HRA, no rent → exemption NIL** (limb 2 = 0). The classic trap.
2. **"Salary" is not one number** — HRA vs Act-gratuity (last-drawn + full DA) vs non-Act gratuity (10-month avg) vs RFA — all different bases.
3. **DA "enters retirement benefits" or not** — decides inclusion in HRA/PF/gratuity base. Problem always states it.
4. **Advance salary taxed on receipt; loan against salary not.** Advance already taxed ≠ re-taxed on due (proviso). Advance ≠ arrears.
5. **Uncommuted pension fully taxable**; only commuted gets ⅓/½. Gross up partial commutation.
6. **Gratuity part-year**: Act rounds >6 months up; non-Act ignores part-year.
7. **Employee's own PF = 80C, not a salary deduction.** Employer's excess (>12% or >₹7.5L) IS added.
8. **Entertainment allowance = govt only**, added first then capped (least of ₹5,000 / 20% basic / actual). Private = nil.
9. **Employer-paid professional tax**: add as perquisite, then deduct 16(iii); deduct only on payment.
10. **Specified employee** — car/servant perks taxable if director / >20% shareholder / monetary salary > ₹50,000.
11. **Regime mismatch** — don't apply old-regime HRA under new regime.
12. **Family pension = Other Sources (Sec 57)**, not Salary/Sec 16.
13. **"Tax-free" salary must be grossed up** — employer-borne tax is itself a perquisite.
14. **Period-wise HRA** on any mid-year change; don't annualise.
15. **RFA "salary" excludes perks & employer PF** but includes taxable allowances — a third distinct base.
16. **Foregone/surrendered salary still taxable** (unless surrendered to Central Govt under the specific Act).
17. **80CCD(2)** (employer NPS) survives under new regime; **89(1)** relief generally does not on certain items.

One-line recall

- Sec 15: earlier of due or receipt, once only; Sec 89(1) softens rate, not year.
- HRA = least of (actual / rent – 10% salary / 50% metro–40% non-metro); no rent = nil.
- Metros for HRA = Delhi, Mumbai, Kolkata, Chennai only.
- Specified employee gate 3 = monetary salary > ₹50,000; gates 1 & 2 (director / >20%) have no floor.
- Gratuity ceiling ₹20,00,000; VRS ₹5,00,000; RPF employer exempt ≤12%; aggregate cap ₹7.5L; own-interest cap ₹2.5L.
- Commuted pension: ⅓ if gratuity received, ½ if not; uncommuted fully taxable.

Chapter 04 — Income from House Property

Snapshot

Head taxes the **inherent earning capacity (Annual Value)** of buildings owned by the assessee and NOT used in his own business/profession — not merely cash rent received. Softened by NIL value for self-occupied homes and a flat 30% deduction. Charging Sec 22; computation Secs 23–27; only two deductions (Sec 24). Verify all rates/limits against current ICAI material for your AY.

Core concepts

- **Charge = Annual Value** (notional), benchmarked against market rent — so a below-market "sweetheart" rent is still taxed on the higher Expected Rent.
- **B-O-N gate (Sec 22)**: all three must hold — **B**uilding (or land appurtenant), **O**wner, **N**ot used for own business/profession whose profits are taxable. Fail one → income leaves this head.
- Rent from **bare land / open plot / parking / swimming pool** (no building) → **Income from Other Sources**. Building includes shops, offices, godowns, factory sheds, cinema halls, auditoriums.
- Ownership of the **building** triggers charge even if land belongs to another. Foreign property rent taxable for a **Resident & Ordinarily Resident (ROR)**; non-resident only Indian-situated property.
- **Two regimes**: Self-Occupied (SOP, AV = NIL) vs Let-Out (LOP, AV = GAV). Extra houses beyond limit = **Deemed Let Out (DLO)**.
- Computation ladder: **GAV** → (– **municipal tax paid**) → **NAV** → (– **30% of NAV**) → (– **interest 24b**) → **Income/Loss**.

Key provisions / rules

Sections at a glance

Section	What it does
22	Charging section — AV of owned buildings not used in own business
23(1)	Compute GAV (ER vs AR, vacancy)
23(2)	Self-occupied → AV NIL; 23(2)(b): home vacant due to employment elsewhere still NIL
23(4)	More than two houses → extras Deemed Let Out
23(5)	Stock-in-trade flats — AV NIL for a specified period from end of FY of completion certificate
24(a)	Standard deduction 30% of NAV
24(b)	Interest on borrowed capital (incl. pre-construction in 5 instalments)
25A	Unrealised rent / arrears recovered — taxable, 30% deduction
26	Co-owners with definite shares taxed separately
27	Deemed owner (substance over paper title)

Limits & rules (verify for your AY)

Item	Rule / Limit
Standard deduction 24(a)	30% of NAV (flat, regardless of actual spend)
Interest 24(b) — let-out	No ceiling (full interest); loss possible
Interest 24(b) — SOP, acquisition/construction loan (completed in prescribed period)	Ceiling ₹2,00,000 (aggregate across ≤2 SOP houses)
Interest 24(b) — SOP, other cases (e.g. repair loan / conditions not met)	Ceiling ₹30,000
Pre-construction interest	Accumulate from date of borrowing to 31 March before completion; deduct in 5 equal annual instalments from completion year

Item	Rule / Limit
Municipal taxes	Deductible only if actually PAID by owner in the year (year of payment governs; tenant-paid not deductible)
No. of self-occupied houses	Up to 2 (individual/HUF); extras = DLO; assessee chooses which
HP loss set-off	Against other heads up to ₹2,00,000 per year
Carry forward of HP loss	8 assessment years (vs HP income only thereafter)
Principal repayment	Sec 80C (Chapter VI-A), NOT Sec 24
Unrealised rent exclusion	Only if Rule 4 conditions met

Deemed owners (Sec 27)

Transfer to **spouse** (not for adequate consideration / not under agreement to live apart) or to **minor child** (not a married daughter); holder of an **impartible estate**; member of **co-op society/company/AOP** allotted a building; buyer under **power of attorney / Sec 53A part-performance**; lessee holding a **lease ≥ 12 years** (excludes month-to-month or ≤1-year leases). **Escapes deeming**: married daughter; transfer to spouse under agreement to live apart; transfer for adequate consideration.

GAV logic (Sec 23)

- **ER (Expected Rent)** = higher of (Municipal Value, Fair Rent), **capped at Standard Rent** (if Rent Control applies).
- **AR** = (rent p.m. × months let) – unrealised rent (if Rule 4 met).
- **No vacancy** → GAV = higher of (ER, AR).
- **Vacancy that pulled AR below ER** → GAV = vacancy-adjusted actual rent (not taxed on genuinely empty months).
- MV/FR/SR given for full year are NOT pro-rated for vacancy; only actual rent is time-apportioned.
- Single house part-let/part-self-occupied over the year → treated as **let-out for whole year**; no SOP NIL benefit for residence months.

Rule 4 conditions for excluding unrealised rent (all required)

1. Tenancy bona fide; 2. Defaulting tenant vacated / steps taken to make him vacate; 3. Tenant not occupying any other property of assessee; 4. All reasonable steps taken for legal recovery (or AO satisfied proceedings useless).

Interest 24(b) finer points

Interest allowed on **accrual (payable)** basis. Interest on a fresh loan to repay the original acquisition/construction loan IS deductible. NOT deductible: "interest on interest" (penal), brokerage/processing commission, interest where borrowing diverted to non-property use.

Pre-construction interest

Period = date of borrowing to 31 March immediately preceding year of completion/acquisition (or loan repayment date if earlier). Total ÷ 5 = equal instalments from the completion year onward. Completion-year's own interest is **current**, never pre-construction. For SOP, current + pre-con instalment together fit inside the ₹2,00,000 / ₹30,000 ceiling; for LOP both flow in fully.

Special situations

Situation	Treatment
Unrealised rent recovered later (25A)	Taxable in year of recovery, even if property sold; 30% deduction allowed
Arrears of rent (25A)	Taxable on receipt; 30% deduction
Co-owners with definite shares (26)	Each taxed on share; each gets own SOP benefit & ceiling; indefinite shares → assessed as AOP
Composite rent — separable	Building → HP; amenities/plant → Other Sources/Business
Composite rent — inseparable	Whole → Business/Other Sources; building never enters HP

Situation	Treatment
Part let / part self-occupied (physically divided)	Compute each portion separately; apportion MV/FR/SR/taxes/interest by area
Builder's stock-in-trade flats (23(5))	AV NIL for specified period from end of FY of completion certificate

Worked mini-example

Let-out house, whole year at ₹25,000/month. MV ₹2,40,000; FR ₹2,80,000; no Rent Control. Municipal taxes ₹30,000 paid by owner. Loan interest ₹1,50,000.

- ER = higher of (₹2,40,000, ₹2,80,000) = ₹2,80,000 (no SR cap).
- AR = ₹25,000 × 12 = ₹3,00,000; no vacancy.
- GAV = higher of (₹2,80,000, ₹3,00,000) = ₹3,00,000.

Particulars	₹
Gross Annual Value	3,00,000
Less: Municipal taxes paid	(30,000)
Net Annual Value	2,70,000
Less: Standard deduction @ 30% of NAV [24(a)]	(81,000)
Less: Interest [24(b)]	(1,50,000)
Income from House Property	39,000

Exam traps & must-remember

1. **Municipal tax = "paid," interest = "payable."** Only tax actually paid by owner deducts (tenant-paid or merely due gets nothing; arrears paid this year for an earlier year ARE deductible). Reversing the paid/payable basis is the commonest slip.
2. **Standard deduction is 30% of NAV** — not GAV, not rent. It swallows insurance, ground rent, collection charges, land revenue, repairs, painting — these are distractors, never deduct again.
3. **Bare land / open parking / pool rent → Other Sources**, not HP (no building).
4. **Vacancy vs unrealised rent differ:** unrealised rent reduces AR *before* the ER-vs-AR comparison (Rule 4); genuine vacancy pulls GAV down *after* it.
5. **SOP:** 30% deduction and municipal taxes give NIL benefit (NAV already nil). Interest ceiling (₹2,00,000 / ₹30,000) is **aggregate across up to two SOP houses**, and excess over ceiling is **lost, not carried forward**.
6. **Pre-construction interest** starts from the completion year (not borrowing year); cut-off is 31 March *before* completion; each instalment = 1/5 of the accumulated pre-con interest.
7. **80C (principal) ≠ 24(b) (interest).** Brokerage/processing fee is neither.
8. **DLO (3rd+ house)** taxed on Expected Rent though earning nothing; assessee chooses which up-to-two are SOP — shield the highest ERs.
9. **Married daughter / agreement to live apart / adequate consideration** each defeat Sec 27 deeming.
10. **Co-owners:** definite shares → assessed separately (two ceilings); indefinite → AOP (concessions lost).
11. **Unrealised/arrears recovered later** taxable on receipt with 30% deduction, even if property since sold.
12. **Foreign property of an ROR** is taxable here — don't drop the "London flat."
13. **Sec 115BAC (default/concessional regime):** SOP interest deduction and set-off of HP loss against other heads are curtailed — verify for your AY.

One-line recall

- **B-O-N** — Building, Owner, Not-own-business (the three Sec 22 gates).
- **"24 = a + b = 30% + interest"** — the only two deductions; 30% is of NAV.
- **"Tax paid, interest payable"** — municipal tax on payment, interest on accrual.
- **"Pre-con = 5 slices from completion year."**

- **"NIL roof, capped interest, excess lost"** — the self-occupied regime (up to 2 houses, ₹2,00,000 / ₹30,000 ceilings).
- **"Higher for cheap rent, lower for genuine vacancy"** — the two GAV branches; HP loss set-off capped at ₹2,00,000, carried forward 8 years.

Chapter 05 — Profits & Gains of Business or Profession (PGBP)

Rates/limits are anchors — confirm exact figures and the applicable Assessment Year in current ICAI material. The source gives no fixed AY.

Snapshot

- Business income is a **net** concept: taxable profit = revenue – revenue expenses wholly & exclusively incurred, computed on the assessee's regular accounting method (Sec 145), subject to statutory overrides.
- Core exam skill: **start from Net Profit as per P&L → add back disallowed/wrongly-reduced items + Sec 41 deemed incomes → deduct income of other heads, exempt income, allowable-but-omitted expenses, and Sec 32 depreciation.**
- Direction test on every item: did it make book profit too low (add back) or too high (deduct)?
- Governing sections: 28–44DB. Rulebook: Sec 29 → compute per Sec 30–43D.

Core concepts

- **Sec 28 (charging):** taxes anything arising from a business/profession — profits, contract-termination compensation, export incentives, benefit/perquisite (in cash or kind), Keyman insurance sums, partner's interest/salary/remuneration from firm (to extent allowed to firm), **non-compete fees**, Sec 35AD asset recoveries. Threshold questions: is there a business? revenue vs capital receipt? did income arise during business or after cessation (→ Sec 176(3A)/41)?
- **Speculation business [Expl 2 to Sec 28]:** transactions settled without delivery = distinct/separate business; **speculation loss set off only against speculation profit, c/f 4 years.** Recognised-exchange derivatives/hedging carved out.
- **Specific overrides general:** if an item is dealt with by Sec 30–36 (even if restricted/disallowed there), you cannot rescue it via Sec 37.
- **Book profit ≠ taxable profit** — reconcile, don't rebuild.

Key provisions / rules

Deduction sections (30–37)

Section	Deduction
30	Rent, rates, taxes, repairs, insurance of buildings (repairs not replacement)
31	Repairs & insurance of plant, machinery, furniture (repairs only)
32	Depreciation on tangible & intangible assets (block/WDV; goodwill excluded)
35	Scientific research (see tiers below)
35AD	100% capital expenditure for specified businesses (no depreciation on such asset)
35D	Preliminary expenses — amortise over 5 years (subject to ceiling % of cost/capital)
35DDA	VRS payments — amortise over 5 years
36	Named list (insurance, PF, bad debts, interest, bonus)
37(1)	Residuary — wholly & exclusively, not capital/personal/illegal
37(2B)	Advertisement in political party publication — disallowed

Sec 35 tiers

Clause	Item	Deduction
35(1)(i)	Revenue in-house research	100%
35(1)(iv) r/w 35(2)	Capital research (not land)	100% in year incurred; pre-commencement capex (within 3 yrs) allowed on commencement

Clause	Item	Deduction
35(1) (ii)/(iia)/(iii)	Contributions to approved research bodies	weighted, now phased to 100% (verify)
35(2AB)	In-house R&D by company (approved facility)	was 150%/200%, now 100% (verify)

Sec 36 key limbs

- (i)/(ib) insurance of stock, employee health (non-cash) / cattle.
- (ii) bonus/commission (not disguised dividend; also 43B).
- (iii) **interest on borrowed capital**; interest to acquire an asset until first put to use must be **capitalised**.
- (iv)/(iva)/(v) employer contribution to RPF/superannuation/NPS/gratuity fund.
- **(va) employee's PF/ESI**: deductible only if credited to fund by **due date under the PF/ESI Act** (not ITR date). Late = **permanently disallowed** (Checkmate Services).
- (vii) **bad debts actually written off** (must have been in income earlier); provision not allowed.
- (viiia) provision for bad debts — banks/FIs only.

Sec 37(1) locks

Not covered by 30–36; not capital; not personal; wholly & exclusively for business; **not for an offence/prohibited by law** (Expl 1; Expl 3 covers foreign-law offences and law-violating freebies); **CSR (Companies Act §135) deemed not for business** (Expl 2 — no Sec 37 deduction; 80G may apply). Penalty (punitive) disallowed; compensatory/liquidated damages allowed.

Disallowances (40, 40A, 43B)

Provision	Rule
40(a)(i)	TDS default on non-resident payment → 100% disallowed
40(a)(ia)	TDS default on specified resident payment → 30% disallowed (restored when TDS paid)
40(a)(ii)	Income-tax (+ cess/surcharge) not deductible
40(a)(iii)	Salary paid outside India / to NR without TDS → disallowed
40(a)(iib)	Certain exclusive state levies on state PSU → disallowed
40(b)	Partner interest ≤ 12% p.a. simple ; remuneration within book-profit slab, working partners only, deed-authorised & quantified. Mirror: amount allowed to firm = partner's Sec 28 income
40(ba)	AOP/BOI payments to members disallowed
40A(2)	Excessive related-party payment → only the excess over FMV disallowed
40A(3)/(3A)	Cash payment > ₹10,000/person/day (₹35,000 transporters) , non-banking mode → entire payment disallowed; 40A(3A) reverses earlier-accrued liability later paid in cash. Exceptions: Rule 6DD
40A(7)/(9)	Unpaid/unapproved gratuity provision; unapproved welfare fund → disallowed

40(b) remuneration slab (verify current): first ₹3,00,000 of book profit (or loss): ₹1,50,000 or 90%, whichever higher; balance: 60%. Book profit = PGBP before partner remuneration but after 40(b) interest.

Sec 43B — "actually paid" (overrides accrual): tax/duty/cess/fee (a); employer PF/ESI/superannuation/gratuity (b); bonus/commission (c); bank/FI/NBFC interest (d)/(da); leave encashment (f); Indian Railways (g); **payment to micro/small enterprise beyond MSMED time limit (h)**. Safety valve: allowed in accrual year if paid by **Sec 139(1) return due date** — **except 43B(h)** which has **no grace** (pay within 15 days / 45 days with written agreement). Converting interest into a fresh loan is **not** payment.

Depreciation (Sec 32 / block)

- Conditions: ownership (incl. beneficial/hire-purchaser/lessee-builder per Expl 1), used for business, in a block with prescribed rate, block subsists with positive WDV.
- **Block [Sec 2(11)]**: same-class same-rate assets pooled. Additions added, sale money deducted; ordinary sale triggers no capital gain while block survives.

- Computation: Opening WDV + cost acquired – money on assets sold = WDV before dep × rate = dep; balance = closing WDV.
- **Half-depreciation:** asset **acquired AND put to use < 180 days** → 50% of rate (year of acquisition only). Bought but not used = **nil** depreciation.
- **Max rate 40%** (buildings 10%, furniture 10%, general P&M 15%; verify schedule).
- **Additional depreciation [32(1)(ia)]:** extra **20%** (10% if <180 days; balance 10% next year) on new P&M by manufacturer/production (and certain power). Not on ships/aircraft, office appliances, second-hand, road transport vehicles, or fully-deducted machinery.
- **Power sector SLM [32(1)(i)]:** may opt SLM per asset → terminal depreciation/balancing charge.
- **Sec 50 (deemed STCG):** (a) block ceases (all sold) → STCG/STCL; (b) sale money > opening WDV + additions → excess is STCG, WDV nil. Always add **all** additions before testing negativity.
- **Unabsorbed depreciation [32(2)]:** c/f **indefinitely**, set off against any head **except salary**, no timely-filing / business-continuation condition.
- **Set-off order:** current depreciation → b/f business loss (8-yr limit) → b/f unabsorbed depreciation (no limit).
- Sec 43(1) actual cost = cost less subsidy/contribution (Explanations adjust for personal-use assets, sale-and-leaseback, inflated second-hand cost).

Presumptive (44AD/ADA/AE)

Section	Who	Presumed income	Limits
44AD	Resident ind/HUF/firm (not LLP), eligible business	8% (cash) / 6% (digital, by due date)	Turnover ≤ ₹2 cr (₹3 cr if cash ≤ 5%)
44ADA	Resident ind/firm (not LLP), specified profession	50% of gross receipts	Receipts ≤ ₹50 L (₹75 L if cash ≤ 5%)
44AE	Owns ≤ 10 goods carriages	Heavy (>12,000 kg): ₹1,000/tonne GVW/month ; other: ₹7,500/vehicle/month	≤10 vehicles at any time

- All Sec 30–38 deductions deemed allowed; **WDV notionally reduced** as if depreciation claimed.
- 44AE: part-month = full month; hire-purchase counts; 11th vehicle even briefly ousts scheme.
- No further 40(b) partner salary/interest deduction (withdrawn FA 2016; verify).
- **44AD 5-year lock-in:** opt out within 5 years → barred 5 AYs + books/audit if income > basic exemption. **44ADA has no lock-in.**
- 44AD advance tax: single instalment by **15 March**.
- Declare lower than presumed only with books + 44AB audit.

Audit / books & Sec 41

- **44AA books:** specified professions if receipts > ~₹1,50,000 (all 3 preceding yrs); others if income > ~₹1,20,000 or turnover > ~₹10,00,000 (verify).
- **44AB tax audit:** business turnover > **₹1 cr** (**₹10 cr** if cash receipts & payments ≤ 5%); profession > **₹50 L**; or presumptive assessee declaring lower & exceeding exemption.
- **Sec 41 clawback (deemed business income, even if business defunct):** 41(1) remission/cessation of trading liability (unilateral write-back counts); 41(2) balancing charge (SLM assets); 41(3) sale of Sec 35 research asset; 41(4) recovery of bad debt (only amount recovered); 41(5) loss of discontinued business set off against 41 income.
- Non-resident presumptive: 44B (shipping 7.5%), 44BB (oil services 10%), 44BBA (aircraft 5%), 44BBB (turnkey power).
- Sec 145A: GST-inclusive (inclusive method) inventory valuation.

Worked mini-example

Firm's Net Profit per P&L ₹12,50,000. Adjust: (1) machinery ₹2,00,000 wrongly charged as repairs → add back; (2) cash payment ₹45,000 (>₹10,000) → **fully** disallowed ₹45,000; (3) GST ₹30,000 unpaid by due date → add ₹30,000 (₹80,000 paid = allowed); (4) bank interest ₹90,000 unpaid → add ₹90,000 [43B]; (5) excess partner salary ₹1,00,000 → add; (6)

commission ₹50,000 no TDS → **30%** = ₹15,000 add; (7) unapproved gratuity provision ₹70,000 → add [40A(7)]; (8) allowable dep ₹45,000 more than book → less ₹45,000.

Total add-backs = 2,00,000 + 45,000 + 30,000 + 90,000 + 1,00,000 + 15,000 + 70,000 = ₹5,50,000. 12,50,000 + 5,50,000 – 45,000 = **PGBP ₹17,55,000.**

Exam traps & must-remember

- **40A(3) is a cliff:** ₹10,001 cash → whole amount gone; aggregate to one person in one day counts.
- **40(a)(ia) = 30% (resident); 40(a)(i) = 100% (non-resident).**
- **43B turns on Sec 139(1) return due date**, not 31 March — except 43B(h) MSE (no grace); interest converted to fresh loan ≠ paid.
- **Employee PF [36(1)(va)] (PF/ESI Act clock, permanently lost if late) ≠ Employer PF [43B] (ITR clock).**
- Income-tax disallowed [40(a)(ii)]; GST/duties are 43B items (allowed if paid).
- Always **reverse book depreciation, substitute Sec 32**; depreciation is **compulsory** (Expl 5).
- "Repairs" that are a new asset → add back, cost re-enters via depreciation.
- 180-day rule needs **acquired AND put to use**; add all additions before testing block negativity.
- **Goodwill no longer depreciable.**
- **40A(2): only excess disallowed; 40A(3): whole disallowed.**
- 40(b): only working partners, deed-authorised & quantified; sleeping partner remuneration fully disallowed.
- Sec 41 survives discontinuance; CSR not a Sec 37 deduction.

One-line recall

- Business income = net; reconcile from book profit — add what lowered it, deduct what raised it.
- Anti-abuse locks: 40A(3) cash trail, 40A(2) related-party excess, 40 TDS chain, 43B pay-or-lose, 36(1)(va) worker's stricter clock.
- Depreciation: block/WDV, half-rate <180 days, max 40%, additional 20%, compulsory; Sec 50 STCG only if block dies/goes negative.
- Presumptive: 44AD 8%/6% (≤₹2cr/₹3cr, 5-yr lock-in), 44ADA 50% (≤₹50L/₹75L, no lock-in), 44AE ₹1,000/tonne or ₹7,500 (≤10 vehicles).
- Carry-forward: business loss 8 yrs, unabsorbed dep indefinite (not salary), speculation loss 4 yrs.
- Sec 41 claws back written-back liabilities & recovered bad debts even after the business closes.

Chapter 06 — Capital Gains

All rates, CII values, holding-period slabs, ceilings, and the very availability of indexation change by Finance Act. Verify every number and the applicable AY against current ICAI material.

Snapshot

- Charge (Sec 45(1)): profits from **transfer** of a **capital asset** are taxed in the **year of transfer** (realisation, not accretion).
- Four gates — must ALL hold: (a) capital asset, (b) transferred, (c) in the previous year, (d) a gain arises. Break one → no capital gain.
- Rationale for a separate head: bunching, inflation (phantom gain), realisation-only, and clean boundary vs PGBP/IFOS.
- Spine: **relief scales with holding period** — short-term = ordinary treatment; long-term = indexation + concessional rate + reinvestment deferral.
- Substance over form both ways: expand charge on disguised cash-outs (2(47), 50C, 50CA); spare disguised non-events (Sec 47).

Core concepts

- **Capital asset — Sec 2(14)**: "property of any kind" (incl. rights: tenancy, route permit, goodwill, booking rights). Excludes (**SPRAG**): Stock-in-trade, Personal effects, Rural agricultural land, Agri (rural), Gold bonds/schemes. Jewellery, art, drawings, paintings, sculptures are NOT personal effects (taxable). Personal-effects test = actual personal use, movable only; a house is immovable → always a capital asset. Agri land **outside India** always a capital asset.
- **Transfer — Sec 2(47)**: sale, exchange, relinquishment, extinguishment of rights, compulsory acquisition, conversion into stock-in-trade, allowing possession under part-performance (Sec 53A TPA). Exchange = each side a transfer, FVC = market value of asset received. Part-performance: possession date (not registration) is the transfer date.
- **Sec 47 (NOT transfer)**: HUF partition; gift/will/irrevocable trust; holding ↔ 100% subsidiary; amalgamation/demerger to Indian company; bond/debenture → shares of same company; firm/proprietorship → company, company → LLP (all "subject to conditions"). Breach → **Sec 47A** claws gain back onto transferor.
- **Holding period (Sec 2(42A)/2(29A))**: acquisition → transfer; "**more than**" threshold (acquisition date in, transfer date out). Bonus/rights shares: period from **date of allotment**. Gift/inheritance/partition: include **previous owner's period**.
- **Step-into-shoes (Sec 49(1))**: cost = cost to last previous owner who actually paid (trace back through gratuitous links); holding period aggregates the chain. Indexation from previous owner's year (case law *Manjula Shah*; ICAI position — verify).

Key provisions / rules

Sec 45 timing sub-charges

Sub-sec	Situation	Timing / rule
45(1A)	Insurance receipt on damage/destruction	Year money/asset received; FVC = value received
45(2)	Conversion into stock-in-trade	Year converted stock sold; FVC = FMV on conversion date
45(3)	Asset introduced into firm/AOP	FVC = amount recorded in firm's books
45(4)	Reconstitution of firm (post-2021)	Taxed in firm's hands (verify mechanics)

Sub-sec	Situation	Timing / rule
45(5)	Compulsory acquisition + enhanced comp.	Initial comp. taxed year first received; enhanced comp. year of receipt, cost of enhancement = nil

Holding-period ladder (LTCA if held MORE than)

Asset	Threshold
Listed equity / equity units / business-trust units	12 months
Unlisted shares, immovable property (land/building)	24 months
Any other asset (gold, debt, etc.)	36 months

Sec 48 computation

- $STCG = FVC - \text{transfer expenditure} - COA - \text{cost of improvement}$.
- $LTCG = FVC - \text{transfer expenditure} - \text{Indexed COA} - \text{Indexed cost of improvement}$.
- $\text{Indexed COA} = COA \times (\text{CII of year of transfer} \div \text{CII of year of acquisition, or 2001-02 if earlier})$. Improvement indexed from year incurred. **CII base year 2001-02 = 100**.
- FVC overrides: **Sec 50C** (immovable sold below stamp value beyond tolerance band → stamp value); **Sec 50CA** (unquoted shares → FMV).
- **STT is NOT a deductible transfer expense**.
- Non-residents: no indexation on Indian company shares/debentures bought in forex → **1st proviso Sec 48** forex-fluctuation method (mutually exclusive with indexation).

Sec 55 — cost rules

Asset	Cost of acquisition
Bonus shares allotted on/after 1-4-2001	Nil
Bonus shares allotted before 1-4-2001	FMV as on 1-4-2001
Rights shares subscribed	Amount paid to company
Right entitlement (renounced)	Nil to renouncer; buyer = amount to renouncer + to company
Self-generated goodwill/tenancy/route permit/brand	Nil (verify current goodwill law)
Asset acquired before 1-4-2001	Higher of actual cost or FMV on 1-4-2001 (option)

Special rates

Section	Applies to	Rate (verify)
111A	STCG on STT-paid listed equity/equity units	Flat concessional (historically 15%)
112A	LTCG on STT-paid listed equity, above annual exemption (historically ₹1 lakh); no indexation	Flat concessional; grandfathering FMV 31-Jan-2018
112	LTCG on all other assets	Historically 20% with indexation / newer flat rate without

- 112A needs STT on acquisition AND transfer (exceptions: IPO/bonus/rights). Annual ₹1 lakh exempt slice is per-year, per-assessee; only excess taxed.
- **Chapter VI-A (80C etc.) NOT allowed against 111A/112/112A income**.
- **Basic-exemption shortfall** (residents only) set off against these gains; ₹1 lakh 112A relief applied first (verify ordering).
- Surcharge on 111A/112A capped (historically 15%); 87A rebate availability — verify.

Sec 51 / 56(2)(ix): advance forfeited on/after 1-4-2014 → taxed as **IFOS**, no cost reduction; forfeited before → reduce COA when asset sold. Buyer-side under-pricing → **Sec 56(2)(x)**.

Reinvestment exemptions

Sec	Sell (source)	Buy	Who	Exemption = lower of
54	LTCG on residential house	Residential house (India)	Indiv/HUF	Gain OR cost of new house
54F	LTCG on any LTCA except house	Residential house	Indiv/HUF (not own >1 other house)	Proportionate: gain × (investment ÷ net sale consideration)
54EC	LTCG on land/building only	Specified bonds (NHAI/REC), 5-yr lock	Any	Gain OR invested, cap ₹50 lakh
54B	Gain (ST/LT) on agri land used 2 yrs	Other agri land	Indiv/HUF	Gain OR cost
54D	Compulsory acq. of industrial land/building	Land/building to re-establish	Any	Gain OR cost
54G/54GA	Shifting undertaking from urban / to SEZ	New assets at new location	Any	Gain OR cost

- **54EC:** invest within **6 months**; ₹50 lakh cap is **aggregate across year of transfer + next year** (kills the straddle).
- **Sec 54:** one house only; once-in-a-lifetime **two-house** option if gain ≤ ₹2 crore (verify).
- **54/54F new-asset cost cap = ₹10 crore** (verify).
- **CGAS:** if not reinvested by **return due date**, park unutilised gain in CGAS a/c (use within: buy 2 yrs / construct 3 yrs). Applies to 54, 54B, 54D, 54F, 54G/54GA — **NOT 54EC**. Unutilised balance at window-end → taxable in that year.
- **Clawback:** new house sold within 3 yrs (54/54F) or 54EC bonds transferred/loaned within 5 yrs → exemption withdrawn. Sec 54: reduce new-house COA by exempted gain. Sec 54F: earlier-exempt LTCG revived as LTCG of sale year.

Set-off (Chapter VI): STCL → against STCG & LTCG; LTCL → **against LTCG only**; capital losses not set off against other heads; carry forward **8 years** (return filed by Sec 139(1) due date). TDS: 194-IA (1% on immovable ≥ ₹50 lakh), 195 (non-resident). Sec 234C relief on gain arising after instalment date.

Worked mini-example

LTCG on a **gifted house + Sec 54** (illustrative CII: 2005-06 = 117, 2023-24 = 348). Mr C gets a house as gift (father bought 10-Aug-2005 for ₹12,00,000); sells 15-Jan-2024 for ₹90,00,000 (stamp value ₹92,00,000; gap 2.2% within band → FVC = ₹90,00,000); selling expenses ₹90,000; buys new house for ₹35,00,000.

- Holding period: count **father's** period (Aug-2005) → ~18 yrs → **long-term** (not from gift date).
- COA (Sec 49(1)) = father's ₹12,00,000. Indexed = $12,00,000 \times 348 \div 117 = ₹35,69,231$.
- LTCG before exemption = $90,00,000 - 90,000 - 35,69,231 = ₹53,40,769$.
- Sec 54 exemption = lower of gain ₹53,40,769 or investment ₹35,00,000 = **₹35,00,000**.
- **Taxable LTCG (Sec 112) = ₹18,40,769.** (Investing ≥ whole gain → nil.)

Exam traps & must-remember

1. Jewellery/art/bullion (incl. puja silver) are NOT personal effects → taxable.
2. Gifted/inherited asset: use previous owner's **holding period AND cost**; trace chain to last purchaser.
3. Rural agri land = outside tax; urban = taxable; use population/**aerial**-distance test; agri land outside India always taxable.
4. Sec 50C: substitute stamp value only if gap **exceeds** tolerance band; land/building only.
5. **54F proportionate; 54 not.** 54F denominator = **net sale consideration**; needs "not own >1 other house."
6. 54EC: ₹50 lakh cap aggregated over 2 years; land/building only; not shares/gold.
7. 80C etc. not deductible against 111A/112/112A.
8. CGAS deadline = **return due date**, not window-end; not for 54EC.
9. Indexation only for long-term (where law allows); never index a Sec 50 STCG.

10. Clawback on early sale of new asset (54: reduce COA; 54F: revive old LTCG).
11. Conversion into stock-in-trade: gain taxed when converted stock sold, FMV on conversion date as FVC; excess over FMV = business income.
12. STT not deductible.
13. Bonus shares (post-1-4-2001): nil cost, holding period from allotment.
14. "More than", not "at least", 12/24/36 months.
15. Sec 45(5): initial comp. year first received; enhanced comp. year of receipt, cost of enhancement nil.
16. **Sec 50 does not always fire**: if block survives and sale value < block WDV → no capital gain, block keeps depreciating.

One-line recall

- Charge only on **transfer** (Sec 45); define asset (2(14)) and transfer (2(47)) precisely — Sec 47 spares non-events.
- Split short vs long via **12/24/36** ladder; long gains get **111A/112/112A** concessional rates.
- **Indexation** (Sec 48 + CII, base 2001-02 = 100) strips inflation from long-term cost.
- **Reinvest** (54/54F/54EC + 54B/54D/54G family) to defer; guarded by **CGAS parking** and **clawback**.
- STCL vs STCG & LTCG; **LTCL only vs LTCG**; carry forward 8 years if return filed in time.
- Verify every rate, CII, threshold, ceiling, and AY before relying on a number.

Chapter 07 — Income from Other Sources (IFOS)

Verify every rate, limit and threshold against the current ICAI module for your AY. Logic is durable; numbers drift.

Snapshot

IFOS is the **residual, catch-all head** (Sec 14 splits income into 5 heads; IFOS is the 5th). If a receipt is **income (or deemed income)**, is **not exempt**, and fits **none of the other four heads** (Salaries, House Property, PGBP, Capital Gains), it is taxed here. Two kinds of "orphan" land here: (a) **genuine income with no natural head** (interest, dividend, family pension, sub-letting) and (b) **capital-type windfalls deemed to be income** (gifts, excess share premium). The more artificial the inclusion, the stingier the deductions.

Core concepts

- **Sec 56(1)** — general residual charge: "income of every kind" not excluded and not under heads 1–4.
- **Sec 56(2)** — illustrative (not exhaustive) list of named inclusions; serves 3 purposes: (a) certainty for common items, (b) deem capital-type receipts to be income, (c) plug avoidance.
- **Precondition:** must be income or deemed income first. A pure capital receipt (not income by nature, not deemed) is NOT dragged into 56(1) — that is why gifts needed a separate deeming clause 56(2)(x).
- **Head of last resort:** reach IFOS only after ruling out the other 4 heads; the same item (interest, letting, royalty) becomes PGBP the moment it is part of a business.

Three buckets of 56(2) clauses

Bucket	Purpose	Clauses	Deduction regime
Certainty	Name common real income	Dividend 56(2)(i); interest on securities 56(2)(id); letting 56(2)(ii)/(iii)	Normal Sec 57 costs
Deeming	Turn capital receipt into income	Gifts 56(2)(x); interest on compensation 56(2)(viii)	Restricted/proxy
Anti-abuse	Plug avoidance	Angel tax 56(2)(viib); deemed dividend 2(22)(e)	Little/none

Key provisions / rules

Named 56(2) inclusions

Clause	Item
56(2)(i)	Dividends
56(2)(id)	Interest on securities
56(2)(ib)	Winnings — lotteries, crossword, races (incl. horse), card games, gambling, betting, TV game shows
56(2)(x)	Money/property without or for inadequate consideration (gifts)
56(2)(viib)	Share consideration above FMV (angel tax)
56(2)(ii)/(iii)	Letting of machinery, plant, furniture; + building let inseparably with such assets
56(2)(viii)	Interest on compensation / enhanced compensation

Default residual items (IFOS unless business)

Family pension, interest income (bank/FD), director's **sitting fees** (non-executive), income from **sub-letting**, casual income, royalty (if not business).

- **Sub-letting:** owner letting = House Property; **tenant** sub-letting (no ownership) = IFOS. Ownership is the switch.
- **Director:** whole-time/MD → employee → **Salary**; non-executive sitting fees → **IFOS**.

Dividends — 56(2)(i)

DDT abolished w.e.f. FY 2020-21; now **classical taxation** → **taxable in shareholder's hands at slab rates**.

Rule	Detail
Deduction (57)	Only interest expense to earn dividend, capped at 20% of dividend . No other expense (collection, PMS, demat).
TDS	On dividend above threshold (commonly ₹5,000/yr) — verify.
Timing	Final dividend: taxable when declared in general meeting. Interim: when unconditionally made available (payment).

Deemed dividend 2(22):

- **2(22)(a)**: distribution of accumulated profits releasing company assets.
- **2(22)(e)**: loan/advance by a **closely-held** company to a shareholder with **≥10% voting power** (or a concern he has substantial interest in), deemed dividend **only up to accumulated profits**. Money-lending business carved out. Taxed in recipient shareholder's hands.

Interest on securities — 56(2)(id)

IFOS unless securities held as **stock-in-trade** (then PGBP). **Gross up** when received net of TDS: **Gross = Net ÷ (1 – TDS rate)**. If given the coupon (e.g., 8% on ₹1,00,000 = ₹8,000), that IS gross — no grossing up. Fixed-date securities taxed on **due date** whether or not received.

Casual income — 56(2)(ib) + 115BB

Rule	Detail
Rate	Flat 30% (+ surcharge + cess), NOT slab (Sec 115BB)
Deductions	Nil — Sec 58(4), no expense (ticket, travel)
Basic exemption / Ch VI-A	Not available
Set-off	No loss set off against it; its losses not set off either
TDS	194B / 194BB above threshold (e.g., ₹10,000; recent law aggregates over year)

- **Winnings in kind** (car, gold): payer releases prize only after tax on **FMV** is paid; if cash part < TDS, winner deposits the **shortfall**. Taxable income = **FMV** (do not net TDS off).
- **Owning & maintaining race horses** = quasi-business: **expenses allowed**, loss carried forward up to **4 years**, set off only against same activity. Distinguish from **betting on races** (pure 115BB, nothing allowed).
- **Online games**: own regime — flat rate on **net winnings**, own TDS. Verify section; do not conflate with 194B.

Gifts — 56(2)(x)

Applies to **any person**. Three categories, each with its own ₹50,000 basket:

Category	Without consideration	Inadequate consideration
Money	Aggregate > ₹50,000 → whole sum taxable	—
Immovable property	SDV > ₹50,000 → whole SDV	(SDV – consideration) > higher of ₹50,000 or 10% of consideration → taxable diff
Movable property	Aggregate FMV > ₹50,000 → whole FMV	(FMV – consideration) > ₹50,000 (flat, no 10% band) → taxable diff

- **Three separate ₹50,000 baskets** — apply category-wise, never a grand total.
- Movable "property" = **defined list**: shares/securities, jewellery, bullion, art, drawings, paintings, sculptures, archaeological collections. **A car is NOT listed** → gifting a car is outside 56(2)(x).
- Immovable: SDV on **date of agreement** allowed (vs registration) if part consideration paid by non-cash mode on/before agreement date.

Exemptions (not taxed if received):

1. From a **relative** (narrowly defined — see below).
 2. On occasion of the **individual's own marriage** (not child's/sibling's).
 3. Under a **will / by inheritance**.
 4. In **contemplation of death** of payer.
 5. From local authority / specified fund/trust / registered charitable trust, etc.
- Employer receipts excluded from 56(2)(x) → taxed as **Salary**.

"Relative" (individual), read from receiver outward: spouse; brother/sister of self and of spouse; **brother/sister of either parent** (uncles/aunts both sides); any **lineal ascendant/descendant** of self or spouse; and the **spouse of each** of these.

- **Uncle → nephew = exempt; nephew → uncle = taxable** (nephew is not the uncle's relative). Test from receiver's viewpoint.
- **HUF recipient:** "relative" = any **member** of the HUF.

Angel tax 56(2)(viib): closely-held company issues shares to a resident **above FMV** → excess taxed as **company's IFOS**. Recognised start-ups (prescribed conditions) exempt.

Cost on later sale (49(4)): value charged under 56(2)(x) becomes the **cost of acquisition** for capital gains (no double tax). Inherited/relative-gifted (exempt) assets carry previous owner's **cost and holding period** (49(1)/2(42A)).

Deductions — Section 57

Clause	Allowed
57(i)/(ia)	Dividend & interest-on-securities: collection charges + interest on borrowing (dividend interest capped at 20%)
57(ii)/(iia)	Family pension: std deduction = lower of 1/3 of pension or ₹15,000
57(iii)	Any other expense wholly & exclusively to earn income (purpose, not result)
57(iv)	Interest on compensation/enhanced comp: flat 50% , no other expense
—	Depreciation / current repairs on let-out machinery, plant, furniture, building

- **57(iii) purpose test:** deductible even if no income actually arose (e.g., interest on share loan in a no-dividend year), subject to caps.
- Family pension: cap of ₹15,000 bites once pension > ₹45,000 ($1/3 \times 45,000 = 15,000$).

Disallowances — Section 58

- Personal expenses.
- Interest/salary payable **outside India without TDS** (58(1)(a)).
- Wealth tax / income tax.
- **58(1A):** 40A disallowances (excessive related-party 40A(2); cash payments over limit 40A(3)) apply to IFOS too.
- **58(4): nothing deductible against casual income** (exception: race-horse activity expenses).

Method of accounting — Section 145

Regular **cash or mercantile** basis, applied consistently (145(1)). **Forced receipt basis:** dividend (declared/paid) and interest on compensation/enhanced compensation (**145B**) — because the right is contingent until an outside event (declaration / final court award).

Worked mini-example

Gift computation (56(2)(x)), individual Mr. C:

- ₹40,000 cash from friend → money basket $₹40,000 \leq ₹50,000$ → **nil**.
- ₹30,000 from father's brother (uncle) → **relative** → **exempt**.
- ₹1,00,000 employer festival bonus → **Salary, not IFOS**.
- ₹3,00,000 on **own marriage** → exempt.

- Land SDV ₹6,00,000 from **brother** → relative → exempt.
- Land bought ₹18,00,000, SDV ₹20,00,000: diff ₹2,00,000 vs higher of ₹50,000 or $10\% \times 18,00,000 = ₹1,80,000 \rightarrow 2,00,000 > 1,80,000 \rightarrow \text{₹2,00,000 taxable}$.
- Shares FMV ₹2,00,000 free from friend → movable, $> ₹50,000 \rightarrow \text{₹2,00,000 taxable}$.
- Jewellery FMV ₹1,50,000 bought ₹1,10,000: diff ₹40,000 $\leq ₹50,000$ (no 10% band) → **nil**.
- Painting inherited under will → exempt.
- Car FMV ₹5,00,000 from friend → **not in listed property** → **nil**.

Total taxable IFOS from gifts = ₹2,00,000 + ₹2,00,000 = ₹4,00,000.

Tweaks: SDV ₹19,50,000 → diff ₹1,50,000 $< ₹1,80,000 \rightarrow$ land nil. Friend cash ₹60,000 → whole ₹60,000 taxable (cliff, not step).

Composite IFOS (Mrs. D): Family pension ₹1,80,000 – std deduction (lower of $1/3 = ₹60,000$ or ₹15,000) = ₹15,000 → **₹1,65,000**. Let-out machinery+building ₹3,00,000 – dep ₹40,000 – repairs ₹20,000 = **₹2,40,000**. Interest on enhanced compensation ₹2,00,000 (receipt basis) – 50% = **₹1,00,000**. **IFOS = ₹5,05,000**. If husband died in armed-forces operational service → family pension fully exempt u/s 10 → IFOS = **₹3,40,000**.

Exam traps & must-remember

1. **₹50,000 is a threshold, not an exemption** — cross it on money gifts and the **whole** amount is taxable (₹51,000 → ₹51,000).
2. **Immovable vs movable test differs:** immovable = higher of ₹50,000 or **10%** of consideration; movable = flat ₹50,000, **no 10% band**.
3. **"Relative" is narrow and asymmetric** — read from receiver outward. Uncle → nephew exempt; nephew → uncle taxable. Cousin/friend not relatives.
4. **Own marriage only** — child's/sibling's marriage gift not exempt.
5. **Employer gifts = Salary**, expressly excluded from 56(2)(x).
6. **Car & unlisted movables outside 56(2)(x)** — only the defined list counts.
7. **Casual income:** gross it, flat 30%, deduct nothing, set off nothing, no basic exemption. TDS ≠ final tax when surcharge applies.
8. **Gross up** interest/winnings received net of TDS.
9. **Dividend interest cap 20%** — excess actually paid is lost; only interest allowed (not demat/PMS/collection).
10. **Family pension std deduction = LOWER of $1/3$ or ₹15,000** (not higher).
11. **Interest on enhanced compensation:** receipt basis (145B) + flat 50% (57(iv)), no other expense.
12. **Three separate ₹50,000 baskets** — never merge into one total.
13. **Only interest deductible against dividend** (contrast interest income where collection charges ARE allowed).
14. **Deemed dividend 2(22)(e) capped at accumulated profits**, only if closely-held co. and borrower $\geq 10\%$ voting power.
15. **Race-horse ownership** (quasi-business, expenses + 4-yr carry-forward) vs **betting** (pure 115BB, nothing).
16. **War-widow / gallantry family pension** may be **fully exempt** u/s 10 — do not mechanically apply ₹15,000 deduction.
17. **57(iii) purpose not result** — deductible even if no income arose.
18. **Online-gaming winnings** in own section on net winnings — do not force into 194B/115BB.
19. **Clubbing overlap:** husband gifts wife cash (exempt as relative) but interest she earns is **clubbed** in his hands as his IFOS (Sec 64).

One-line recall

- IFOS = residual net (56(1)); catches only **income or deemed income** not covered by the other 4 heads.
- **Money gift $> ₹50,000 \rightarrow$ whole sum taxable**; three separate baskets; immovable gets a 10% cushion, movable none.
- Casual/lottery = **flat 30% (115BB)**, zero deductions, zero set-off, zero basic exemption; winnings in kind taxed on FMV.

- Dividend = slab, interest deduction **capped at 20%**; deemed dividend 2(22)(e) capped at accumulated profits.
- Pension → take the **LOWER** (1/3 or ₹15,000); compensation interest → take **HALF** (50%, receipt basis 145B).
- Sec 57 = costs wholly & exclusively to earn (purpose not result); Sec 58 = nothing against casual income + 40A discipline (58(1A)); Sec 49(4) bridges gifted-asset cost into capital gains.

Chapter 08 — Clubbing of Income & Set-off/Carry-forward of Losses

Snapshot

- **Clubbing (s.60–65):** substance over form. Keep the real economic benefit but shift paper income to a controlled relative/entity → income taxed in the **real owner's** hands. Decides *whose* income it is. Works **sideways** (person to person).
- **Set-off & carry-forward (s.70–80):** a loss is negative income; relief is **rationed** — intra-head (s.70) → inter-head (s.71) → carry-forward (s.72–74A). Decides *how a loss travels*. Works **downward and forward** (head to head, year to year).
- Clubbing tracks **retained control, not blood relationship**. It is surgical, not total — genuine full-value transfers/adult-relative gifts escape.
- Relief gets progressively harder the further the loss travels (carry-forward is most fenced + needs timely return).

Core concepts

- **Income-splitting problem:** progressive slabs tempt re-labelling income to empty-slab relatives (gift-and-earn; divert the income source). Clubbing plugs only the artificial channels.
- **Accretion / "income on income":** first-generation income (from the transferred asset) is clubbed; **income earned on the clubbed income is NOT clubbed** (already taxed once → offspring is transferee's).
- **Four dials behind set-off fences:** ability-to-pay (allow c/f), anti-abuse (fence certain losses), finality (time limits), and **rate integrity** (LTCL locked to LTCG; lottery reducible by nothing).
- **Order is fixed** (intra → inter → c/f) because relief becomes more aggressive/avoidance-like the further a loss reaches.

Key provisions / rules

Clubbing (s.60–65)

Section	Trigger	Clubbed with	Key exception / note
60	Transfer of income without transfer of asset (revocable or not)	Transferor	No relationship needed — even to friend/charity. "Tree stays → fruit stays."
61	Revocable transfer of asset	Transferor	s.62: not clubbed if irrevocable during transferee's lifetime / specified period + no benefit + no reassumption. Clubbing starts the year power to revoke arises (s.62(2)). "Any provision to re-transfer/re-assume power" = revocable, even contingent/future.
64(1)(ii)	Remuneration to spouse from concern where individual has substantial interest	Higher-earning spouse (total income excl. this remuneration)	Substantial interest = ≥20% shares/voting (co.) or ≥20% profit share (other), self + relatives. Skill exception: both (a) technical/professional qualification AND (b) income solely attributable to it → not clubbed.
64(1)(iv)	Asset to spouse for inadequate consideration	Transferor	Not clubbed if: adequate consideration / agreement to live apart / relationship absent at transfer and accrual. Partial consideration → club proportionate gift % . s.27(i): house → transferor deemed owner (HP income direct). Gain on later sale also clubbed.
64(1)(vi)	Asset to son's wife (DIL) for inadequate consideration	Transferor (father/mother-in-law)	Same proportionate + timing rules.
64(1)(vii)/(viii)	Transfer to person/AOP for benefit of spouse / son's wife	Transferor	Benefit may be immediate OR deferred (accumulating trust still caught).
64(1A)	All income of minor child (incl. step/adopted/married)	Higher-earning parent (before this clubbing); if marriage	Exceptions: minor's manual work / skill/talent income; minor with 80U disability . s.10(32): exempt

Section	Trigger	Clubbed with	Key exception / note
	daughter)	doesn't subsist → parent who maintains child. Sticky in later years unless AO orders.	₹1,500 per child (or actual if less), per child. Layering trap: interest on skill-income IS clubbed.
64(2)	Self-property converted to HUF for inadequate consideration	Individual (transferor)	On partition, spouse's share still clubbed (via s.64(1)(iv)).
65	Recovery route	Transferee jointly & severally liable (to extent of asset) for tax on clubbed income, if AO serves notice.	

Set-off — intra-head fences (s.70)

- **Speculation loss** → only speculation profit (s.73).
- **LTCL** → only **LTCG**. **STCL** → **STCG or LTCG**.
- **Race-horse** owning/maintaining loss → same activity only (s.74A).
- **Specified business (35AD)** loss → other specified-business profit only (s.73A).
- **No set-off vs casual income** (lottery/cards/gambling/betting — s.58(4)/115BB): taxed **gross**, no deduction, no set-off.
- **Loss from exempt source cannot be set off** at all (phantom loss).
- Otherwise a source's loss freely cancels another source in same head (Business A vs B; House 1 vs House 2).

Set-off — inter-head fences (s.71)

- **Business loss ≠ Salary** (can hit HP/CG/OS).
- **Capital-gains loss**: stays **within Capital Gains only**.
- **Speculation / race-horse / 35AD**: never leave their silo.
- **House-property loss**: inter-head cap **₹2,00,000/yr** (s.71(3A)); excess c/f.
- Nothing may be set off against **casual/lottery income** (absolute).
- **Directionality trap**: fences are on the **loss**, not the target head.

Carry-forward (s.72–74A, 71B)

Loss type	Sec	C/f against	Years	Timely return (s.80)?
House-property loss	71B	HP income only	8	No (late OK)
Non-speculation business loss	72	Business income (spec + non-spec)	8	Yes
Speculation loss	73	Speculation profit	4	Yes
Specified business (35AD)	73A	Specified-business profit	No limit	Yes
Race-horse loss	74A	Same activity	4	Yes
Long-term capital loss	74	LTCG only	8	Yes
Short-term capital loss	74	STCG or LTCG	8	Yes
Unabsorbed depreciation	32(2)	Any income except salary	No limit	No

- **s.72 b/f loss**: can later hit **any business income incl. speculation profit**; but b/f *speculation* loss → speculation profit only. Business **need not continue** to carry forward.
- **s.80**: timely s.139(1) return needed to c/f — except **HP loss & unabsorbed depreciation**. Current-year set-off always allowed even with belated return.
- **s.79 (closely-held company)**: c/f loss denied unless **≥51% voting power** beneficially held by same persons on last day of loss year and set-off year (anti "loss-shopping"; carve-outs — verify AY).
- **Future-year order**: current-year depreciation → **b/f business loss (s.72)** → **unabsorbed depreciation** last ("use what expires first").

Worked mini-example

Set-off & c/f (Mr. E): Salary 9,00,000; HP1 loss 3,50,000; HP2 profit 40,000; Business X loss 2,00,000; Business Y profit 1,20,000; Speculation loss 60,000; STCG 80,000; LTCL 1,00,000; OS interest 50,000.

1. **Intra-head:** HP net loss = $-3,50,000 + 40,000 = 3,10,000$. Business net loss = $-2,00,000 + 1,20,000 = 80,000$. Speculation loss 60,000 $\rightarrow$ c/f (4 yrs). LTCL 1,00,000 can't touch STCG $\rightarrow$ c/f (8 yrs); STCG 80,000 stays.
 2. **Inter-head:** HP loss capped **₹2,00,000** vs other heads $\rightarrow$ 1,10,000 c/f (8 yrs, s.71B). Business loss 80,000 ($\neq$ salary) vs STCG 80,000 $\rightarrow$ both nil.
 3. **GTI:** Salary 9,00,000 $-$ 2,00,000 = 7,00,000; OS 50,000; STCG 0. **GTI = ₹7,50,000.**
 4. **C/f:** HP 1,10,000 (8y); Speculation 60,000 (4y); LTCL 1,00,000 (8y).
- *Tweak:* if HP loss were 1,80,000 $\rightarrow$ under cap, fully set off, nothing c/f. If STCG were 50,000 $\rightarrow$ business loss absorbs 50,000, remaining **30,000 c/f under s.72** (salary fence forces it).

Accretion (Mr. A): gifts ₹8,00,000 to homemaker wife $\rightarrow$ FD interest **₹56,000 clubbed** with A (s.64(1)(iv)); reinvested ₹56,000 earns **₹4,000 = wife's own** (accretion, not clubbed).

Minor + s.10(32) (Mrs. B higher earner): Son bond interest 40,000 $-$ 1,500 = **38,500 clubbed**; daughter interest 1,000 $-$ $\min(1,500, 1,000) = 1,000 \rightarrow 0$; son's ₹25,000 singing prize (own talent) $\rightarrow$ **not clubbed**. Total clubbed = **₹38,500**.

Exam traps & must-remember

1. **Accretion:** only original-asset income clubbed; second-generation income free. Watch 3-generation problems.
2. **Relationship-timing (spouse):** must exist at **transfer AND accrual** — transfer before marriage $\rightarrow$ not clubbed.
3. **Skill exception** defeats clubbing even if 20% interest met (spouse) / bonds exist (minor).
4. **Cross-parent stickiness:** once clubbed with one parent, stays even if incomes reverse.
5. **s.10(32):** per child, capped at actual income (₹1,000 income $\rightarrow$ ₹1,000, not ₹1,500).
6. **Business loss NEVER cancels salary** — and **unabsorbed depreciation also can't hit salary**.
7. **LTCL is LT-only; STCL flexible (STCG/LTCG).** Don't reverse.
8. **HP ₹2,00,000 inter-head cap** — test against cap *before* writing "carry forward"; excess c/f vs future HP income only.
9. **Speculation & race-horse = 4 years**, never leave silo.
10. **s.80:** late return loses c/f — except HP loss & unabsorbed depreciation; current-year set-off still allowed late.
11. **Casual/lottery income:** no set-off, no expenditure, taxed gross (s.115BB).
12. **Future-year order:** current dep $\rightarrow$ b/f loss (s.72) $\rightarrow$ unabsorbed dep.
13. **Partial consideration:** inadequate $\neq$ nil — club only proportionate gift portion.
14. **Clubbing follows asset into capital gain**, not just recurring income.
15. **s.60 needs no relationship.**
16. **Loss from exempt source = phantom**, cannot be set off.
17. **b/f business loss can hit speculation profit; b/f speculation loss cannot hit non-spec.** Direction matters.
18. **s.79:** >49% beneficial shareholding change kills c/f in closely-held company.
 - *Regime note:* under default **s.115BAC**, treatment of HP loss set-off / certain c/f differs — verify current-AY interaction with s.71/71B.

One-line recall

- **Clubbing = whose income** (sideways); **set-off = how a loss travels** (down + forward).
- Club first-generation income only; accretion stays with transferee; clubbing follows asset into capital gain.
- Minor $\rightarrow$ higher-earning parent minus **₹1,500** (s.10(32)); skill/80U income exempt from clubbing.
- Order: **s.70 intra $\rightarrow$ s.71 inter $\rightarrow$ carry forward**; loss fences sit on the loss, not the target.
- Business loss $\neq$ salary; LTCL $\leftrightarrow$ LTCG only; HP cap **₹2,00,000**; casual income = no set-off.
- Time limits: **8 yrs** normal; **4** speculation/race-horse; **none** for 35AD & depreciation; c/f needs timely return (s.80) except HP loss & depreciation.

Chapter 09 — Deductions under Chapter VI-A (Revision Note)

Illustrative anchors for **AY 2025-26 (PY 2024-25)**. Verify all limits, %, sunset/sanction windows and slab rates in current ICAI material — Finance Acts move these frequently.

Snapshot

- **Core equation:** Gross Total Income (GTI) – Chapter VI-A deductions = Total Income. Total Income rounded to nearest ₹10 [Sec 288A].
- Deductions reward **application** of income (approved spending/investing), not earning. They act on the **aggregate (GTI)** after all set-offs, never on a single head.
- **Sec 80A(2) ceiling:** total VI-A deductions ≤ GTI. Can zero out Total Income, never below. Excess is lost — not carried forward, not refunded.
- **Two templates:** *Payment* deductions (80C–80GGC, reward money paid out) vs *Income* deductions (80-IA–80U, reward favoured income; **can never exceed that income** in GTI).
- **New regime [115BAC(1A)]** disallows almost all VI-A (bargain = lower rates, no nudges). Survivors: **80CCD(2)**, **80CCH**, **80JJAA**.

Core concepts

- **GTI [Sec 80B(5)]** = income under 5 heads after intra/inter-head set-off (Chapter VI). Then VI-A applied → Total Income → tax.
- **Five-test checklist for any payment deduction:** (1) Amount paid, (2) Ceiling (own cap → 80CCE umbrella → 80A(2) GTI ceiling), (3) Eligible person (permitted relative — list differs per section), (4) Mode (cash vs non-cash mandatory), (5) Claim (regime; and 80AC timely return for profit-linked).
- **No double deduction [Sec 80A(3),(4)]:** firm and partner cannot both claim; one Part-C (80-IA family) deduction per profit.
- **No deduction against special-rate income [Sec 80A(4)]:** LTCG 112/112A, STCG 111A, winnings 115BB and 115-series are ring-fenced (already given a rate concession). % -of-income bases use **Adjusted GTI / Adjusted Total Income** which strip these out.
- **Adjusted GTI** (for 80G limit) = GTI – LTCG – STCG(111A) – other VI-A deductions – specified incomes. **Adjusted Total Income** (for 80GG) is the analogous base.
- **Five policy families:** (1) Savings/Investment, (2) Health/Disability/Illness, (3) Education/Housing, (4) Donations/Political, (5) Interest/Rent.

Key provisions / rules

Structural rules [Sec 80A]

Rule	Section	Meaning
Deduct from GTI only	80A(1)	Never from a single head
Total ≤ GTI	80A(2)	Cannot create loss/refund
No double deduction	80A(3),(4)	Same amount not twice (firm & partner)
Claimed in return	80A(5)/80AC	Profit-linked (80-IA family) lost if return late [Sec 139(1) due date]

Family 1 — Savings & Investment

Section	Deduction	Notes
80C	₹1,50,000	LIC premium, EPF/PPF, 5-yr FD, NSC, ELSS, housing-loan principal , tuition (2 kids, India), Sukanya, superannuation
80CCC	within umbrella	Pension/annuity premium; pension taxable on receipt (Other Sources)

Section	Deduction	Notes
80CCD(1)	within umbrella	Own NPS: 10% of salary (salaried) / 20% of GTI (self-emp)
80CCE umbrella	₹1,50,000	Caps 80C + 80CCC + 80CCD(1) together
80CCD(1B)	+₹50,000	Extra NPS, over umbrella. Same rupee not in both 1 and 1B. Max own-side = ₹2,00,000
80CCD(2)	Outside caps	Employer NPS. Survives new regime . Added to salary then deducted

- **"Salary" for 80CCD** = basic + DA (to extent DA enters retirement benefits), not gross.
- **80CCD(2) ceiling is regime-dependent:** Old regime = **10% salary** (private) / **14%** (Central/State Govt only). **14% for all (incl. private) only under new regime 115BAC(1A)** (raised from 10% w.e.f. AY 2025-26).
- **LIC premium vs sum assured:** only premium up to **10%** of sum assured qualifies (policies on/after 1-4-2012); **15%** if insured has disability (80U) or disease (80DDB). "Children" for LIC includes married/independent children (relationship, not dependency).
- **Tuition fees:** max **2 children**, India, tuition only (no donation/development/coaching).
- **Housing-loan principal reversed** if house sold within **5 years** of end of year of possession (added back to income). Interest goes to **Sec 24(b)**, not 80C.
- **NSC accrued interest** (except final year) reinvested → separately qualifies for 80C.
- *Hook:* "1.5 shared, 0.5 solo, employer free."

Family 2 — Health / Disability / Illness

80D — medical insurance premium:

Covered	Base	If senior (60+)
Self, spouse, dependent children	₹25,000	₹50,000 (if self/spouse senior)
Parents (dependent or not)	₹25,000	₹50,000 (if parents senior)
Preventive check-up	within above, max ₹5,000	—

- **Max 80D = ₹1,00,000** (self+family senior ₹50k + parents senior ₹50k).
- Two **separate** buckets (not one combined ₹25,000). Premium must be **non-cash**; only **preventive check-up allowed in cash**, and it sits **within** (never on top).
- Single-premium multi-year policy → **apportioned** (total ÷ years), each year capped by annual ceiling.
- **Parents bucket has no dependency test**, but **parents-in-law excluded**.
- **Senior (60+) with no insurance** → actual **medical expenditure up to ₹50,000** (cash permitted). Non-seniors cannot use this route.

Disability/illness sections:

Feature	80DD	80DDB	80U
For whose condition	Dependant's disability	Self/dependant specified disease (Rule 11DD)	Own disability
Amount	Flat ₹75,000 / ₹1,25,000 (severe ≥80%)	Actual or ₹40,000 (₹1,00,000 senior), lower	Flat ₹75,000 / ₹1,25,000
Actual spend based?	No (flat)	Yes	No (flat)
Reduced by reimbursement?	No	Yes	No
Certificate	Form 10-IA	Specialist prescription	Form 10-IA

- 80DD "dependant" = spouse/children/parents/siblings wholly or mainly dependent. Cannot claim **both 80DD and 80U for same person**.
- *Hook:* 80D = doctor's cover, 80DD = dependant's disability, 80DDB = big disease, 80U = yourself.

Family 3 — Education / Housing

Section	Deduction	Notes
80E	Full interest , no cap	Education loan (self/spouse/children/ward). 8 years from repayment start (or until interest fully paid, earlier). Bank/notified institution/approved charity only. Higher education = any course after Class 12 (incl. vocational). Interest only, not principal
80EE	₹50,000	First home, sanction FY 2016-17. Stacks on Sec 24(b) ₹2 lakh
80EEA	up to ₹1,50,000	Sanction FY 2019-20 to 31-3-2022, stamp value ≤ ₹45 lakh, no other house. Stacks on 24(b). <i>Verify sunset</i>
80EEB	₹1,50,000	EV-loan interest, sanction 1-4-2019 to 31-3-2023. <i>Closed after window</i>

- EE/EEA: exhaust Sec 24(b) ₹2 lakh **first**, then claim balance; same interest rupee not double-counted.

Family 4 — Donations / Political

80G — four buckets:

Category	%	Qualifying limit?
PM National Relief Fund, National Defence Fund, PM CARES	100%	No limit
PM Drought Relief Fund, certain notified funds	50%	No limit
Govt/local for family planning, Indian Olympic Assn	100%	Yes — 10% of Adjusted GTI
Other approved charities, any govt for charity	50%	Yes — 10% of Adjusted GTI

- **80G 4-step algorithm:** (1) Bucket each donation; (2) process **no-limit** donations fully first (never compete for cap); (3) pool with-limit donations, cap pool at **10% of Adjusted GTI**; (4) within cap apply priority **100%-with-limit first, then 50%-with-limit**, then apply the %.
- Cash donation > ₹2,000 **disallowed**. In-kind (goods) donations **disallowed** — must be money.
- **80GGA** — scientific research/rural development, for taxpayers with **no business income** (business uses Sec 35). Full deduction; cash > ₹2,000 disallowed.
- **80GGB (Indian companies) / 80GGC (any other person)** — political parties/electoral trusts. **100%, non-cash only — zero cash tolerance** (the ₹2,000 tolerance does NOT apply).
- *Hook:* G = charity, GGA = research, GGB = companies to politics, GGC = citizens to politics.

Family 5 — Interest / Rent

Section	Deduction	Notes
80TTA	₹10,000	Savings interest only (bank/co-op/PO), not FD . Individual/HUF < 60. Type B — can't exceed actual interest in GTI
80TTB	₹50,000	Resident seniors (60+) , covers savings + FD + PO/co-op. NRI senior excluded
80GG	Least of 3	Rent, no HRA , no house owned (self/spouse/minor child/HUF) at workplace/residence

- **80TTA and 80TTB mutually exclusive** — senior uses 80TTB, not 80TTA.
- **80GG least of:** (i) ₹5,000/month (₹60,000/yr); (ii) 25% of Adjusted Total Income; (iii) rent – 10% of Adjusted Total Income.

Other specials

Section	Deduction	Notes
80JJAA	30% of additional employee cost × 3 AYs	New-job creation. Survives new regime . Needs 80AC timely return. Emoluments ≤ ₹25,000/mo, min days, banking channel
80QQB / 80RRB	₹3,00,000 each	Author royalty / patent royalty. Type B — needs royalty in income. Authors: lump-sum has 15%-of-value restriction
80CCH	Agnipath Scheme contribution	Survives new regime

New regime [Sec 115BAC(1A)]

Deduction	Allowed in new regime?
80C, 80D, 80E, 80G, 80TTA/TTB, 80GG, 80DD, 80U, 80DDB...	No

Deduction	Allowed in new regime?
80CCD(2) employer NPS	Yes
80CCH Agnipath	Yes
80JJAA new-employee cost	Yes

- New regime is **default**; opt out for old regime by return-filing due date. **Business/professional income = one-way switch** (Form 10-IEA, *verify procedure*); **salaried without business = choose afresh every year**.
- **Standard deduction [Sec 16(ia)] is NOT VI-A and IS allowed in new regime** — don't add it back.

Worked mini-example

Mr. Iyer (40, resident, old regime), PY 2024-25: Salary ₹8,00,000; House Property ₹1,20,000; LTCG 112A ₹2,00,000; SB interest ₹14,000 → **GTI = ₹11,34,000**. Payments: PPF ₹1,20,000, LIC ₹50,000, NPS own ₹40,000, health insurance (cheque) ₹22,000, education-loan interest ₹90,000, PM National Relief Fund ₹30,000, local trust ₹50,000 (all cheque).

Section	Working	Deduction
80C	PPF 1,20,000 + LIC 50,000 = 1,70,000, capped 80CCE	₹1,50,000
80CCD(1B)	NPS 40,000 (exclusive window)	₹40,000
80D	22,000 < 25,000, cheque	₹22,000
80E	interest, no cap	₹90,000
80TTA	SB 14,000 capped at 10,000	₹10,000
80G	see below	₹55,000

80G: PM National Relief Fund = 100%, no limit → ₹30,000. Adjusted GTI = 11,34,000 – 2,00,000 (LTCG) – (1,90,000 + 22,000 + 90,000 + 10,000) = **₹6,22,000**. Qualifying limit = 10% × 6,22,000 = ₹62,200. Trust ₹50,000 ≤ cap → 50% × 50,000 = ₹25,000. Total 80G = 30,000 + 25,000 = **₹55,000**.

Total VI-A = ₹3,67,000 (≤ GTI, 80A(2) OK). **Total Income = 11,34,000 – 3,67,000 = ₹7,67,000**. LTCG ₹2,00,000 stays inside Total Income, taxed at special 112A rate; VI-A cannot offset it (hence stripped from Adjusted GTI).

80A(2) biting (Mr. Sethi, GTI ₹2,20,000): raw deductions ₹2,90,000 exceed GTI → **restricted to ₹2,20,000**, Total Income = **NIL**. Excess ₹70,000 lost (not carried forward).

Exam traps & must-remember

1. **₹1.5 lakh "each" illusion:** 80C/80CCC/80CCD(1) **share** one ₹1.5 lakh (80CCE). Only 80CCD(1B) ₹50k is genuinely extra.
2. **Route NPS to 80CCD(1B)** when 80C already ≥ ₹1.5 lakh.
3. **80D single-bucket error:** self-family and parents are two separate limits; senior = ₹50,000 not ₹25,000; preventive ≤ ₹5,000 is within, not on top; parents-in-law excluded.
4. **80TTA vs 80TTB:** senior gets 80TTB (₹50,000, incl. FD), never both; FD interest never qualifies for 80TTA; Type B ≤ actual interest.
5. **80G on plain GTI** instead of **Adjusted GTI** — classic error.
6. **80G priority-order:** 100%-with-limit claims cap first, then 50%-with-limit.
7. **Cash-donation trap:** 80G cash > ₹2,000 = zero; 80GGB/GGC any cash = zero; in-kind = zero.
8. **80E:** interest only, no cap, 8-year limit; bank/notified institution not relative/employer.
9. **No deduction against special-rate income** (LTCG/STCG-111A/lottery).
10. **80A(2) ceiling:** deductions cut to GTI; no negative Total Income, no carry-forward.
11. **New-regime blindness:** only 80CCD(2), 80CCH, 80JJAA survive; but standard deduction (Sec 16) stays.
12. **Rounding:** Total Income to nearest ₹10 (Sec 288A), after VI-A.
13. **80DD + 80U** both for same person — not allowed.
14. **LIC premium > 10% (or 15%) of sum assured** — excess not eligible under 80C.

15. **80C reversal on house sale within 5 years** — principal added back.
16. **80CCD(2) double-count**: added to salary as inclusion, then deducted.
17. **80DDB reimbursement**: reduce claim by insurance/employer reimbursement.
18. **80AC timely-return**: profit-linked (80-IA/IB/IE, 80JJAA) wholly lost if return after Sec 139(1) due date; ordinary 80C-type not affected.

One-line recall

- **GTI – VI-A = Total Income**; deductions $\leq$ GTI [80A(2)]; round to ₹10 [288A].
- **Family 1**: ₹1.5 lakh umbrella (80CCE) + ₹50k NPS solo (80CCD-1B) + employer NPS free (80CCD-2, survives new regime).
- **Family 2**: 80D two buckets (₹25k/₹50k senior, max ₹1L); 80DD/80U flat ₹75k/₹1.25L; 80DDB actual or ₹40k/₹1L less reimbursement.
- **Family 4**: 80G = 100%/50%, some capped at 10% Adjusted GTI (no-limit first, then 100%-with-limit, then 50%); cash > ₹2,000 & in-kind disallowed; political (80GGB/GGC) non-cash only.
- **Family 5**: 80TTA ₹10k (savings, <60) vs 80TTB ₹50k (resident senior, incl FD); 80GG rent least-of-three.
- **New regime** blocks nearly all VI-A → survivors 80CCD(2), 80CCH, 80JJAA; always compute tax both ways.

Advance Tax, TDS & TCS

Figures reflect AY 2025-26. 194-series rates/thresholds change every Finance Act — verify against current ICAI material.

Snapshot

Three mechanisms to collect tax *as/where income arises* instead of a delayed lump sum. Advance Tax = taxpayer prepays own estimate (Sec 207–211, 234B, 234C). TDS = payer deducts before paying (Sec 192–196). TCS = seller collects extra from buyer (Sec 206C). All prepaid tax shows in Form 26AS/AIS; final settlement via self-assessment tax (Sec 140A). Deductor needs **TAN** (Sec 203A); exception — 194IA/194IB buyers use PAN + challan-cum-statement.

Core concepts

- "Pay-as-you-earn" (advance tax) and "pay-where-you-earn" (TDS/TCS by third party).
- Deduct vs Deposit = two separate defaults, two separate interest rates (1% vs 1.5%).
- TDS is on **gross** at a crude rate (deductor can't know net); taxpayer reclaims excess via return or Sec 197 certificate.
- Rate roughly tracks expected effective tax: contractor 1–2% (turnover), professional 10% (pure income), salary = slab, lottery 30% (max flat).

Key provisions / rules

Advance Tax

Item	Rule
Sec 208 threshold	Payable if estimated tax liability $\geq$ ₹10,000 (after reducing TDS/TCS deductible)
Sec 207(2) exemption	Resident individual 60+ with NO PGBP income → fully exempt. (Non-resident senior NOT exempt; senior with business NOT exempt)
Sec 209 base	Tax on estimated TI + surcharge + 4% cess – rebate 87A – TDS/TCS deductible = advance tax
Sec 211 instalments (all)	15% / 45% / 75% / 100% by 15 Jun / 15 Sep / 15 Dec / 15 Mar
Presumptive 44AD/44ADA	100% by 15 March (single instalment) — only for 44AD/44ADA income; other heads follow normal schedule
Payment up to 31 March	Still counts as advance tax (reduces 234B base) though late for 234C

Sec 234B (default in payment): trigger — advance tax paid $< 90\%$ of assessed tax. Rate **1% p.m.** (part = full). Period: **1 April of AY** to date of determination/payment. Base: shortfall (assessed tax – advance tax paid), rounded down to ₹100. Assessed tax = tax on TI – TDS/TCS – relief 89/90/90A/91 – MAT/AMT credit 115JAA/115JD.

Sec 234C (deferment/timing): trigger — instalment short of required cumulative %. Rate **1% p.m.**, period **3 months** (Jun/Sep/Dec) / **1 month** (Mar). Safe harbour: **12%** by Jun, **36%** by Sep escapes 234C (but once failed, shortfall measured against full 15%/45%). Carve-out: no 234C on **capital gains / casual (lottery) / dividend (not 2(22)(e)) / first-time business income** if tax paid in instalment(s) after income arose (or by 31 Mar). 44AD/44ADA: bites only if 100% not paid by 15 Mar.

Both 234B and 234C can apply together (different failures).

TDS — key sections (AY 2025-26)

Sec	Payment	Threshold	Rate
192	Salary	slab/where taxable	Average slab rate, on payment only

Sec	Payment	Threshold	Rate
192A	Premature PF	50,000	10%
194	Dividend	5,000	10%
194A	Interest (non-securities)	40,000 (50,000 senior); 5,000 others	10%
194C	Contractor	30,000 single / 1,00,000 aggregate	1% ind/HUF, 2% others
194H	Commission/brokerage	15,000	2% (was 5% up to 30-Sep-24)
194I	Rent	2,40,000 p.a.	2% P&M, 10% land/building/furniture
194J	Professional/technical/royalty	30,000	10% (2% technical/call-centre)
194IA	Immovable property (not agri)	50,00,000	1%
194IB	Rent by ind/HUF (non-audit)	50,000/month	2% (was 5% to 30-Sep-24)
194Q	Purchase of goods (buyer T/O > 10cr)	50,00,000	0.1%
194O	E-commerce to participant	5,00,000 (ind/HUF)	0.1%
194B/194BB	Winnings lottery/horse	10,000 (agg 194B)	30%
195	Non-resident	No threshold	rates in force/DTAA
Others	193 securities 10%; 194D insurance comm 5%; 194N cash withdrawal >1cr (2%); 194R perquisites 20,000 (10%); 194S crypto 50,000/10,000 (1%); 194M large personal payments 50L (5%, PAN-based)		

- Timing (non-salary): **credit OR payment, whichever earlier** (suspense a/c = credit). Salary: payment only, average rate.
- Sec 192(2B): employee reports other income/TDS + only **loss from house property** to employer. Two employers → Form 12B.
- Sec 197 lower/nil certificate (Form 13). Sec 197A self-declaration: **Form 15H** (senior), **Form 15G** (others).
- Sec 206AA (no PAN): higher of normal rate **or 20%**. Sec 206AB (non-filer): higher of **2× normal / 5%**. Both apply → higher result.
- **Deposit:** April–Feb by **7th of next month; March by 30 April**; 194IA/IB/M/S = challan-cum-statement within **30 days** of month-end.
- Certificates: Form 16 (salary, by 15 Jun), 16A (non-salary quarterly, 15 days of return due date), 16B/C/D/E (194IA/IB/M/S). Returns: 24Q/26Q/27Q (Q1 31Jul, Q2 31Oct, Q3 31Jan, Q4 31May).

TDS default: Sec 201(1A) interest — **1% p.m.** (not deducted) / **1.5% p.m.** (deducted not deposited). Sec 40(a)(ia): **30% expense disallowed** (100% for non-resident 40(a)(i)); reversed when TDS paid. 234E fee ₹200/day (capped at TDS); 271H penalty ₹10k–₹1L (nil if paid + filed within 1 yr); 271C penalty = tax not deducted; 276B prosecution (3 mo–7 yr). Relief: Sec 201 proviso — not assessee-in-default if resident payee filed return + included income + paid tax (CA cert **Form 26A**); but 201(1A) interest still runs to payee's filing date.

TCS (Sec 206C) — collect on debit/receipt whichever earlier

Liquor 1%, timber/forest 2.5%, scrap 1%, tendu leaves 5%, minerals 1%, parking/toll/quarry 2%, motor vehicle > ₹10L 1%. **206C(1H)** sale of goods 0.1% (seller T/O > 10cr, buyer receipts > 50L). **206C(1G)** LRS/tour package above 7L: 5% (20% tour/higher LRS). Deposit within **7 days** of month-end; return **27EQ**, certificate **27D**; interest 1% p.m. (206C(7)); penalty 271CA.

194Q vs 206C(1H): buyer's TDS (194Q) **prevails**; seller collects TCS only if buyer not liable. Test buyer first.

Worked mini-example

Assessed tax (net of TDS) = ₹4,00,000; **no** advance tax paid; entire amount as self-assessment on 15 July.

- **234C:** shortfalls 60k/1,80k/3,00k/4,00k → $60,000 \times 1\% \times 3 = 1,800 + 1,80,000 \times 1\% \times 3 = 5,400 + 3,00,000 \times 1\% \times 3 = 9,000 + 4,00,000 \times 1\% \times 1 = 4,000 = \text{₹}20,200$.
- **234B:** paid 0% (<90%) → on ₹4,00,000, 1 Apr–15 Jul = 4 months → $4,00,000 \times 1\% \times 4 = \text{₹}16,000$.
- Total interest = **₹36,200**. Both apply (234C = missed instalments; 234B = unpaid past 31 Mar).

Exam traps & must-remember

1. Senior exemption needs **BOTH** resident AND no business income; non-resident senior never exempt.
2. 234C safe harbour 12%/36% only decides *whether* interest triggers; shortfall then measured vs full 15%/45%.
3. 234B is **90%** cutoff — paying 89% triggers it on entire shortfall.
4. 194C: 1% ind/HUF, 2% others; thresholds 30k single OR 1L aggregate. 194I: 2% P&M, 10% others.
5. "Credit OR payment whichever earlier" — salary is exception (payment only).
6. Deduct vs deposit interest: **1% vs 1.5%**.
7. No PAN → higher of normal or **20%** (206AA).
8. March TDS deposit = **30 April** (not 7th); 194IA/IB/M/S = 30-day window.
9. TCS **added** to buyer's price; TDS **deducted** from recipient's payment.
10. Form 15H = senior, 15G = others.
11. "Assessed tax" for 234B is **net of TDS**.
12. 194Q beats 206C(1H); test buyer's liability first.
13. Any advance tax up to **31 March** counts for 234B even if late for 234C.

One-line recall

- Advance tax ≥ ₹10,000; 15-45-75-100 on 15 Jun/Sep/Dec/Mar; presumptive 100% by 15 Mar.
- 234B: <90% assessed tax → 1% p.m. from 1 April AY. 234C: short instalment → 1% p.m. $\times 3/\times 1$, safe harbour 12%/36%.
- 201(1A): 1% not deducted / 1.5% not deposited; 40(a)(ia) disallows 30%.
- No PAN → 20% (206AA); non-filer → 2%/5% (206AB).
- TCS deposit 7 days, return 27EQ; TDS deposit 7th/30-Apr, returns 24Q/26Q/27Q.
- 194Q (buyer TDS) prevails over 206C(1H) (seller TCS).

Chapter 11 — Return Filing & Assessment (Revision)

Verify all dates, 234F fee amounts, interest rates, updated-return window & additional-tax slabs, notice/assessment time limits, 140A appropriation order, 7th-proviso & PAN-inoperative consequences against current ICAI material for your AY. Chapter XIV of the Income-tax Act, 1961 (Secs 139–158).

Snapshot

- India runs a **self-assessment** system: taxpayer declares & pre-pays; department verifies on a **graded, clocked ladder**.
- Two halves of one bargain: **return** (Sec 139) = taxpayer's declaration; **assessment** = department's response.
- Timing lens unifies everything: declare → **pre-pay as you earn** → verify → **charge interest for every day of slippage** (234A/B/C + 140A).
- Escalating carrots for cooperation, escalating sticks for non-cooperation. Deadlines bind the **department** too (certainty is a taxpayer right).

Core concepts

- Return = legal self-assessment, not a request.** Tax already computed & (ideally) paid under **Sec 140A**.
- Assessment is a spectrum** ordered by escalating friction (see table below).
- Fifth "re-opening" lane: **income escaping assessment — Sec 147, via notice u/s 148** (idea-level for CA Inter; verify limits).
- Design spine: file on time → no cost; file late → fee + interest; don't file / ignore notices → best-judgment estimate + penalty + possible prosecution.

Assessment type	Section	Who works	Trigger
Self-assessment	140A	Taxpayer	Every return
Summary / processing	143(1)	CPC computer	Every processed return
Scrutiny	143(3)	Assessing Officer	Selected returns
Best judgment	144	AO (estimates)	Non-cooperation / non-filing

99%+ of returns never meet a human — cheap 143(1) handles the mass; expensive 143(3) is a tiny sliver; 144 is the punishment lane.

Key provisions / rules

Who must file — Sec 139(1)

- File if **total income BEFORE Chapter VI-A (80C–80U) AND before specified capital-gains exemptions (Secs 54/54B/54D/54EC/54F etc.)** exceeds basic exemption limit. Test on the **pre-deduction / pre-exemption** figure.
- Companies & firms/LLP: file ALWAYS** — even nil income, loss, or dormant.
- Individual / HUF / AOP / BOI / artificial juridical person: file if pre-deduction income > exemption OR any 7th-proviso trigger met.
- Charitable trusts, political parties, research associations, universities etc.: file if income **before** claiming their exemption > limit.
- Resident (ROR) with foreign assets:** file **irrespective of income** — holds any asset outside India, signing authority in any foreign account, or beneficiary of any foreign asset.

7th proviso to Sec 139(1) — mandatory filing even below limit if (broadly): deposits above specified amount in current accounts; foreign-travel spend above specified amount; electricity bills above specified amount; or other CBDT-notified high-value criteria (turnover, professional receipts, aggregate TDS/TCS). Memory hook: *"Live large → must file."*

Due dates — Sec 139(1)

Class of assessee	Due date (verify)
Assessee requiring audit under the Act	31 October of AY
Working partner of a firm liable to audit	31 October of AY
Assessee furnishing transfer-pricing report (Sec 92E)	30 November of AY
Any other assessee (salaried, non-audit)	31 July of AY

- Dates track **document-readiness** (audit needs months; TP needs cross-border docs).
- **Working partner of audited firm → 31 Oct, NOT 31 July** (due date follows the dependency).
- **Tax-audit report (Form 3CA/3CB + 3CD) due ~1 month BEFORE return due date.** Sequence: audit report → return.

Three "second chances"

Feature	Belated 139(4)	Revised 139(5)	Updated 139(8A)
Purpose	Missed due date	Fix bona fide error	Voluntarily disclose extra income later
Pre-condition	Didn't file on time	Already filed (orig/belated)	Filed or not
Direction of tax	Any	Any (up/down)	Only up — never refund/loss
Window (verify)	Up to ~3 months before AY-end or before assessment completion, whichever earlier	Same as belated	Multi-year from AY-end
Extra cost	234F fee + 234A interest	None (relates back)	Normal tax + interest + rising additional tax
Loss c/f	Most losses lost	Follows original's status	Cannot create/increase loss

- **Belated 139(4):** carries 234F + 234A. Hidden penalty = **forfeiture of most loss carry-forwards** (business, speculation, capital, racehorse losses). **Survivors:** house-property loss (Sec 71B) & unabsorbed depreciation (Sec 32(2)) still carry forward.
- **Revised 139(5):** for bona fide omission/wrong statement; **replaces** original (original withdrawn); relates back to original date. Can revise **any number of times**; a **belated return CAN now be revised**. Cannot un-belate a late original; lost losses stay lost.
- **Updated 139(8A):** pay-more-only door. **Cannot** file if it → refund / reduces liability / shows or increases a loss / reduces tax already determined; **barred** where search (Sec 132), requisition (Sec 132A), or survey (Sec 133A) initiated, or assessment/reassessment/revision pending or complete. **Only ONCE per AY.** Additional tax = % of (normal tax + interest), stepping up by band of lateness (earlier = cheaper).

Defective return — Sec 139(9)

- AO issues intimation; assessee has **15 days (extendable)** to cure.
- Uncured → return treated as **INVALID (never filed)** → lose filing date, exposed to belated costs, may lose loss c/f.
- Return is **NOT invalid the moment a defect exists** — only if uncured within time. AO **may condone** a late cure before assessment.
- Defects include: not filled fully; missing required statements/computations; **self-assessment tax + interest not paid before filing** where required; accounts/audit-report copies not attached.

PAN — Sec 139A / Aadhaar — Sec 139AA

- **PAN** = lifelong unique 10-character identifier; must be quoted in specified high-value transactions.
- Who must obtain: business/profession with sales/turnover/gross receipts above specified amount; anyone required to file (incl. 7th proviso); resident (non-individual) in a financial transaction of specified aggregate + its directors/partners/trustees/karta/principal officer; importers/exporters; CBDT-notified others.
- **PAN–Aadhaar interchangeable** where linked; Aadhaar-holder without PAN can be allotted PAN on Aadhaar.

- **Sec 139AA:** quote Aadhaar when applying for PAN and when filing. Non-linking → PAN **INOPERATIVE** (not cancelled). While inoperative: **no refund; no interest on refund; TDS/TCS at higher no-PAN rates**. Person still "has" a PAN. Trap: inoperative ≠ cancelled.

The four assessments

- **140A — Self-assessment:** compute tax on returned income – TDS/TCS/advance tax + 234A/B/C interest + 234F fee = **balance ("SA tax")** paid **before filing**. Non-payment → **assessee in default. Appropriation order (verify): fee → interest → tax**, so shortfall leaves **tax** unpaid.
- **143(1) — Summary/CPC:** arithmetic & consistency checks only (no investigation). Corrects arithmetical errors; disallows internally inconsistent claims; disallows losses/deductions barred in a belated return; disallows audit-report items not taken / includes 26AS/16/16A income not returned; matches tax credit with Form 26AS. Intimation = **deemed notice of demand** (if tax payable) / **deemed refund order** (if refund). **Time limit: 9 months from end of FY in which return filed**. Any adjustment increasing tax / reducing refund/loss needs **prior proposal + 30-day response**.
- **143(3) — Scrutiny:** gated by **Sec 143(2) notice, served within ~3 months from end of FY of filing**. No valid in-time 143(2) → no scrutiny. AO uses **142(1)** inquiries, may order **142(2A) special audit**; passes reasoned order. Largely **faceless (Sec 144B)**. Order must be completed within statutory outer limit from end of AY (verify).
 - **142(1)** = inquiry/subpoena: require non-filer to file, produce accounts/documents, furnish info — with or without a return filed. *142(1) = "give me your papers"; 143(2) = "you're selected for scrutiny."*
 - **142(2A)** = AO-directed special audit by a nominated CA (complex/voluminous/doubtful accounts), with higher-authority approval + opportunity to assessee; **cost borne by department**. Not the assessee's own tax audit.
- **144 — Best judgment:** AO **estimates** income when assessee fails to file (orig/belated/142(1)), or ignores 142(1) / 142(2A) / 143(2). Requires **show-cause opportunity** (dispensable only where a 142(1) produce-notice was already issued & defied); estimate must be **honest & material-based**, not arbitrary. Not a penalty computation.

Faceless (Sec 144B): anonymised randomly-allocated units (Assessment, Verification, Technical, Review) under National Faceless Assessment Centre; portal-only, no physical interface; **personal hearing via video-conferencing** on request. Review step = second pair of eyes; removes intimidation/inducement channel.

Interest & fee — "price of lateness"

Charge	Section	Punishes	Computation
Late-filing fee	234F	Filing after due date	Flat (smaller if total income below specified level; larger otherwise) — verify amounts
Interest	234A	Gap between due date & filing, on unpaid tax	1% per month/part, due date → filing date
Interest	234B	< 90% of assessed tax paid as advance tax	1% per month on shortfall, from 1 April of AY
Interest	234C	Missed advance-tax instalments	1% per month for each specified deferment period only

- **234A = late return; 234B/C = late payment of tax** (can trigger even with on-time return). 234F = flat fee for missing filing date, independent of tax.
- **234A base = tax on total income LESS prepaid taxes** (TDS/TCS/advance tax/relief). If TDS fully covers tax → **234A = nil even if years late** (234F still bites).
- **Part of a month = full month** for 234A/B/C. Never pro-rate days.
- 234B runs 1 April of AY → determination/payment; 234C runs only per-instalment periods then stops (no double-count).
- 234F is **flat, never month-wise**, tiered by total income.
- **Compensatory (A/B/C, time-and-amount driven) vs regulatory (F, flat).**

Advance-tax instalment dates policed by 234C: **15 Jun / 15 Sep / 15 Dec / 15 Mar** (with specified cumulative % — verify).

Worked mini-example

Belated filing (Sec 234F + 234A). Salaried Mr Rao files on **10 Nov** (due 31 July); unpaid tax after TDS = **₹40,000**; 234F = ₹5,000 (income above ₹5 lakh slab); 234A = 1%/month.

- Belated return u/s 139(4).
- 234F fee = **₹5,000** (flat).
- 234A months: Aug, Sep, Oct, part-Nov = **4 months** (part = full). Interest = $₹40,000 \times 1\% \times 4 = \text{₹1,600}$.
- Extra cost of lateness = ₹5,000 + ₹1,600 = **₹6,600**, on top of ₹40,000 tax → deposit ₹46,600 as SA tax u/s 140A before filing.
- **Variation:** if TDS had fully covered tax (unpaid = ₹0) → 234A = ₹0, but **234F ₹5,000 still applies** (regulation vs compensation).

140A appropriation trap. Tax ₹92,000, TDS ₹50,000, files 15 Sep (due 31 July), deposits only ₹40,000.

- Balance tax = ₹42,000; 234A = $₹42,000 \times 1\% \times 2 \text{ months} = \text{₹840}$; 234F = ₹5,000; total due = ₹47,840.
- Appropriate **fee → interest → tax**: ₹5,000 (fee) → ₹840 (interest) → ₹34,160 to tax.
- **Unpaid tax = ₹42,000 – ₹34,160 = ₹7,840** → Mr Sen is an **assessee in default** for ₹7,840 (tax), keeping recovery/234B meter running. Because fee & interest go first, the whole shortfall lands on tax (worst place).

Exam traps & must-remember

1. **Threshold tested BEFORE Chapter VI-A deductions** (and add back specified capital-gains rollover exemptions). Don't subtract 80C first.
2. **234F is a fee, not interest/tax** — flat, not month-wise, bites even when tax nil.
3. **234A vs 234B/C:** 234A = late return; 234B/C = late advance-tax. Part-month = whole month for all three. 234A only on **unpaid** tax.
4. **Revised return needs a filed return** — cannot un-belate a late original or restore lost losses.
5. **Updated 139(8A) = pay-more-only, once per AY;** barred on search/survey/pending or complete assessment; never refund/loss/reduction. Most-tested cluster.
6. **Uncured defective return → invalid (never filed);** but not invalid until cure period lapses; AO may condone.
7. **No 143(3) without valid in-time 143(2) notice.** Don't confuse 143(2) gateway with 142(1) inquiry.
8. **143(1) mechanical only, but not lawless** — needs prior proposal + 30-day response before increasing tax/reducing refund. CPC "examining evidence" or silent demand = wrong lane.
9. **144 must still be a reasonable, material-based honest estimate** after show-cause (narrow dispensation aside), not a punishment figure.
10. **PAN inoperative ≠ cancelled** — higher TDS, blocked refund, no interest on refund; person still "has" PAN.
11. **Working partner of audited firm → 31 Oct, not 31 July.**
12. **Audit report due ~1 month before return** — sequence matters.
13. **140A appropriation: fee → interest → tax** → shortfall leaves tax unpaid → assessee in default.
14. **143(1) intimation/refund is NOT final** — scrutiny (143(2)/143(3)) & reassessment (147/148) can still follow. "Refund received" ≠ "case closed."

Connections: loss c/f (Secs 70–80) needs filing by 139(1) due date (except house-property loss & unabsorbed depreciation); advance tax (Secs 208–219) enforced by 234B/C; 143(1) matches Form 26AS; inoperative PAN → higher TDS; ROR foreign assets enforce global-income; penalties Sec 270A + prosecution sit above civil charges.

One-line recall

- **Declare (139) + pre-pay (advance tax + 140A); State verifies on a clocked graded ladder; lateness priced by compensation (234A/B/C) + flat fee (234F); honest correction gets second chances graded by lateness & direction of tax; identity fixed by PAN (139A) + Aadhaar (139AA).**
- Due dates: audit & audited-firm partners **31 Oct** · TP report (92E) **30 Nov** · others **31 July** · audit report ~1 month earlier.
- Second-chance doors: belated 139(4) (cost + lose losses) · revised 139(5) (any direction, replaces original) · updated 139(8A) (pay-more only, once) · defective 139(9) (cure in 15 days).

- Assessments: 140A self · 143(1) CPC 9-month summary · 143(3) scrutiny (needs 143(2) in ~3 months) · 144 best judgment · 147/148 reassessment of escaped income.
- Appropriation **fee** → **interest** → **tax**; leftover = tax default = assessee in default.
- 234A base = **unpaid** tax only; nil if TDS covers it, but 234F still bites.

Chapter 12 — Computation of Total Income & Tax Liability

Snapshot

Five head-figures are assembled into **one number (Total Income)** and driven through a **fixed, non-negotiable pipeline** to reach tax payable. Order is logic, not ritual — each step consumes the previous one's output. Figures reflect **AY 2025-26**; all rates/limits are *plug-in values* subject to Finance Act change — the **sequence is permanent**.

The pipeline (chant it): Heads → Club → Set-off → **GTI** → VI-A → **TI** → Split rates → Rebate → Surcharge → Cess → Relief → **Tax payable** → less prepaid taxes.

Three currencies (where students slip): Income rupees (Stages 1–6) · Tax rupees (Stages 7–10) · Cash rupees (Stage 12). Every catastrophic error = a rupee applied in the wrong currency (deduction against tax, surcharge against income, TDS against income).

Core concepts

- **Total Income is built bottom-up in strict order.** Cannot set off a loss before each head is known (aggregation precedes set-off); cannot set your losses against income never yours (clubbing precedes set-off); VI-A is capped at GTI and barred from special incomes (GTI must exist, special incomes identified first); rebate/surcharge/cess act on *tax* so tax comes first.
- **The pipeline is a progressively narrowing filter:** early stages decide *how much is income*; middle stages *how much is taxable*; late stages *how much tax*; last stage *how much cash*.
- **Regime is chosen, not fixed.** New regime (115BAC) is default since AY 2024-25; it switches entire deductions/exemptions on and off, so a full computation may need to be run **twice** (once per regime) and compared.
- **Why order can't be resequenced (stress test):** VI-A before set-off → double benefit; surcharge before rebate → wrong base; cess before surcharge → understated cess; special-income carve-out after VI-A → deductions wrongly shelter LTCG.

Key provisions / rules

Stage design logic

Stage	Section	One-line rule
5 heads	14	Compute each head net (Salary 15-17; HP 22-27; PGBP 28-44; CG 45-55A; OS 56-59)
Clubbing	60-64	Add diverted income back; keeps its head-character; minor exemption ₹1,500/child (Sec 10(32))
Set-off	70-71	Intra-head → inter-head; HP loss inter-head cap ₹2,00,000 (71(3A))
Carry-forward	72-74A	Each loss its own life & restriction; needs timely return (Sec 80)
GTI	80B(5)	Sum of heads after clubbing & set-off, before VI-A
VI-A	80C-80U	≤ GTI (80A); not against 111A/112/112A/115BB
Total Income	2(45), 288A	GTI – VI-A; round to nearest ₹10

Stage 1 — heads (Sec 14) traps

- **Salary can NEVER be negative** — floored at nil, never carried negative.
- **Capital Gains splits internally BEFORE the pipeline:** STCG-111A, STCG-other, LTCG-112, LTCG-112A are four different animals — carry each separately from the start.
- **Deemed income (68/69 etc.) → Sec 115BBE: flat 60% + 25% surcharge + cess (≈78%),** no deduction, no set-off.

Stage 2 — clubbing (Sec 60-64)

- **Sec 60** — transfer of income without asset → clubbed.
- **Sec 64(1)(ii)/(iv)/(vi)/(vii)** — income to spouse/son's wife from transferred assets.

- **Sec 64(1A)** — minor's income clubbed with higher-income parent; exemption ₹1,500/child (10(32)), capped at that child's income; **unavailable in new regime**.
- **Sec 64(2)** — HUF from converted individual property.
- **A clubbed LOSS is also clubbed** and can be set off by the transferor (favourite twist).

Stage 3 — set-off & carry-forward (Sec 70-80)

Intra-head (Sec 70) exceptions: speculation loss → speculation profit only; LTCL → LTCG only (never STCG); STCL → STCG or LTCG; race-horse loss → race-horse only.

Inter-head (Sec 71) restrictions: HP loss → any head but **capped ₹2,00,000** (71(3A)), balance c/f; capital-gains loss → NO other head; business loss → NOT against salary (71(2A)); casual income → no loss set off against it.

Loss type	Section	C/F period	Set off in future only against
House property loss	71B	8 yrs	HP income
Non-speculation business loss	72	8 yrs	Business income (any)
Speculation loss	73	4 yrs	Speculation income
Specified business (35AD) loss	73A	Indefinite	Specified business income
Short-term capital loss	74	8 yrs	STCG or LTCG
Long-term capital loss	74	8 yrs	LTCG only
Race-horse loss	74A	4 yrs	Race-horse income
Unabsorbed depreciation	32(2)	Indefinite	Any income except salary

- **Sec 80:** business/speculation/capital/race-horse losses need return filed by **139(1) due date** to c/f; **HP loss & unabsorbed depreciation do NOT**.
- **Optimisation:** set losses off first against normal (slab) income (preserve special rates + basic-exemption absorption); exhaust shortest-life losses first; current-year before b/f; within year: current depreciation → b/f business loss → unabsorbed depreciation.
- **₹2,00,000 cap is inter-head only** — intra-head HP set-off is uncapped.
- **Unabsorbed depreciation is NOT a business loss** — merges into next year's depreciation.

Stage 4-6 — GTI, VI-A, Total Income

- **Adjusted GTI** (for 80G/80GG/80GGC "% of AGTI" caps) = GTI – special incomes (111A/112/112A) – other VI-A already claimed. Do NOT reuse plain GTI.
- **Sec 80A golden restrictions:** (1) total VI-A ≤ GTI (can reach nil, never below); (2) not allowed against LTCG (112/112A), STCG-111A, casual (115BB) — carve these out first.
- **Sec 288A rounding:** round Total Income to nearest ₹10, once. ₹6,32,004 → ₹6,32,000; ₹6,32,006 → ₹6,32,010.

Section	For	Ceiling / rule
80C	LIC, PPF, ELSS, housing principal, tuition, 5-yr FD	₹1,50,000 (combined 80C+80CCC+80CCD(1) via 80CCE)
80CCD(1B)	Additional NPS self	₹50,000 (outside 80C bucket)
80CCD(2)	Employer NPS	10% of salary (14% govt/new regime); outside bucket
80D	Health insurance	₹25,000 self/family; ₹50,000 senior; +₹50,000 senior parents
80DD/80DDB/80U	Disabled dependant / treatment / self-disability	Fixed amounts
80E	Education loan interest	No cap, 8 years
80EEA	Affordable housing loan interest	₹1,50,000
80G	Donations	50% or 100%, some with 10%-of-AGTI cap; cash > ₹2,000 gets nothing
80GG	Rent paid (no HRA)	Least of ₹5,000 p.m. / 25% AGTI / rent – 10% AGTI

Section	For	Ceiling / rule
80TTA / 80TTB	Savings interest / senior interest	₹10,000 / ₹50,000

- **80TTA vs 80TTB mutually exclusive:** senior → 80TTB (₹50,000, savings+FD); non-senior → 80TTA (₹10,000, savings only). Never both; never 80TTA on FD.
- **New regime kills almost all VI-A** — only survivors: **80CCD(2)** (employer NPS) and **80CCH** (Agniveer). Standard deduction & family pension deduction still allowed.
- **80G computed LAST within Stage 5** (needs AGTI after other deductions).

Stage 7 — split & rates

Income	Section	Rate
STCG listed equity (STT paid)	111A	15% (20% for transfers on/after 23-Jul-2024)
LTCG listed equity above threshold	112A	10% above ₹1,00,000 (12.5% above ₹1,25,000 post-23-Jul-2024)
Other LTCG	112	20% with indexation / 12.5% without (post-23-Jul-2024)
Winnings — lottery/betting/games	115BB / 115BBJ	30% flat, no deduction, no basic-exemption benefit

- **Basic-exemption absorption:** resident individual/HUF may use *unused* basic exemption against 111A and 112/112A (never against 115BB). **Non-residents cannot.** Absorb against **higher-rate special income first** (shield 111A before 112A, both pre- and post-23-Jul).

New regime slabs (AY 2025-26 — default):

Slab	Rate
Up to ₹3,00,000	Nil
₹3,00,001 – ₹7,00,000	5%
₹7,00,001 – ₹10,00,000	10%
₹10,00,001 – ₹12,00,000	15%
₹12,00,001 – ₹15,00,000	20%
Above ₹15,00,000	30%

Old regime slabs (individual < 60):

Slab	Rate
Up to ₹2,50,000	Nil
₹2,50,001 – ₹5,00,000	5%
₹5,00,001 – ₹10,00,000	20%
Above ₹10,00,000	30%

Old regime basic exemption: **₹3,00,000** seniors (60-80), **₹5,00,000** super-seniors (80+). New regime: everyone ₹3,00,000.

Regime opt-out (heavily tested, asymmetric): Business income → file **Form 10-IEA by 139(1) due date** to opt out; can revert to new regime **only once**, then **locked** (can never return to old while business continues). No-business/salaried → free choice **every year** in return.

Stage 8 — Rebate 87A (resident individual only)

Regime	TI ceiling	Max rebate
Old	₹5,00,000	₹12,500
New (115BAC)	₹7,00,000	₹25,000

- **Marginal relief (new):** just above ₹7L, tax capped at income-excess-over-₹7L (tapers to nil ~₹7,78,000). It's a *cap, not a cliff*.

- **Not available against 112A LTCG tax** (verify current stance). Eligibility base = Total Income **including special incomes** (a tiny STCG can tip over the cliff).

Stage 9 — Surcharge (% of tax)

Total Income	Old	New
₹50L – ₹1cr	10%	10%
₹1cr – ₹2cr	15%	15%
₹2cr – ₹5cr	25%	25%
Above ₹5cr	37%	25% (capped)

- **Cap 15%** on surcharge attributable to 111A/112/112A/dividend, even above ₹2cr — split the tax and surcharge each bucket at its own rate (don't apply 25/37% to CG tax).
- **Marginal relief at every threshold:** increase in (tax+surcharge) cannot exceed increase in income above threshold.

Stage 10-12 — Cess, Relief, Payable

- **Cess: flat 4%** on (tax after rebate + surcharge). No marginal relief on cess itself; fully-rebated taxpayer pays zero cess.
- **Sec 89(1)** — arrears/advance salary spread-back (Form 10E); relief = difference of differences (may be nil). **Sec 90/90A** — FTC under DTAA. **Sec 91** — unilateral relief, no DTAA.
- **AMT (115JC):** 18.5% + surcharge/cess of adjusted TI for non-corporates claiming certain deductions; higher of normal tax/AMT payable; credit c/f **15 years**. Does NOT apply if adjusted TI ≤ ₹20L (ind/HUF/AOP) or generally if new regime opted.
- **Stage 12:** less TDS/TCS/advance/self-assessment; add interest **234A** (late filing, 1% p.m.) / **234B** (advance-tax shortfall, paid < 90%) / **234C** (deferment of instalments) — all simple 1% p.m.; round net to nearest ₹10 (**288B**).

Worked mini-example

Ms. B, resident, 45, AY 2025-26, OLD regime. Business income ₹6,00,000; HP LOSS ₹2,80,000; LTCG land (112) ₹3,00,000; STCG listed (111A) ₹1,00,000; 80C ELSS ₹1,50,000.

Stage 3 set-off: HP loss ₹2,80,000 → inter-head cap ₹2,00,000 set against business → business ₹4,00,000; balance ₹80,000 c/f (71B). Preserve special incomes.

Head	₹
Business (after ₹2L HP set-off)	4,00,000
LTCG (112)	3,00,000
STCG (111A)	1,00,000
GTI	8,00,000

Stage 5 VI-A: 80C ₹1,50,000 cannot hit 111A/112 → set only against normal ₹4,00,000 → normal ₹2,50,000. **Total Income = ₹6,50,000** (2,50,000 + 3,00,000 + 1,00,000).

Stage 7: Normal ₹2,50,000 = exemption limit → tax nil, **exemption fully used**, nothing left to shelter special incomes.

- STCG 111A ₹1,00,000 @ 15% = ₹15,000
- LTCG 112 ₹3,00,000 @ 20% = ₹60,000
- **Tax before rebate = ₹75,000**

Stage 8: TI ₹6,50,000 > ₹5L → no 87A. **Cess 4% = ₹3,000. Tax payable = ₹78,000.** HP loss ₹80,000 noted for c/f.

Examiner tweak: had normal income been below ₹2,50,000, the unused exemption is absorbed against **STCG 111A first** (preserve LTCG benefit), cutting tax further.

Exam traps & must-remember

1. **Netting heads before set-off** — always intra-head → capped inter-head (HP ₹2,00,000, 71(3A)) → c/f.
 2. **Claiming VI-A against special incomes** — 80C etc. cannot reduce 112/112A/111A/115BB; carve out first.
 3. **Wrong basic-exemption absorption order** — residents use it against **higher-rate STCG 111A first**, never against casual income; non-residents get none.
 4. **87A on LTCG tax** — doesn't shelter 112A (verify); residents only.
 5. **Wrong regime deductions** — new regime kills HRA, LTA, self-occupied interest, professional tax, almost all VI-A; only 80CCD(2)/80CCH + standard deduction survive.
 6. **Ignoring surcharge 15% cap** (111A/112/112A/dividend) and marginal relief at every threshold.
 7. **Cess base error** — 4% of (tax after rebate + surcharge), not before surcharge.
 8. **Rounding at wrong place** — only Total Income (288A) and net tax payable (288B) to ₹10, not intermediates.
 9. **Carry-forward without timely return** — business/speculation/capital/race-horse need 139(1) filing (Sec 80); HP loss & unabsorbed depreciation don't.
 10. **Salary never negative**; business loss NOT against salary (71(2A)).
 11. **Double-counting 80C bucket** — 80C+80CCC+80CCD(1) share ONE ₹1,50,000 cap (80CCE); only 80CCD(1B) & 80CCD(2) sit outside.
 12. **80TTA/80TTB confusion** — never both; never 80TTA on FD interest.
 13. **Plain GTI where adjusted GTI required** — 80G/80GG/80GGC run on AGTI, computed after other deductions.
 14. **Regime lock-in & Form 10-IEA deadline** — business assessee flip back to new only once; file 10-IEA by 139(1) date.
 15. **Missing 234-series interest at Stage 12** — "return filed late"/"no advance tax" = add-back after cess.
 16. **Clubbed loss** — clubbing runs both ways; clubbed HP loss is set off in transferor's hands.
-

One-line recall

- **Chant:** Heads → Club → Set-off → GTI → VI-A → TI → Split → Rebate → Surcharge → Cess → Relief → Payable → less prepaid.
- **HP loss inter-head cap ₹2,00,000; VI-A ≤ GTI and never against 111A/112/112A/115BB.**
- **87A:** Old TI ≤ ₹5L → ₹12,500; New TI ≤ ₹7L → ₹25,000 (+ marginal relief); residents only.
- **Surcharge:** 10%/15%/25%/37% (>50L/1cr/2cr/5cr); new regime caps at 25%; 15% cap on 111A/112/112A/dividend; marginal relief everywhere.
- **Cess 4%** on (tax after rebate + surcharge); round TI & net payable to ₹10 (288A/288B).
- **80C bucket = one ₹1,50,000 cap (80CCE);** 80CCD(1B) + ₹50,000 & 80CCD(2) employer NPS sit outside.

GST: Concept & Framework — Revision Note

Snapshot

GST = single, destination-based, value-added tax on consumption, with seamless ITC; delivered as a DUAL levy (Centre + State) because India is a federation. Cures 3 pre-GST diseases: (1) cascading/tax-on-tax, (2) fragmented non-fungible credit silos, (3) inter-State barrier (CST + check-posts). Taxable event = supply (not manufacture/sale/service).

Sanity identity: Net GST to govt (whole chain) = Rate × Final consumption value. If it fails → a credit link leaked (composition dealer / exempt supply / blocked credit u/s 17(5) / unregistered link).

Core concepts

- **Value-added view = consumption view:** sum of value additions along a chain = final selling price; taxing increments collects same total as taxing the whole once. Collected in self-policing instalments (buyer demands invoice for ITC → pulls seller into net; fights evasion too).
- **Destination-based:** tax accrues where consumed, not where produced/originated.
- **IGST is a clearing pipe, NOT a third tax:** IGST = CGST rate + SGST rate; Centre collects, apportions SGST share to destination State via Art. 269A. Buyer's act of claiming credit triggers revenue to reach correct govt.

Key provisions / rules

Constitutional pillars (101st Amendment Act, 2016)

Article	Content
246A	Concurrent power to Centre & States to levy GST; also carves out petro <i>timing</i>
269A	Centre levies & collects IGST on inter-State supply, then apportions
279A	GST Council (279A(5) lists 5 petro products for Council to decide levy date)
366(12A)	Defines GST; excludes alcoholic liquor for human consumption (by definition)

Charging sections

- **Sec 9 CGST** — intra-State supplies, value u/s 15, rate ≤ 20%. 9(2) petro deferral; 9(3) RCM notified; 9(4) RCM from unregistered (notified); 9(5) ECO liability.
- **Sec 5 IGST** — inter-State + imports; ceiling 40%. IGST on imported **goods** collected under Customs Tariff Act at customs (NOT GST machinery).

Which tax applies

Supplier location vs Place of supply	Nature	Tax
Same State/UT	Intra-State (Sec 8 IGST)	CGST + SGST/UTGST
Different State/UT, import, export, SEZ	Inter-State (Sec 7 IGST)	IGST

SEZ supply = inter-State (IGST) even within same State.

UTGST vs SGST — test is LEGISLATURE, not statehood

- Have legislature → SGST: **Delhi, Puducherry, J&K**.
- No legislature → UTGST: Chandigarh, A&N, Lakshadweep, Ladakh, DNH&DD.

ITC set-off order (Sec 49, 49A, 49B; Rule 88A)

Credit of	Used against (in order)	Never against
IGST	IGST → CGST → SGST (exhaust first; leftover split freely)	—
CGST	IGST → CGST	SGST

Credit of	Used against (in order)	Never against
SGST/UTGST	IGST → SGST	CGST
Central & State money never cross directly; IGST is neutral bridge.		

Thresholds (Sec 22) — aggregate turnover (Sec 2(6): PAN-based, all-India, excl. GST)

Category	Goods	Services
Normal States	₹40 lakh	₹20 lakh
Special category States	₹20 lakh	₹10 lakh
₹40 L goods limit only if EXCLUSIVELY goods. Sec 24 compulsory registration overrides thresholds (inter-State goods supplier, casual/non-resident TP, RCM liable, ECO, ISD, agents).		

Composition (Sec 10) — verify figures

~₹1.5 cr goods (1%: 0.5+0.5 traders/mfr), restaurants 5% (2.5+2.5), Sec 10(2A) services 6% up to ₹50 L. No ITC, no tax collection, no inter-State outward supply, Bill of Supply.

GST Council (Art. 279A)

- Chair = Union FM; members = Union MoS Finance + State FMs; Vice-Chair from States.
- Quorum = 1/2. Decision = $\geq 3/4$ of weighted votes. Centre = **1/3**, States (together) = **2/3**.
- Mutual veto: Centre alone 33.3% < 75% (can't pass, but can block); States alone 66.6% < 75% (can't pass without Centre). Recommendations **recommendatory**, not binding (Mohit Minerals).

Taxes subsumed / kept out

- Central subsumed:** Excise, Service Tax, CVD, SAD, central cesses.
- State subsumed:** VAT, CST, Entry Tax/Octroi, Luxury, Entertainment (non-local), Purchase, betting/lottery.
- CVD/SAD in (IGST-on-imports replaces them); **BCD out** (a protective tariff).
- Kept OUT (5 kings):** Alcoholic liquor (by definition — needs amendment), 5 petro products (by timing — needs Council date: crude, HSD, petrol, natural gas, ATF), Electricity, Stamp duty, Basic Customs Duty. Tobacco IN but central excise also possible.

Worked mini-example

Intra-State chain @18%, Mfr base ₹10,000 → Distributor +₹4,000 → Retailer +₹6,000.

- Mfr: GST 1,800, ITC 0, net **1,800**.
- Distributor: sale 14,000, GST 2,520, ITC 1,800, net **720**.
- Retailer: sale 20,000, GST 3,600, ITC 2,520, net **1,080**.
- Total to govt = 1,800+720+1,080 = **3,600** = 18% × 20,000. ✓ Cascade dead.

Exam traps & must-remember

- IGST is NOT a third tax; = CGST + SGST rate, Centre collects, routes to destination.
- CGST ↔ SGST can NEVER offset each other; only IGST bridges (may force cash even when other-head credit sits idle).
- IGST credit must be exhausted FIRST; then leftover split freely (Rule 88A) — steer to head lacking other credit to minimise cash.
- ₹40 L limit = goods only & exclusively goods; services ₹20 L (₹10 L special).
- Sec 24 compulsory registration overrides "turnover below threshold."
- Inter-State SGST share → CONSUMING State, not supplier's State.
- SEZ = inter-State even within same State.

8. IGST on imported goods under Customs Tariff Act; BCD not subsumed.
9. Liquor out by **definition** (Art 366(12A), needs amendment); petro out by **timing** (Council date).
10. Council vote: Centre 1/3, States 2/3, pass 3/4, quorum 1/2 → mutual veto.
11. Taxable event = SUPPLY, not manufacture.
12. Composition/exempt/unregistered link breaks "rate × final value" identity.

One-line recall

- GST = single destination-based value-added consumption tax; dual levy (federation) = CGST + SGST/UTGST; inter-State = IGST.
- Constitutional: 246A (power + petro timing), 269A (IGST), 279A (Council), 366(12A) (defines, excludes liquor); 101st Amendment.
- Set-off: IGST first (split leftover); CGST never→SGST; SGST never→CGST.
- Thresholds: goods ₹40L (exclusively)/services ₹20L; special ₹20L/₹10L; Sec 24 overrides.
- Council: 1/3–2/3, pass 3/4, quorum 1/2, recommendatory.
- Out: liquor (definition), 5 petro (timing), electricity, stamp duty, BCD.

Supply under GST — Revision Note

Snapshot

GST replaces manufacture/sale/service with ONE taxable event: **supply** (Sec 7, CGST Act) read with Schedules I, II, III and Sec 8 (bundles). No supply → no GST, however much money moves. Golden line: "No supply, no GST."

Core concepts

Upstream filter (before Sec 7): everything is *goods* [2(52): every movable property, incl. actionable claims, growing crops/severable things; **excl. money & securities**] OR *services* [2(102): anything else; incl. use/conversion of money for a separate consideration]. Money & securities = NEITHER → trading is outside GST, but the fee/commission/conversion charge IS a taxable service.

Key provisions / rules

Sec 7(1) — the four gates

Clause	Captures	Requirement
7(1)(a)	Forms: sale, transfer, barter, exchange, licence, rental, lease, disposal	Consideration AND course/furtherance of Business ("C+B")
7(1)(b)	Import of services	For consideration; business NOT needed
7(1)(c) + Sch I	Schedule I activities	WITHOUT consideration (anti-avoidance)

Four-quadrant shortcut: price+business → 7(1)(a); price, no business → only 7(1)(b); no price, business → only Sch I; no price, no business → never a supply.

Sec 7(1A) + Sch II — once a supply, classify goods vs services (post-2018: Sch II is CLASSIFIER only, not a gate). **Sec 7(2) + Sch III** — non-obstante clause; overrides 7(1). Test Sch III FIRST. **Sec 7(3)** — Govt may notify goods↔services.

Key definitions

- **Consideration [2(31)]**: money/act/forbearance, by recipient or any other person. Govt subsidy EXCLUDED; deposit NOT consideration until supplier appropriates it (tax on appropriation, not receipt).
- **Business [2(17)]**: very wide; incl. one-off adventures; whether or not for pecuniary benefit, volume, frequency. Test attaches to transaction's purpose, not person's occupation.
- **Distinct persons [25(4)/(5)]**: same PAN, different GSTIN (or 2 regns in 1 State) → separate persons (makes branch transfers taxable).
- **Related persons [Expl. to Sec 15]**: control/holding ≥25%/family/employer-employee/partners/sole-agent-distributor.

Schedule I — supply WITHOUT consideration (4 entries)

#	Deemed supply	Note
1	Permanent transfer/disposal of business assets where ITC availed	No ITC availed → NOT covered
2	Supply between related/distinct persons in course of business	Except employer→employee gift ≤ ₹50,000/FY
3	Principal ↔ agent (agent handles goods under own invoice)	Pure commission agent (arranges only) NOT covered
4	Import of services from related person / own foreign establishment, in business	Mirrors 7(1)(b) for free related case

Schedule II — goods vs services

Title/ownership passes → **goods** (incl. hire-purchase). Right-to-use/activity/forbearance → **services**. Declared **services**: works contract [2(119)], restaurant supply, lease/tenancy/licence of immovable property, renting immovable property, job

work, temporary transfer of IPR, IT software development, agreeing to refrain/tolerate/do an act. Construction for sale = service (except entire consideration received AFTER completion certificate → then out).

Schedule III — NOT a supply ("ELF-CAG")

Employment (employee→employer), Land & completed buildings (sale), Funeral/burial/mortuary, Court/Tribunal + constitutional/MP/MLA functions, Actionable claims (except lottery, betting, gambling + notified online gaming), Goods outside India / high-sea sales / in-bond sales before home consumption. Actionable claim chain: 2(52) puts in → Sch III takes ordinary ones out → lottery/betting/gambling stays in.

Sec 8 — bundles (precondition: single price + ≥2 different supplies)

Type	Definition	Rule
Composite [2(30)]	Naturally bundled, one principal supply [2(90)]	Rate of PRINCIPAL supply [8(a)] — "Composite = Core"
Mixed [2(74)]	Single price, NOT naturally bundled	HIGHEST rate [8(b)] — "Mixed = Max"
Separately priced → not Sec 8 (each at own rate). One type only → plain single supply. Natural-bundle indicators: recipient perception, industry practice, main-element reason, can't be supplied separately.		

Worked mini-example

Gift hamper ₹2,000: snacks 12% + chocolate 18% + aerated drink 28%, single price → **mixed** → 28% → GST ₹560. Laptop + carry-bag single ₹50,000 → **composite** (laptop principal) → 18% → ₹9,000. Same laptop+bag separately priced (₹47,000+ ₹3,000) → not Sec 8 → 8,460+840 = ₹9,300.

Exam traps & must-remember

1. "No money → no GST" wrong: check Schedule I (branch/related/ITC-availed disposal/free import from parent).
2. Import of service for personal use IS a supply (7(1)(b) drops business requirement).
3. Post-2018 Sch II only classifies goods/services; cross 7(1) gate first.
4. Composite vs mixed: ask "sold separately in normal course?"
5. Sale of land/completed building → Sch III (out); under-construction flat (before completion cert / part payment) → service, taxed.
6. Employee salary + contractual perquisites → Sch III; gift > ₹50,000 → Sch I supply.
7. Actionable claims out EXCEPT lottery/betting/gambling (+ notified gaming).
8. Distinct persons apply even within same State (2 regns).
9. Govt subsidy excluded from consideration; non-govt subsidy included.
10. Works contract & restaurant = declared services by Sch II — don't run composite/mixed test.
11. Securities/money trade outside GST; only brokerage/commission/conversion fee taxable.
12. Deposit taxed only on appropriation, not receipt.
13. Distinct persons (reg, Sec 25) ≠ related persons (relationship, Sec 15).
14. High-sea/in-bond sale not taxed twice; IGST once at import stage.

One-line recall

- Supply [7] = (a) forms for consideration + business (C+B); (b) import of service for consideration (no business); (c) Sch I without consideration.
- Sch II = classifier (7(1A)); Sch III = NOT supply "ELF-CAG" (7(2)).
- Schedule I = 4 no-consideration supplies (ITC-availed disposal; related/distinct; principal↔agent; import from foreign establishment).
- Bundles: Composite → principal rate 8(a); Mixed → highest rate 8(b); separately priced → out of Sec 8.
- Goods/services exhaustive & mutually exclusive; money & securities are neither (fee is a service).

Charge of GST (Levy & Reverse Charge) — Revision Note

Snapshot

Three answers: **charging section** (Sec 9 CGST / Sec 5 IGST) = the authority (Art. 265: no tax without law); **RCM** = collect from recipient where supplier is untraceable; **composition** = keep small dealers in net without crushing them. Tax never changes — only WHO pays and HOW MUCH paperwork. Read every problem by 3 dials: **territory** (intra/inter), **collector** (FC/RCM/ECO), **regime** (normal/composition).

Core concepts

Levy ≠ collection. Levy (liability) arises the instant a taxable supply happens; collection is the machinery. One levy; three collection routes (forward charge / reverse charge / Sec 9(5) ECO). Calling RCM "a separate tax" is wrong.

Key provisions / rules

Sec 9 CGST (mirror = Sec 5 IGST)

Sub-sec	Content
9(1)	Levy CGST on intra-State supplies, except alcoholic liquor for human consumption, on value u/s 15, rate ≤ 20% , paid by taxable person (forward charge , default)
9(1) proviso / 9(2)	5 petroleum products levied from date notified (inside GST, not yet notified)
9(3)	RCM on notified goods/services → recipient pays
9(4)	RCM on purchase from unregistered by notified classes (chiefly real-estate promoter: 80% procurement, cement)
9(5)	ECO deemed supplier on notified services
Rates (0/5/12/18/28 + cess) are NOTIFIED, not in Act. IGST ceiling 40% ; IGST on import of goods collected under Customs Tariff Act. Industrial/denatured alcohol NOT auto-excluded from GST (only alcohol <i>for human consumption</i> is out).	

Forward charge — GTA option

GTA default = 9(3) RCM @ 5% (recipient pays, no ITC to GTA on that route). GTA may OPT forward charge @ **12% with full ITC** (Annexure V, per FY) → then recipient does NOT pay RCM.

RCM (Sec 2(98), 9(3)/(4)/(5)) — key rules

1. Recipient pays in **CASH** (electronic cash ledger); cannot use ITC to PAY RCM; claim ITC after (if used for business). Blocked if only exempt outputs → real cost.
2. **Compulsory registration — Sec 24(iii)**, no threshold.
3. **Self-invoice — Sec 31(3)(f)** when supplier unregistered (+ payment voucher).
4. Composition dealer pays RCM at NORMAL rate, no ITC.
5. TOS different under RCM (goods: earliest of receipt/payment/invoice+30; services: payment/invoice+60).

Sec 9(3) notified services (Notification 13/2017 — illustrative)

GTA (unless 12% FC) → registered recipient/body corporate/firm/etc.; **legal services** by advocate → any **business entity**; arbitral tribunal → business entity; **sponsorship** → body corporate/firm; Govt services → business entity; **director** (non-employee capacity) → company; insurance agent → insurance co.; recovery agent → bank/NBFC; renting of motor vehicle (fuel incl., not 12%) → body corporate; import of service → Indian recipient.

- Legal/Govt-service RCM: recipient must be **business entity**; below-threshold carve-out (verify).
- Director: salary (employee) = Sch III, outside GST; only sitting fees/commission (independent capacity) → RCM. Notified goods (9(3)): cashew (unshelled), tobacco leaves, silk yarn, raw cotton — by agriculturist → any registered person; lottery.

Sec 9(5) ECO deemed supplier vs Sec 52 TCS

- **9(5)**: 4 notified services — cab aggregators (Ola/Uber), restaurant via platform (Zomato/Swiggy, not specified premises), unregistered-hotel accommodation, house-keeping — ECO pays **WHOLE** GST as supplier; actual supplier reports nothing.
- **Sec 52 TCS**: all OTHER e-commerce — seller pays GST; ECO only collects TCS (currently 0.5% CGST + 0.5% SGST = **1%**, verify) on net value. Acid test: is it one of the 4 Sec 9(5) services? Yes → ECO pays; No → seller pays + ECO does TCS.

Composition (Sec 10)

Category	CGST+SGST	Total	Base
Manufacturer (not notified goods)	0.5+0.5	1%	Total State turnover
Trader	0.5+0.5	1%	Taxable State turnover
Restaurant (no alcohol)	2.5+2.5	5%	Total State turnover
Sec 10(2A) services/mixed	3+3	6%	Turnover; ceiling ₹50 L

- **10(1) eligibility**: preceding-FY **aggregate turnover** ≤ **₹1.5 cr** (₹75 L special States). Aggregate turnover **INCLUDES** exempt supplies (all-India, PAN).
- 10(1) permitted extra services: higher of **₹5 L or 10% of turnover**.
- **Two measuring sticks**: eligibility = aggregate turnover (incl. exempt); tax base = State turnover (taxable-only for trader).
- **Conditions (10(2))**: no inter-State **OUTWARD** supply (inward OK); no supply via TCS e-commerce operator; not dealing in non-leviable goods; not notified excluded manufacturer (ice-cream, pan masala, tobacco, aerated water); not CTP/NRTP; all same-PAN regns opt together; **no ITC, no tax collection, Bill of Supply, quarterly CMP-08, annual GSTR-4, pay RCM at normal rate**.
- **Exit (10(3)/(5))**: option lapses day turnover crosses ceiling — **prospective**; file CMP-04; claim opening-stock ITC via ITC-01. Wrong opt-in → normal tax + penalty (Sec 73/74).

Worked mini-example

Vega (registered) month: legal fees ₹2,00,000 → RCM 18% = ₹36,000 (cash); GTA freight ₹50,000 (not 12% FC) → RCM 5% = ₹2,500 (cash); stationery ₹40,000 from registered dealer → FC. **RCM cash = ₹38,500** (then claim as ITC). If GTA opted 12%: GTA charges ₹6,000 FC, Vega RCM drops to ₹36,000.

Exam traps & must-remember

1. RCM **CANNOT** be paid using ITC — cash only; claim ITC after.
2. RCM recipient must register regardless of turnover (24(iii)).
3. Alcohol (human consumption) permanently out; 5 petro inside but not notified; industrial alcohol not auto-out.
4. Composition dealer: Bill of Supply, no tax collected, "composition taxable person" declaration.
5. Trader 1% on **TAXABLE** turnover; manufacturer/restaurant on **TOTAL** turnover.
6. Ceilings: ₹1.5 cr goods / ₹50 L services / ₹75 L special; extra-services limit ₹5 L or 10%.
7. One inter-State **OUTWARD** supply kills composition (inward purchase OK).
8. Composition dealer still pays RCM at normal rate.
9. GTA RCM only if **NOT** opted 12% forward.
10. 9(5) ECO deemed supplier ≠ Sec 52 TCS.
11. Composition eligibility (incl. exempt) vs tax base (taxable-only trader) — exempt counted for eligibility, excluded from trader base.
12. Director salary = Sch III (out); sitting fees = 9(3) RCM.

13. Levy ≠ collection; RCM/9(5) not separate taxes.

14. Composition transition = prospective from breach day.

One-line recall

- Charge: Sec 9 CGST (≤20%), Sec 5 IGST (≤40% + imports); rates notified.
- RCM: recipient pays cash, self-invoice if unregistered supplier, compulsory registration (24(iii)); GTA/legal/director-fees/sponsorship/import etc.
- GTA: RCM 5% no-ITC, or opt FC 12% full-ITC.
- 9(5): ECO pays as supplier (cab/restaurant/hotel/housekeeping); else Sec 52 TCS 1%.
- Composition: ≤₹1.5cr goods (1%), restaurant 5%, services ≤₹50L (6%); no ITC/no collection/Bill of Supply/CMP-08.
- Two sticks: eligibility = aggregate incl. exempt; base = State turnover (trader taxable-only).

Exemptions from GST — Revision Note

Snapshot

A consumption tax is regressive; exemption is the release valve for essentials, merit goods (health/education) and small suppliers. Exemption is **supply-based** (removes a supply regardless of who); distinguish from **threshold** (Sec 22, person-based) and **composition** (Sec 10, person-based, flat rate). Golden line: **Exempt = tax dies AND credit dies; Zero-rated = tax dies BUT credit lives.**

Core concepts

Exemption breaks the ITC chain → mid-chain exempt supplier absorbs blocked input tax as cost → next taxable runner taxes an inflated price → **cascading sneaks back**; a mid-chain exemption can RAISE total tax. Therefore exemptions kept **short and near the final/consumer stage.**

Four "no-tax" devices — different ITC consequences

Device	Is it "supply"?	"Exempt supply" 2(47)?	ITC
Schedule III (salary, sale of land)	No	No	No (not a supply)
Non-taxable 2(78) (alcohol, petro)	Yes	Yes (included)	Blocked
Exempt / nil (Sec 11 / schedule)	Yes	Yes	Blocked
Zero-rated (export/SEZ, Sec 16 IGST)	Yes	No	Preserved/refundable

Key provisions / rules

Power to exempt — Sec 11 CGST / Sec 6 IGST

Sub	Content
11(1)	General exemption by notification ; wholly/partly; absolute/conditional; needs Council recommendation + public interest
11(2)	Special order (ad-hoc) under exceptional circumstances
11(3)	Explanation within 1 year , effect retrospective
Notification prospective from stated date unless provided. Absolute exemption = compulsory (can't opt to pay).	

Definitions

- **Exempt supply — 2(47):** (a) nil-rated, OR (b) **wholly** exempt (Sec 11/6), AND includes non-taxable supply. "Wholly" is load-bearing: **partly** exempt (concessional rate) = taxable at lower rate → ITC fully AVAILABLE.
- **Non-taxable supply — 2(78):** GST not leviable at all (alcohol; current petro).
- **Aggregate turnover — 2(6):** taxable + exempt + exports + inter-State (PAN, all-India); **excludes** GST and inward RCM value.

Key notifications (verify)

Goods rates 1/2017-CT(R); exempt goods 2/2017-CT(R); service rates 11/2017-CT(R); **exempt services 12/2017-CT(R)**. Read a 12/2017 entry via 4-part test: **supplier / recipient / description / condition** — all must align; examiner breaks exactly one.

Absolute vs conditional

- **Absolute** (no condition): mandatory; can't charge tax; wrong tax charged → recipient's ITC **ineligible** (dead credit). E.g. transmission/distribution of electricity, RBI services, public conveniences.
- **Conditional:** exempt only if condition met (miss → taxable). E.g. hotel tariff limit; GTA consignment value; charitable activities (Sec 12AA/12AB Income-tax + defined activities).

The Big Four — ITC treatment

Concept	Leviable?	ITC	In aggregate turnover?
Nil-rated	Yes (rate nil)	Blocked	Yes
Exempt (Sec 11/6)	Yes	Blocked	Yes
Non-taxable (2(78))	No	Blocked	Yes (is exempt supply)
Zero-rated (Sec 16 IGST)	Yes, @0 with credit	Allowed/refundable	Yes
Zero-rating (exports/SEZ): LUT/bond without payment + refund of unutilised ITC, OR pay IGST + claim refund. Destination principle: "don't export our taxes." Export of an exempt good → zero-rated → ITC unlocks (domestic sale blocks it).			

Key exempt clusters (why → what)

- **Health care (merit/equity):** clinical establishment/practitioner/para-medics; ambulance; in-patient package (room+meds+food per doctor) = composite exempt. NOT exempt: cosmetic/plastic surgery, hair transplant, room rent above notified limit (commonly >₹5,000/day excl. ICU), food to attendants/visitors.
- **Education:** institution to students/faculty/staff (pre-school–higher secondary / recognised qualification / approved vocational); input services (transport, catering incl. mid-day meals, security, cleaning, admission/exam) **only up to higher secondary**; entrance exam by institution. NOT exempt: private coaching, placement, sale of uniforms/books by third parties.
- **Agriculture:** cultivation/harvesting/threshing/plant protection/farm labour/warehousing/commission agent; unbranded grains, fresh produce, milk. **"Agricultural produce" narrow** — warehousing/loading of **processed** produce (tea, coffee, jaggery, milled pulses, sugar) = TAXABLE.
- **Transport:** non-AC public passenger (stage/contract carriage, metro, vessel, metered auto/e-rickshaw); goods by road (except GTA/courier) & inland waterways; specified goods by GTA/rail; GTA value limits (e.g. ₹750 single consignee / ₹1,500 single carriage — verify); electricity; tolls. Taxable: AC contract carriage, radio taxi, app cabs.
- **Others:** charitable (12AA/12AB, defined activities only); religious ceremonies + precinct rent within limits; **interest on loans/deposits exempt but fees taxable**; residential dwelling as residence (RCM if registered recipient); Govt/RBI/SEBI/IRDA services; legal services (individual advocate to non-business / small business — else RCM); event admission below limit.

Registration interplay

- Only exempt supplies → **Sec 23(1)(a): not liable to register**, however large.
- Mixed supplies → all turnover (incl. exempt) counts for threshold.
- **Sec 24 RCM liability overrides Sec 23 shelter** (verify current wording).
- Consequences: ITC blocked (17(2)); common ITC reversed (Rule 42/43); switch taxable↔exempt → Sec 18(1) claim / 18(4) reversal; issue **bill of supply** (31(3)(c)); **no tax collected** (Sec 32).

Worked mini-example

Aggregate turnover: taxable goods ₹28 L + exempt pulses ₹9 L + alcohol (non-taxable) ₹6 L = **₹43 L** > ₹40 L → **must register** (inward RCM ₹3 L excluded). Exempt + non-taxable push him over even though no GST owed. (If only exempt/non-taxable, Sec 23 exempts registration.)

Exam traps & must-remember

1. "Exempt = good for everyone" false; blocks ITC, can raise total tax.
2. Nil-rated ≠ Zero-rated — nil blocks ITC; zero-rated refunds it.
3. Non-taxable is STILL an "exempt supply" (2(47)) → counts in turnover, blocks ITC.
4. Absolute exemption mandatory; wrong tax charged → recipient ITC dead.
5. Conditional exemption tested per unit/limit (hotel/GTA/charity/event).

6. Coaching ≠ education (no recognised qualification) → taxable.
7. Interest exempt, fees taxable — split the bill.
8. Bill of supply, no tax collected (Sec 32) on exempt.
9. Rule 42 reversal compulsory the moment ANY exempt output exists.
10. "Wholly" vs "partly" — partly exempt = taxable at lower rate → ITC allowed.
11. Schedule III ≠ exempt (not a supply); doesn't enter 2(47).
12. "Agricultural produce" narrow — processed produce taxable.
13. In-patient hospital package exempt; canteen food to visitors taxable.
14. Export of exempt good → zero-rated refund.
15. Sec 23 shelter lost if Sec 24/RCM liability arises.

One-line recall

- Sec 11 CGST/6 IGST: 11(1) notification, 11(2) special order, 11(3) explanation retrospective (1 yr).
- Exempt supply 2(47) = nil + wholly exempt + non-taxable; all block ITC & count in turnover.
- Big Four: nil/exempt/non-taxable block ITC; only zero-rated (Sec 16 IGST) preserves/refunds.
- Absolute = mandatory (wrong tax = dead ITC); conditional = test limit; partly exempt = still taxable, ITC allowed.
- Clusters: health, education (up to higher secondary), agriculture (primary produce), transport (non-AC public), interest, charitable (12AA/AB).
- Only-exempt → no registration (Sec 23); RCM (Sec 24) overrides.

GST — Time of Supply

Secs 12–14 CGST Act. Verify current RCM list, advance-on-goods exclusion, ₹1,000 services relief and Sec 14/e-invoicing amendments against ICAI material.

Snapshot

Time of Supply (TOS) fixes the single moment tax crystallises — and thereby the **rate** and the **return period**. Two instincts: "earliest of" triggers (front-load revenue) + "don't let taxpayer control the clock" (statutory invoice deadline caps delay). Sec 12 = goods, Sec 13 = services, Sec 14 = change in rate (overrides 12/13). Triage first: rate change straddling? → Sec 14. Else forward/reverse → goods/services.

Core concepts

- **"Date of receipt of payment"** = earlier of (a) entry in supplier's books, or (b) credit to bank.
- **"Date of issue of invoice"** compared against Sec 31 due date (anti-manipulation backstop).
- Goods = visible physical pivot; services = often continuous/invisible → treated differently.
- Golden asymmetry: **advance on GOODS = ignored; advance on SERVICES = taxed.**

Key provisions / rules

Sec 31 invoice due dates (the backstop)

Supply	Invoice due
Goods — movement	On/before removal
Goods — no movement	On/before delivery /made available
Continuous goods	On/before each statement/payment
Goods on approval (sale or return)	Earlier of confirmation OR 6 months from removal
Services (general)	Within 30 days
Services (banks/NBFC/insurer)	Within 45 days

TOS rules

Scenario	Sec	TOS
Goods — forward	12(2)	Date of invoice, OR if late/none → Sec 31 due date (removal/delivery). Advance ignored (but issue receipt voucher u/s 31(3)(d))
Services — forward	13(2)	Invoice within 30/45 days → earlier of invoice or payment ; if late → earlier of provision or payment ; else recipient's book entry. Advance taxed
Goods — RCM	12(3)	Earliest of: receipt of goods / payment / (invoice date +30 days +1). Else book entry
Services — RCM	13(3)	Earliest of: payment / (invoice date +60 days +1). Else book entry. Foreign associated enterprise → earlier of book entry or payment
Voucher	12(4)/13(4)	Supply identifiable at issue → issue date ; else → redemption date (test = rate knowable at issue)
Residual	12(5)/13(5)	Return due date; else date tax paid (only when all specific limbs fail)
Interest/late fee/penalty for delayed payment	12(6)/13(6)	Date of receipt of that amount

- Invoice can only pull TOS **earlier** than Sec 31 date, never later (early invoice accelerates; late invoice doesn't defer).
- Services small-advance relief: excess **up to ₹1,000** over invoice value → optionally TOS = invoice date (verify figure).
- RCM "payment" = what **recipient pays supplier** (not what supplier receives).

Sec 14 — Change in rate of tax (overrides 12/13)

Three events supply, invoice, payment. **2-of-3 majority** on one side of the rate-change date decides the rate; TOS = date of the winning-side trigger.

Case A — supply BEFORE change:

Invoice	Payment	TOS	Rate
After	After	earlier of invoice/payment	NEW
Before	After	invoice date	OLD
After	Before	payment date	OLD

Case B — supply AFTER change:

Invoice	Payment	TOS	Rate
Before	After	payment date	NEW
Before	Before	earlier of invoice/payment	OLD
After	Before	invoice date	NEW

Shortcut: majority of the 3 events wins the rate; TOS = date on winning side. **Payment proviso:** if bank credit is **>4 working days** after rate change, use bank-credit date (not book entry).

Worked mini-example

Rate 12%→18% on 1 Sep. Service provided 20 Aug (before), invoice 3 Sep (after), payment 28 Aug (before).

- Supply before → Case A. Events: supply(before) + payment(before) + invoice(after) = **2 before** → **OLD 12%**.
- Case A "invoice after / payment before" → TOS = **payment date 28 Aug**, rate **12%**.
- If payment had also been 3 Sep: invoice+payment both after → **18%**, TOS = 3 Sep.

Exam traps & must-remember

1. **Advance on goods NOT taxed; advance on services IS** — most tested distinction.
2. Late invoice on **goods** → TOS = Sec 31 due date (removal/delivery), not invoice date.
3. RCM: services backstop **60 days**, goods **30 days**; trigger is day immediately after (+N+1).
4. RCM anchors to recipient's events, not supplier's invoice (except +30/+60 backstop).
5. Sec 14 **overrides** 12/13 — switch the moment a rate change straddles the supply.
6. "Receipt of payment" = earlier of book entry or bank credit (except Sec 14 >4-working-day proviso).
7. Voucher timing = rate-certainty, not cash timing. Single-purpose = issue; general = redemption.
8. Services with advance can have **split TOS** across two months.
9. Continuous supply uses its own Sec 31 dates (not plain 30-day).
10. No-movement goods use **delivery** limb, not removal.
11. Late invoice on **services** → fall to **date of provision** (not invoice date).
12. Foreign associated-enterprise RCM services → **earlier of book entry or payment**.
13. Sec 14 4-working-day proviso can flip payment side and change rate.
14. Receipt voucher still mandatory on advance-for-goods (not taxed ≠ nothing to do).
15. Don't reach residual rule prematurely.

One-line recall

- Goods forward: invoice or Sec 31 due date; advance ignored.
- Services forward: earlier of invoice/payment (or provision/payment if late); advance taxed.
- RCM goods = earliest of receipt/payment/(invoice+30+1); RCM services = earliest of payment/(invoice+60+1).
- Voucher: identifiable → issue; else redemption. Residual → return due date/tax paid date.

- Interest/late fee → date of receipt.
- Sec 14: majority of supply, invoice, payment decides rate; overrides 12/13.

GST — Value of Supply

Sec 15 CGST Act + Valuation Rules 27–35. Rules stable; verify GST rates, TCS position and Rule 32 slab figures against ICAI material.

Snapshot

GST is ad valorem, so value must be pinned precisely. Default = **transaction value** (price actually paid/payable) but ONLY if (i) parties **unrelated** AND (ii) price is **sole consideration**. Then add inclusions (15(2)) and subtract discounts (15(3)). If price disqualified or missing → Valuation Rules ladder (OMV → like-kind → cost+10% → best judgement). GST value is always **exclusive of GST itself**.

Core concepts

- "Transaction value" = starting price *after* 15(2)/15(3) surgery, not the invoice figure.
- Two gatekeepers fail independently: "unrelated" polices **who**; "sole consideration" polices **what**. "R.S." disqualifies — **Related** or not **Sole consideration** → go to Rules.
- Rules are an **evidence hierarchy** — never skip a rung upward (weaker evidence over stronger).
- One value per transaction; split the **tax** (CGST+SGST/IGST), not the value.

Key provisions / rules

Sec 15(2) Inclusions — "T-P-I-I-S"

Clause	Include	Watch-out
15(2) (a)	Taxes/duties/cesses/fees under any law other than GST , if charged separately	GST itself (CGST/SGST/IGST/Cess) NEVER included. TCS (Income-tax Act) not included (verify)
15(2) (b)	Payments supplier liable but recipient paid (not in price)	Only supplier's obligation; buyer's own liability (FOR-buyer freight) = nothing to add
15(2) (c)	Incidental expenses — commission, packing, done at/before delivery	Post-delivery independent service = separate supply
15(2) (d)	Interest/late fee/penalty for delayed payment	Taxed on receipt (Sec 12(6)/13(6)); accrued-unpaid not yet valued
15(2) (e)	Subsidies price-linked, non-government	Government subsidy always EXCLUDED; non-price-linked grant EXCLUDED

Sec 15(3) Exclusions (discounts)

Type	Condition
Pre/at supply — 15(3) (a)	Must be recorded in invoice
Post-supply — 15(3) (b)	ALL FOUR: (1) agreement at/before supply, (2) linked to relevant invoices, (3) credit note issued, (4) recipient reverses ITC

Post-supply discount with no prior agreement = NOT deductible. Blanket year-end rebate not tied to invoices = fails linkage.

Valuation Rules ladder (15(4) → Rules 27–31)

Rule	Trigger	Method
27	Non-money consideration (barter/exchange)	OMV → money + money-equivalent → like kind → 30/31
28	Related/distinct persons	OMV → like kind → 30/31. Proviso 1: full ITC → invoice value = OMV . Proviso 2: goods for onward supply as-such → optional 90% of recipient's onward price
29	Through agent	OMV OR (supplier's option) 90% of agent's price to unrelated customer → 30/31

Rule	Trigger	Method
30	No anchor	110% of cost (cost + 10%)
31	Nothing works	Best judgement (services may skip 30, use 31 directly)

- **OMV** = full money value (ex-GST) at **same time, unrelated, sole consideration**.
- "Like kind and quality" = substantially resembling in characteristics/quality/quantity/function/reputation.

Sec 15(5) — notified sectors (Rule 32, PRIMARY, overrides transaction value)

- 32(2) Forex: rate-difference ($|\text{txn rate} - \text{RBI ref}| \times \text{units}$; or 1% if no ref rate) OR annual slab (1% up to 1L min ₹250; ₹1,000+0.5% on 1L–10L; ₹5,500+0.1% above 10L, cap ₹60,000).
- 32(3) Air travel agent: **5% basic fare domestic / 10% international** (basic fare only, not total).
- 32(4) Life insurance: gross premium less investment portion; or 25% first year / 12.5% thereafter.
- 32(5) Second-hand goods **margin scheme**: SP – PP (no ITC availed); **negative margin ignored**; repossession → depreciation haircut per quarter.
- **Rule 33 pure agent** (excluded from value): 5-limb test — acts as pure agent on authorisation, separately indicated, additional to own supply, recipient liable, recovered at actuals no markup.
- **Rule 34** rate of exchange: goods → CBIC Customs Sec 14 rate; services → GAAP rate; at TOS date.
- **Rule 35** tax-inclusive: **Value = inclusive amount $\times$ 100 $\div$ (100 + rate)**.

Worked mini-example

Unrelated intra-State machine sale, GST 18%: Basic 5,00,000; municipal tax (separate) 20,000; packing 15,000; installation before delivery 25,000; late-payment interest received 8,000; private price-linked subsidy 30,000; invoice trade discount 40,000; pre-agreed post-supply discount (ITC reversed) 10,000.

- Add: 5,00,000 + 20,000 + 15,000 + 25,000 + 8,000 + 30,000 = **5,98,000**.
- Less: 40,000 + 10,000 = 50,000 → **Value = ₹5,48,000**. CGST 49,320 + SGST 49,320. Total = **₹6,46,640**.
- If subsidy were from State Govt → excluded → value 5,18,000.

Exam traps & must-remember

1. GST itself **never** in value (15(2)(a) carve-out).
2. Government subsidy excluded; only non-government **price-linked** subsidy included.
3. Post-supply discount with no prior agreement = NOT deductible.
4. Rule 28 full-ITC proviso: invoice value accepted as OMV (revenue-neutral).
5. Ladder is sequential — can't use Rule 30 if OMV available.
6. TCS (Income-tax Act) NOT included in value (verify).
7. Tax-inclusive price → Rule 35 divisor ($\times 100 \div (100 + \text{rate})$); don't apply rate on inclusive figure.
8. Delayed-payment interest taxed on **receipt** only.
9. Free supply to unrelated party = generally not a supply; between related/distinct persons = supply (Schedule I) → value under Rule 28.
10. Employer–employee related; but gifts up to ₹50,000/year not a supply. Sole agent/distributor deemed related.
11. Air agent 5%/10% on **basic fare**, not total fare.
12. Pure agent excludes only recipient's **third-party liability** at actuals; supplier's own out-of-pocket costs INCLUDED.
13. Add buyer-paid amount only if it discharged **supplier's** obligation.
14. Sec 15(5) notified supplies override transaction value (Rule 32 primary).
15. Negative margin (Rule 32(5)) ignored, not carried.
16. One value, split tax.

One-line recall

- Value = transaction value IF unrelated AND sole consideration; else Rules.
- Inclusions T-P-I-I-S; exclusions = disclosed pre-supply discount / pre-agreed+ITC-reversed post-supply discount.

- GST, government subsidies, non-price-linked grants, TCS, pure-agent pass-through = NEVER in value.
- Rules ladder: 27 (non-money) → 28 (related; full ITC=invoice) → 29 (agent, 90%) → 30 (cost+10%) → 31 (best judgement).
- Rule 32 sectors override; Rule 35 tax-inclusive = $\times 100 \div (100 + \text{rate})$.
- Air agent 5%/10% basic fare; second-hand = margin (negative ignored).

Input Tax Credit (ITC) — Secs 16–21, Rules 36–45

Snapshot

ITC = GST paid on purchases (inputs, input services, capital goods) set off against GST on sales, so each business is taxed only on its own value-add (cures cascading). ITC is a conditional privilege, not a right — default is no credit; earn it by proof. High-yield: Sec 16/17/18 conditions, blocked credits, utilisation order, reversal formulae.

Core concepts

- Three species of input tax [Sec 2(62)]: CGST/SGST/UTGST/IGST charged on supply to you + IGST on imports + RCM tax. Excludes composition tax and penalty.
- Inputs [2(59)] & input services [2(60)] → full instant credit. Capital goods [2(19), capitalised in books] → full upfront credit unless Rule 43 common-use applies; subject to depreciation bar (16(3)) and clawback on sale (18(6)).
- Input vs capital good = whether capitalised in books (not durability).
- "Intended to be used" → credit on receipt, not deferred to consumption (hence reversal machinery).

Key provisions / rules

Sec 16(1) gateway — R-I-B: Registered person + Input tax + Business/taxable use

Composition dealer & unregistered person get NO ITC.

Sec 16(2) — four cumulative conditions (non-obstante; PRTR)

#	Condition	Section
P	Possess valid tax invoice / debit note / bill of entry / ISD invoice	16(2)(a)
—	Invoice furnished by supplier in GSTR-1 & appears in GSTR-2B	16(2)(aa) + Rule 36(4)
R	Goods/services actually received (bill-to-ship-to deemed receipt; lots → credit on last lot)	16(2)(b)
T	Tax actually paid to govt by supplier	16(2)(c)
R	Recipient filed GSTR-3B	16(2)(d)

Plus 5th cross-cutting: pay supplier value + tax within 180 days [2nd proviso + Rule 37] else reverse ITC + interest; re-avail on payment (no fresh time bar). Proportionate on part-payment. NOT for RCM or Schedule I (no-consideration) supplies.

- Rule 37A: supplier filed GSTR-1 but not GSTR-3B (tax unpaid) by 30 Sep → recipient reverses by 30 Nov; re-avail when supplier pays.
- Sec 41: self-assessed credit reversed (+interest) if supplier hasn't paid; re-avail on payment.
- GSTR-2A (dynamic) vs GSTR-2B (static snapshot ~14th) — 16(2)(aa)/Rule 36(4) keyed to 2B. Provisional buffer (20%→10%→5%) now removed; strict to 2B.

Sec 16(3) depreciation bar

No ITC on tax component if income-tax depreciation claimed on that tax. (Capitalise net of GST, claim ITC.)

Sec 16(4) time limit

ITC on invoice/DN for a FY claimable up to earlier of 30 Nov following FY OR annual return date. Keyed to invoice's FY. Carve-outs (no bar): re-availment under Rule 37/37A/Sec 41; debit notes run on own FY; Sec 18(1) uses separate 1-year bar.

Sec 17(1)/(2) apportionment

17(1) partly non-business → business portion only. 17(2) partly exempt → taxable portion only. Exempt supply widened [17(3)]: includes RCM-outward, sale of land, sale of completed building, securities (value 1% of sale). EXCLUDES zero-

rated/exports. Bank/NBFC [17(4)]: option flat 50% of eligible ITC, irrevocable for FY (not on intra-entity supplies between own registrations).

Rules 42 & 43

Rule 42 (inputs/input services, monthly):

- $C2 = T - (T1 \text{ non-business} + T2 \text{ exempt} + T3 \text{ blocked}) - T4 \text{ (exclusive taxable)}$
- $D1 = C2 \times E/F$ (E=exempt T/O, F=total T/O); $D2 = 5\%$ of $C2$ (non-business)
- Eligible $C3 = C2 - D1 - D2$; add $D1+D2$ to output liability.
- Annual true-up [42(2)] on yearly E/F by 30 Nov; pay shortfall + interest, or reclaim excess.

Rule 43 (capital goods, spread over 60 months): $Tm = A \div 60$; $Te = Tm \times E/F$ reversed each month for 60 months. Exclusive exempt → nil; exclusive taxable → full. If exclusive later becomes common, A reduced 5% per quarter (or part) elapsed.

Sec 17(5) blocked credits

Clause	Blocked	Key exception (allowed)
(a)(aa) (ab)	Motor vehicles for passengers (seating ≤13 incl driver); vessels/aircraft; their ins/repairs	Further supply (dealer), passenger transport, driving/flying training, goods transport
(b)	Food & bev, outdoor catering, health services, cosmetic surgery, club/fitness, beauty, health/life insurance, rent-a-cab, LTC/leave travel to employees	Same inward=outward category, OR obligatory under law
(c)(d)	Works contract & construction of immovable property (own account, capitalised)	Plant & machinery; input to further works contract
(e)	Composition tax paid	—
(f)	Non-resident taxable person (except own imports)	—
(fa)	CSR activities	—
(g)	Personal consumption	—
(h)	Goods lost/stolen/destroyed/written off/gifts/free samples	—
(i)	Tax after fraud/detention/confiscation (74,129,130)	—

Plant & machinery [Explanation]: apparatus/equipment/machinery fixed to earth for outward supply; EXCLUDES land, buildings, civil structures, telecom towers, pipelines outside factory. (Note clause (d) drafted "plant or machinery" — Safari Retreats litigation; apply ICAI Explanation.)

Utilisation order — Sec 49, 49A, 49B, Rule 88A

1. IGST credit exhausted FIRST (49A): IGST → then CGST/SGST in any order & proportion (Rule 88A).
 2. CGST credit → CGST then IGST. NEVER SGST.
 3. SGST credit → SGST then IGST. NEVER CGST. "IGST = universal donor; CGST & SGST never cross." Steer leftover IGST to head with bigger cash shortfall.
- Rule 86B: taxable turnover > ₹50 lakh/month → ≥1% of output tax liability in cash (exceptions: large income-tax paid, refund received, etc.).
 - Rule 86A: officer blocks credit ledger on reason-to-believe fraud (temporary freeze, ≤1 year, not reversal).

Reversal & interest

Reverse whenever taxable-business-use premise breaks. Interest [Sec 50(3), Rule 88B]: 18% p.a. only if ITC wrongly availed AND utilised (utilised = ledger balance falls below wrong amount); mere unused availment reversed → no interest.

Sec 18 special-situation credit (Form ITC-01, within 30 days; 1-year invoice bar; CA/CMA cert if claim > ₹2 lakh)

Sub-clause	Trigger	Credit on
18(1)(a)	Becomes liable & registers ≤30 days	Inputs in stock only

Sub-clause	Trigger	Credit on
18(1)(b)	Voluntary registration	Inputs in stock only
18(1)(c)	Composition → regular	Inputs in stock AND capital goods (CG –5%/qtr)
18(1)(d)	Exempt → taxable	Inputs in stock AND capital goods
18(4)	Regular → composition / output wholly exempt	REVERSE stock & CG
18(3)	Sale/merger/transfer	Unutilised ITC transfers (Form ITC-02)
18(6)+Rule 44	Sale of used CG	Pay HIGHER of [ITC – 5%/qtr] or [tax on transaction value]; scrap moulds/dies/jigs/fixtures/refractory bricks → tax on value only

Asymmetry: CG credit on transition-IN only for 18(1)(c)/(d), never (a)/(b). On way OUT, both stock + CG reversed.

ISD (Sec 20) & Job-work (Sec 19)

ISD distributes common input-SERVICE credit to same-PAN branches by turnover (moving to mandatory; not goods/CG).
Job-work: principal retains ITC if goods return in 1 yr (inputs)/3 yrs (CG); moulds/dies/jigs/fixtures/tools outside limit.

Worked mini-example

Output: IGST 40,000, CGST 30,000, SGST 30,000. ITC: IGST 50,000, CGST 20,000, SGST 18,000.

- IGST credit 50,000: pays IGST 40,000, then 10,000 to CGST → CGST left 20,000.
- CGST credit 20,000 → CGST nil.
- SGST credit 18,000 vs SGST 30,000 → cash 12,000 (SGST). Net cash = ₹12,000. CGST credit cannot rescue SGST shortfall.

Sale of used CG: ITC 1,80,000, used 3 yr 2 mo = 13 quarters. Residual = $1,80,000 \times (100-65)\% = 63,000$; tax on value $4,00,000 \times 18\% = 72,000$. Pay higher = ₹72,000.

Exam traps & must-remember

- CGST never pays SGST (and vice-versa) — cash still due.
- IGST credit MUST be used before CGST/SGST (49A); leftover IGST split freely (88A) to save cash.
- Installation of P&M NOT blocked though building construction is; P&M excludes land/building/tower/outside pipeline.
- Motor-vehicle block only for passenger vehicles seating ≤ 13 ; trucks/buses > 13 /taxi/dealer/driving-school eligible.
- Depreciation bar hits tax component only, not asset base.
- 180-day rule: value+tax to supplier, proportionate on part-pay, not RCM/Schedule I.
- Sec 16(4) keyed to invoice's FY; debit-note credit runs on DN's own FY; re-availed credit no fresh bar.
- "Received" includes bill-to-ship-to; lots → last lot only.
- Exempt supply (17) includes RCM-out, land, completed building, securities; EXCLUDES exports — never park exports in exempt column of Rule 42.
- Blocked-credit exceptions are the exam: same-category inward=outward, obligatory-under-law.
- Goods lost/stolen/destroyed/gifted/free-samples → reverse 17(5)(h).
- CG transition-in credit only 18(1)(c)/(d).
- Interest on reversal only if availed AND utilised (18%, Rule 88B).
- Rule 86B forces $\geq 1\%$ cash if monthly taxable T/O $> ₹50$ lakh even with ample ITC.
- GSTR-2B (frozen), not 2A, governs 16(2)(aa)/Rule 36(4).

One-line recall

- Earn ITC via Sec 16 PRTR conditions within time; pay supplier ≤ 180 days or reverse.
- Sec 17: apportion for exempt/non-business (Rules 42/43); Sec 17(5) blocks end-consumption items.

- Rule 42: $C2 = T - (T1 + T2 + T3) - T4$; $D1 = C2 \cdot E/F$; $D2 = 5\%C2$; annual true-up by 30 Nov.
- Utilise IGST-first & universal; $CGST \leftrightarrow SGST$ wall absolute.
- Sale of used CG = higher of $[ITC - 5\%/qtr]$ or $[tax\ on\ value]$; scrap moulds etc. $\rightarrow$ tax on value.
- Interest 18% only if wrong credit availed AND utilised.

Registration — Secs 22–30, Rules 8–23

Snapshot

Registration is the turnstile of the credit chain: only a registered person can (a) collect GST and (b) claim ITC. Identity = GSTIN (15 chars, PAN-based, State-wise). Test order: Relief (Sec 23) → Compulsion (Sec 24) → Threshold (Sec 22) → Voluntary (25(3)).

Core concepts

- GSTIN = State code(2) + PAN(10) + entity code(1) + Z + checksum. PAN-based & State-wise; one PAN can hold many GSTINs; each GSTIN = distinct person.
- "Taxable person" [2(107)] = registered OR liable to be registered → liability precedes the certificate.
- Registration is State-wise because dual GST needs each State to police its own SGST.
- Distinct persons [25(4)/(5)]: same-PAN establishments in different States → stock transfer between them is a taxable supply.

Key provisions / rules

Aggregate turnover [Sec 2(6)]

All-India, same-PAN. INCLUDE: taxable + exempt (incl nil-rated & non-taxable) + exports + inter-State supplies. EXCLUDE: CGST/SGST/IGST/UTGST/cess; inward RCM supplies. Distinguish "turnover in State" [2(112)] used for composition levy. Threshold test always uses all-India aggregate.

Thresholds [Sec 22] — "exceeds" (exactly at limit ≠ liable)

Category (normal States)	Threshold p.a.
Supplier of GOODS exclusively (clean)	₹40 lakh
Services or goods+services	₹20 lakh
Special-category — services/mixed	₹10 lakh
Special-category — goods	₹20 lakh

₹40L needs ALL: exclusively goods; no inter-State; not Sec 24 person; not specified goods (ice cream, pan masala, tobacco, fly-ash bricks etc.); not voluntarily registered. Any service element → drops to ₹20L. Interest carve-out: interest/discount on deposits/loans/advances is IGNORED for the "exclusively goods" test → ₹40L survives despite bank interest income. Special-category registration list ≠ Article 279A list (a notified opted-in sub-set — verify basket for attempt).

Not liable [Sec 23] (overrides even Sec 22/24 for these)

- Exclusively exempt/nil-rated/non-taxable supplies.
- Agriculturist [2(7)]: individual/HUF cultivating personally — only produce out of cultivation.
- Wholly-RCM SUPPLIERS (they collect nothing).

Compulsory [Sec 24] — threshold irrelevant (from Rupee One)

Inter-State taxable supply of GOODS; casual taxable person (CTP); RCM RECIPIENT; Sec 9(5) ECO; non-resident (NRTP); TDS deductor (51); TCS/ECO (52); suppliers via TCS-ECO; ISD; agents; OIDAR from abroad. Carve-outs (relief): small inter-State supply of SERVICES ≤₹20L; small services via ECO ≤₹20L; notified handicraft goods ≤₹20L (₹10L special) with PAN + e-way bill. RCM trap: wholly-RCM SUPPLIER → Sec 23 (relieved); RCM RECIPIENT → Sec 24 (compelled).

Special persons

	CTP	NRTP
Who	PAN in India, supplies where no fixed place	No fixed place/residence in India

	CTP	NRTP
PAN / form	PAN; REG-01	Usually no PAN; REG-09
ITC	Normal	NONE except own imports
Validity	90 days (+90)	90 days (+90)
Both: apply 5 days prior; advance deposit of estimated tax → cash ledger; extension via REG-11 with fresh deposit; excess refundable only after all returns filed.		
Voluntary [25(3)]: all provisions apply; cancellable if no business in 6 months.		

Procedure & timelines [Sec 25, Rules 8–11]

Apply within 30 days of becoming liable (CTP/NRTP: 5 days prior). REG-01 Part A (PAN/mobile/email OTP → TRN) → Part B (details/docs, DSC/EVC) → REG-02 ack → Aadhaar authentication → approve. Deficiency: REG-03 notice → reply REG-04 (7 working days) → reject REG-05. Deemed approval on officer inaction. Certificate REG-06 with GSTIN. Deemed-approval clock:

Situation	Window
Aadhaar authenticated, no risk	7 working days
Aadhaar not opted / failed	30 days (physical verification, report REG-30)
High-risk flagged	Extended, physical verification
Suo-motu temp registration by officer = REG-12 (apply properly in 90 days).	
Effective date: applied ≤30 days → from date of liability (ITC on opening stock allowed); applied late → from date of grant (gap ITC lost, gap output tax still due + interest).	

Amendment [Sec 28, Rule 19] — intimate REG-14 within 15 days

- Core (legal name w/o PAN change, principal/additional place, partners/directors/karta) → officer approves REG-15 within 15 working days (else deemed).
- Non-core → auto on portal.
- PAN-changing constitution change → FRESH registration, not amendment.

Cancellation [Sec 29, Rules 20–22]

Voluntary (REG-16) or suo-motu (fraud, non-filing, no business in 6 months (voluntary registrant), bill-trading). SCN REG-17 → reply REG-18 → order REG-19 (or drop REG-20). Sec 29(5) clawback: pay HIGHER of ITC on inputs (stock + finished/semi-finished) + capital goods vs output tax on such goods. CG = higher of [ITC – 5%/qtr of use] or [tax on transaction value]. Inputs = actual ITC on stock. Suspension [Rule 21A] pending cancellation — no taxable supply/invoice. Past dues survive [29(3)]. Back-dated cancellation can strip recipient's ITC. File Final Return GSTR-10 within 3 months.

Revocation [Sec 30, Rule 23]

Only vs officer (suo-motu) cancellation. File all pending returns + pay all dues first. Apply REG-21 within 30 days (extendable by officer then Commissioner — verify) → order REG-22 (or reject REG-23/reply REG-24). Keeps same GSTIN + history.

Worked mini-example

Mehta Traders (Maharashtra, goods-only, clean): taxable ₹28L + exempt ₹9L + nil-rated ₹4L = ₹41L aggregate (RCM ₹1.5L excluded). ₹41L > ₹40L → registration required. (Dropping ₹13L exempt/nil wrongly gives ₹28L → wrong answer.)

Cancellation clawback: inputs ITC 1,20,000 + finished-goods ITC 80,000 = 2,00,000. Machine 13 months = 5 quarters → ITC 3,00,000 × 75% = 2,25,000 vs tax on value 1,90,000 → higher 2,25,000. Total = ₹4,25,000; file GSTR-10 in 3 months.

Exam traps & must-remember

- Exempt + nil-rated COUNT for threshold (commonest error); RCM inward EXCLUDED.
- ₹40L is goods-only-and-clean; any service → ₹20L; special-category → ₹10L.
- Sec 24 overrides threshold — one ₹50,000 inter-State GOODS supply forces registration on ₹19L firm; inter-State SERVICES ≤ ₹20L is carved out.
- Late application → registration from grant date → gap ITC lost, gap output tax still due.
- Cancellation: pay back ITC on stock AND CG (higher-of on CG); file GSTR-10.
- Revocation only vs officer cancellation, after curing all defaults.
- Core amendment inaction 15 working days → deemed approved; PAN change → fresh registration.
- Deemed-approval clock conditional on Aadhaar: no Aadhaar → 30 days, not 7.
- NRTP: REG-09, usually no PAN, no ITC (except own imports); CTP uses PAN, claims ITC.
- Bank interest ignored in "exclusively goods" test (keeps ₹40L); real supplied service breaks it.
- Cancellation ≠ clean exit: past dues survive [29(3)]; retrospective cancellation strips recipient ITC.
- "Exceeds" — exactly ₹40,00,000 does NOT trigger.

One-line recall

- Only registered persons collect GST and claim ITC; liability precedes the certificate.
- Aggregate turnover = all outward supplies (incl exempt) all-India same PAN, minus taxes & RCM inward.
- Thresholds 40/20/10; services always ₹20L; Sec 24 overrides threshold, Sec 23 relieves.
- Apply ≤30 days → effective from liability date; late → from grant (gap ITC lost).
- Cancellation clawback: ITC on stock + CG (CG higher-of); revocation only vs officer cancellation.
- Deemed approval = 7 wd if Aadhaar authenticated, else 30 days.

Tax Invoice, Credit & Debit Notes — Secs 31–34, Rules 46–55A

Snapshot

GST runs on a chain of documents, not trust. The tax invoice is the pivot: simultaneously the supplier's output-tax evidence AND the recipient's sole basis for ITC. Other documents are substitutes (bill of supply, vouchers, challan), correctors (credit/debit notes), or authenticators (e-invoicing). Three-question filter for "which document?": (1) supply or just money/movement? (2) taxable in this supplier's hands? (3) who charges — supplier or RCM recipient?

Core concepts

- One document, two mirror consequences: fixes supplier's output tax + authorises buyer's ITC.
- Match document to truth of event; wrong document = false claim.
- Never erase — always link & reverse (credit/debit notes carry original invoice reference).
- Document is not the tax but fixes it: invoice date is usually the earliest time-of-supply trigger.
- Supplier issues everything (including credit/debit notes). Sole exception: RCM self-invoice from unregistered supplier.

Key provisions / rules

Tax invoice — Sec 31 + Rule 46 (issue time limits)

Supply	Time limit
Goods (movement)	Before/at REMOVAL [31(1)(a)]
Goods (no movement)	Before/at delivery/making available
Services	Within 30 days of supply (45 days banks/insurers/NBFCs) [31(2)+Rule 47]
Continuous supply of goods	On/before each statement/payment [31(4)]
Continuous supply of services	By due date of payment / at receipt / on event [31(5)]
Cessation of continuous service	At time supply ceases [31(6)]
Sale-or-return (approval)	Earlier of supply or 6 months from removal [31(7)]

Continuous supply [2(32)/(33)] = recurrent under contract > 3 months with periodic payment. "Removal" [2(96)] = dispatch by supplier OR collection by recipient (ex-works truck triggers invoice).

Rule 46 particulars (hook WHO-WHAT-HOW MUCH-WHERE-SIGNED): supplier GSTIN; consecutive serial (≤ 16 chars, unique/FY); date; recipient GSTIN; unregistered & value > ₹50,000 → name/address/State; HSN/SAC; description; quantity; total value; taxable value (post-Sec 15 discount); rate (each head); tax amount (each head); place of supply + State; delivery address if different; RCM flag; signature. Plus e-invoice QR/IRN; export/SEZ endorsement.

Manner of issue [Rule 48]: Goods → TRIPLICATE (Recipient/Transporter/Supplier); Services → DUPLICATE (Recipient/Supplier). HSN digits: turnover $\leq$ ₹5cr → 4 digits; > ₹5cr → 6 digits (B2B). Verify slabs. Small value < ₹200: consolidated day-end invoice IF recipient unregistered AND doesn't require invoice (both). Revised invoice [31(3)(a)+Rule 53]: between effective date of registration & grant of certificate; mark "Revised Invoice", cross-reference original; consolidated for unregistered (State-wise), separate for each registered recipient.

Bill of supply — Sec 31(3)(c) + Rule 49

By composition dealer (legend "composition taxable person, not eligible to collect tax on supplies") & exempt supplier. NO tax shown. Composition legend applies to ALL their supplies; a normal dealer uses bill of supply only for exempt lines (or invoice-cum-bill of supply, Rule 46A).

Vouchers — Sec 31(3)(d)–(g)

Document	When	By	Section
Receipt voucher	Advance received	Supplier	31(3)(d)+Rule 50
Refund voucher	Advance refunded, no invoice ever issued	Supplier	31(3)(e)+Rule 51
Payment voucher	RCM payment to supplier (whether registered or not)	Recipient	31(3)(g)+Rule 52
Self-invoice	RCM from UNREGISTERED supplier	Recipient	31(3)(f)
If rate/place unknown at advance: treat rate 18%, supply inter-State. Consolidated month-end self-invoice allowed.			
RCM matrix: unregistered supplier → self-invoice YES + payment voucher YES; registered supplier → self-invoice NO + payment voucher YES.			

Delivery challan — Rule 55

Movement with no supply/invoice: quantity unknown at removal, job work, inter-branch/stock transfer, exhibition, SKD/CKD. Triplicate (consignee/transporter/consignor). Rule 55(5) SKD/lots: complete invoice before FIRST consignment, delivery challan per subsequent consignment (+certified copy of invoice), ORIGINAL invoice travels with LAST consignment.

Credit & Debit Notes — Sec 34 (always by SUPPLIER)

Credit note [34(1)/(2)] — invoice OVER-stated: over-billing, goods returned, deficient, post-supply discount (Sec 15(3)(b)). Reduces output tax ONLY IF recipient correspondingly reduces ITC (symmetry) AND no unjust enrichment (for non-ITC recipients, tax not passed on). Declare by 30 Nov following FY of original supply OR annual return date, whichever earlier. After deadline → commercial credit note only, no tax reduction. Debit note [34(3)/(4)] — invoice UNDER-stated. Increases output tax. NO time limit to issue. Includes supplementary invoice. Recipient's ITC clock runs from debit note's own FY (Sec 16(4)). Consolidated credit/debit note against multiple invoices allowed (since 2019). Commercial/financial credit note: if Sec 15(3)(b) not met or deadline passed → no GST reduction, no ITC reversal, supplier bears GST. Contents [Rule 53]: supplier details, serial, date, corresponding invoice no(s), taxable value, tax adjusted, legend "Credit Note"/"Debit Note".

E-invoicing — Rule 48(4)

Own-system JSON (INV-01) → upload to IRP → IRP returns IRN (64-char hash) + signed QR. Only then a valid tax invoice; no IRN where required → invalid → recipient loses ITC. Applies to B2B + exports + credit/debit notes where aggregate turnover > ₹5cr in ANY FY from 2017-18 (verify). B2C excluded (large taxpayers show dynamic QR — separate, no IRN). Exempt: banks/NBFCs, insurers, GTAs, passenger transport, cinema/multiplex, SEZ units (not developers), govt. Obligation, once triggered by a past FY, doesn't switch off if turnover falls.

Worked mini-example

S sells to registered R: value ₹1,00,000 + IGST ₹18,000 (5 May 2025). R returns ₹40,000 (defective) on 20 Jun. S issues credit note ₹40,000 + IGST ₹7,200; reduces output tax to ₹10,800 ONLY because R reverses ₹7,200 ITC. Declare by 30 Nov 2026. If return on 15 Dec 2026 (past deadline) → commercial credit note only, S bears ₹7,200.

Exam traps & must-remember

- Only the SUPPLIER issues credit/debit notes; a buyer's "credit note" has no GST effect.
- Credit note reduces tax only if recipient reverses ITC AND declared by 30 Nov deadline.
- Debit note: no issue-time-limit; recipient ITC clock from DN's FY.
- Goods invoice date = REMOVAL (incl collection by recipient), not delivery.
- Services 30 days; 45 only for banks/insurers/NBFCs.
- Composition/exempt → bill of supply (no tax).
- Post-supply discount reduces GST only if pre-agreed per Sec 15(3)(b) AND ITC reversed; else commercial CN.

- E-invoicing = authenticate via IRP, not generate on portal; no IRN → invalid → no ITC.
- One consolidated credit/debit note can cover many invoices.
- Goods → triplicate; services → duplicate.
- Refund voucher = advance never invoiced; credit note = invoiced then reversed.
- Self-invoice only when supplier unregistered; payment voucher for all RCM.
- Supplementary invoice = debit note in GST.
- SKD: one invoice before first consignment + challans for rest (Rule 55(5)), not multiple invoices.

One-line recall

- Tax invoice = supplier output-tax evidence + recipient's sole ITC basis.
- Goods invoice ≤ removal; services ≤ 30 (45) days; sale-or-return ≤ 6 months.
- Supplier issues all notes; credit note reduces tax only with symmetry + by 30 Nov; debit note no time limit.
- Run three-question filter (supply? taxable? who charges?) to pick the document.
- E-invoice IRN+QR for B2B >₹5cr; no IRN → no valid invoice → no ITC.
- Refund voucher ≠ credit note; self-invoice only for unregistered RCM supplier.

GST — Payment of Tax

Secs 49, 49A, 49B, 50, 51, 52 + Rules 85–88B, PMT forms. Verify TDS threshold (₹2.5L), rates (2%/1%), Rule 86B trigger (₹50L), interest rates (18%/24%) against ICAI material.

Snapshot

Self-assessment regime → three electronic ledgers. **Liability Register (PMT-01)** = what you owe; **Cash Ledger (PMT-05)** = money deposited (pays **anything**); **Credit Ledger (PMT-02)** = ITC (pays **output tax only**, never RCM/interest/penalty/fee). Utilisation follows fixed order; discharge follows oldest-first; TDS (Sec 51)/TCS (Sec 52) inject prepaid money into supplier's cash ledger; Rules 86A/86B are anti-abuse gates.

Core concepts

- Cash = real revenue; credit = bookkeeping offset — kept separate (keeps refunds honest, Centre-State settlement closed).
- "Output tax" (Sec 2(82)) **excludes RCM tax** → RCM must be paid in **cash**.
- IGST credit = universal solvent; CGST and SGST credit **never cross**.
- TDS/TCS credit lands in **cash** ledger (prepaid money, not ITC).

Key provisions / rules

Three ledgers

Ledger	Form	Sec	Pays
Cash	PMT-05	49(1),(3)	Anything — tax, interest, penalty, fee, other
Credit	PMT-02	49(2),(4)	Output tax ONLY
Liability	PMT-01	49(7)	(register of dues)

- Challan **PMT-06** (valid **15 days**; OTC ≤ ₹10,000/challan/tax period). CIN on payment. Cash ledger = 4 major heads × 5 minor heads grid.
- PMT-09** (Sec 49(10)/(11)): transfer within cash ledger between heads — NOT a refund, stays within cash. PMT-03 (re-credit rejected refund to credit ledger), PMT-04 (discrepancy), PMT-07 (debited but no CIN).

Utilisation order (Sec 49(5), 49A, 49B, Rule 88A)

- IGST credit → IGST liability fully.
- Balance IGST credit → CGST and/or SGST in **any order and proportion** (Rule 88A).
- Only after IGST credit = 0: CGST credit → CGST then IGST (never SGST).
- Only after IGST credit = 0: SGST credit → SGST then IGST (never CGST).

Credit ↓ / Tax →	IGST	CGST	SGST
IGST	1st	after IGST	after IGST
CGST	after IGST gone	1st	NEVER
SGST	after IGST gone	NEVER	1st

- Rule 86A** (block): Commissioner/officer ≥ Assistant Commissioner may disallow use of suspect fraudulent/ineligible credit; temporary (lapses **1 year**); restraint not levy, doesn't extinguish credit.
- Rule 86B** (1% cash floor): if taxable supply (excl. exempt/zero-rated) in a **month > ₹50 lakh** → discharge ≥1% of **output tax liability in CASH** (credit ≤ 99%). Exceptions: proprietor/MD/partner paid income tax >₹1L in each of last 2 FYs; received refund >₹1L (zero-rated/inverted duty) preceding FY; already paid >1% cumulative cash in current FY; govt dept/PSU/local authority/statutory body.

Order of discharge (Sec 49(8))

(1) Self-assessed tax + dues of **PREVIOUS** periods → (2) current period → (3) other amounts / Sec 73/74 demand. Within each level, credit clears only **tax**; interest/penalty/fee = cash.

Interest (Sec 50, Rule 88B)

Situation	Sec	Rate	Base
Delayed tax (return filed late)	50(1) proviso	18%	Net cash liability only (Rule 88B(1)), due date → payment
Short/not paid (proceedings / after 73-74)	50(1)	18%	Gross tax (Rule 88B(2))
ITC wrongly availed AND utilised	50(3)	24%	Wrongly-utilised ITC, utilisation → reversal (Rule 88B(3))

- Proviso (retrospective 1.7.2017): interest only on cash portion because ITC was already in exchequer's hands. Gross if return filed after 73/74 begins.
- Sec 50(3): interest only if wrong credit **availed AND utilised**; "utilised" = ledger balance falls **below** wrongly-availed amount. Reversed before dip = no interest. Interest can apply to a **part** only.

TDS — Sec 51 (Rule 66)

- Deductors: Central/State govt dept, local authority, govt agencies, notified persons (bodies with ≥51% govt participation, govt societies, PSUs).
- **2%** (1% CGST + 1% SGST / 2% IGST) where taxable value under a **contract exceeds ₹2,50,000** (excl. GST).
- No TDS: supplier & place of supply in State/UT **different** from recipient's registration State; on tax component; exempt/non-taxable supply; contract value ≤ ₹2,50,000.
- Deposit by **10th** next month; **GSTR-7**; certificate **GSTR-7A**. Lands in supplier's **cash ledger**. Late deposit 18% interest.

TCS — Sec 52 (Rule 67)

- Electronic Commerce Operator collecting consideration for sellers. **Not** where ECO liable under **Sec 9(5)**.
- **Up to 1%** (0.5% CGST + 0.5% SGST / 1% IGST) on **net value of taxable supplies** = aggregate taxable supplies (excl. Sec 9(5)) – supplies **returned**.
- Deposit by **10th**; **GSTR-8** + annual statement. Lands in supplier's **cash ledger**. Matching mechanism reconciles. Suppliers via ECO compulsorily registrable.

Worked mini-example

Rule 88A optimisation: Output CGST 1,00,000, SGST 1,00,000, IGST nil. ITC: IGST 1,00,000, CGST 20,000, SGST 90,000.

- **Optimal** — route IGST credit to weaker own-credit head (CGST): CGST = 20,000 own + 80,000 IGST → paid; SGST = 90,000 own + 10,000 IGST → paid. **Cash = ₹0**, ₹10,000 IGST c/f.
- **Suboptimal** (all IGST to CGST): CGST fully paid but ₹20,000 CGST credit stranded; SGST needs ₹10,000 cash. Costs ₹10,000 cash. Always route IGST balance to head with short own-credit.

Exam traps & must-remember

1. Credit ledger pays **output tax only** — interest/penalty/late fee/RCM = **CASH** (output tax excludes RCM).
2. Interest (late return) on **net cash**, not gross — but gross if after Sec 73/74.
3. Sec 50(3) 24% only if availed **AND utilised**; "utilised" = balance falls below wrong amount; part-only possible.
4. IGST credit exhausted first (Sec 49A); within it Rule 88A gives any order/proportion.
5. CGST ⇌ SGST **never** cross.
6. TDS threshold **per contract**, excl. GST, **exceeds ₹2.5L** (exactly ₹2.5L = no TDS); no TDS on State mismatch.
7. TCS on **net** value at ~1% (not 2%); not for Sec 9(5).
8. Order of discharge mandatory — can't pay current while previous open.
9. Rule 86B = 1% of **output tax liability**, triggered by taxable turnover >₹50L/**month** (not 1% of turnover).
10. PMT-09 = transfer within cash ledger; not a refund, not credit-ledger.
11. OTC cap ₹10,000/challan; PMT-06 valid 15 days.
12. Rule 86A = temporary restraint (≤1 yr), not a rate; ≠ Rule 86B.
13. TDS/TCS credit → **cash** ledger, not credit ledger.

One-line recall

- Cash pays anything; credit pays output tax only (never RCM/interest/penalty).
- Utilise IGST credit first fully; then CGST/SGST any order; CGST $\leftrightarrow$ SGST never cross.
- Discharge: previous dues $\rightarrow$ current $\rightarrow$ demands; credit clears tax only.
- Interest 18% net cash (late return) / gross (proceedings); 24% wrong ITC availed+utilised.
- TDS 2% $>\text{₹}2.5\text{L}$ contract (GSTR-7); TCS $\sim 1\%$ net value (GSTR-8) — both $\rightarrow$ supplier cash ledger, by 10th.
- Rule 86B: $>\text{₹}50\text{L}/\text{month} \rightarrow \geq 1\%$ output tax in cash; Rule 86A blocks suspect credit ≤ 1 yr.

GST — Returns

Secs 37–48 + Rules 59–68. Most amendment-prone area — verify all due dates, QRMP threshold, late-fee caps, interest rates and 3-year bars against ICAI material.

Snapshot

Self-assessed tax needs periodic returns to (a) capture liability in a ledger, and (b) **weld each buyer's credit to a specific seller's declaration** (anti-fake-ITC engine). Pipeline: Seller **GSTR-1** → system → Buyer **GSTR-2B** (static, 14th) → Buyer **GSTR-3B** (claim + pay) → **GSTR-9** (annual truth-up). GSTR-2/3 (two-sided matching) were scrapped for one-directional auto-population. Sec 16(2)(aa) = credit gate.

Core concepts

- Seller's outward statement = raw material of buyer's credit. Credit is **system-communicated**, not self-declared.
- Data flows **one way**; rules protect the pipeline's **direction** (16(2)(aa) blocks credit never entering) or **order** (sequential filing).
- No revised returns in GST — corrections only **prospectively** via amendment tables (protects data already fed to buyers).
- Two-speed: invoice-level for credit (GSTR-1), summary-level for cash (GSTR-3B).

Key provisions / rules

Section map

Sec 37 outward (GSTR-1); 38 communicated ITC (GSTR-2B); 39 returns (GSTR-3B); 40 first return; 44 annual (GSTR-9/9C); 45 final (GSTR-10); 46 defaulter notice (GSTR-3A); 47 late fee; 48 practitioners; 50 interest. **Sec 42/43/43A (old matching machinery) omitted.**

GSTR-1 (Sec 37, Rule 59) — invoice-level outward

- **B2B** invoice-by-invoice always (feeds buyer's 2B). **B2C Large** (inter-State, unregistered, value > ₹2,50,000 — verify) invoice-wise. **B2C Small** consolidated rate-wise/State-wise. Exports/SEZ separate (refunds). Credit/debit notes; amendment tables; nil/exempt/non-GST.
- Due: **11th** monthly / **13th** quarterly (QRMP). **IFF** — optional, B2B only, first two months, by 13th.
- **Sequential (Sec 37(4))**: can't file if any previous GSTR-1 pending. **Time-bar (37(5))**: not after **3 years** from due date.
- **GSTR-1A**: optional same-period seller amendment before filing 3B (≠ old defunct buyer-side GSTR-1A).

GSTR-2B (Sec 38, Rule 60) — auto-drafted, STATIC

- Generated **14th** from all suppliers' GSTR-1/IFF + GSTR-5/6 + ICEGATE imports. Frozen once generated.

	GSTR-2A	GSTR-2B
Nature	Dynamic	Static (frozen 14th)
Basis for ITC	No	Yes (Sec 16(2)(aa))
Late supplier invoice	retro to original period	period supplier actually filed

- 2B flags eligible/ineligible (Sec 17(5) blocked stay blocked — presence necessary not sufficient).
- **Sec 16(2)(aa)** gate: ITC only if supplier furnished in GSTR-1 AND communicated (appears in 2B).
- Amended **Sec 38**: system can flag credit "restricted" (new/defaulting/risky suppliers) — gate tightening from "did supplier file" to "is supplier trustworthy".

GSTR-3B (Sec 39, Rule 61) — summary + payment

- Output tax – eligible ITC (capped at 2B) = net payable → credit ledger then cash ledger.
- **Furnished only when tax actually paid** (submitting figures without payment ≠ filed).

- Due: **20th** monthly / **22nd or 24th** QRMP (State-staggered).
- **Sequential (Sec 39(10))**: can't file 3B unless same-period GSTR-1 filed; can't skip prior 3B. **Time-bar (39(11))**: 3 years.

QRMP (turnover ≤ ₹5 crore preceding FY — verify)

- Quarterly **return**, monthly **payment** via **PMT-06**. **FSM**: 35% of last quarter's net cash (or 100% of last month if previously monthly) — **interest-free safe harbour** if paid on time AND quarterly 3B filed on time. **SAM**: actual liability. Nil month → no challan.
- Opt-in **GSTIN-wise, continuous**. Crossing ₹5cr mid-year → monthly from next quarter. IFF cap historically ₹50L/month (verify).

Other returns

CMP-08 (composition pay, quarterly 18th); GSTR-4 (composition annual, 30 June); GSTR-5 (NR, 13th); GSTR-5A (OIDAR); GSTR-6 (ISD, 13th); **GSTR-7 (TDS, 10th)**; **GSTR-8 (TCS, 10th)**; GSTR-9/9C (annual, 31 Dec); GSTR-10 (final, within 3 months); GSTR-11 (UIN refund). First return (Sec 40) = first GSTR-1/3B covering pre-registration gap (not a separate form).

GSTR-9/9C (Sec 44) — annual truth-up

- GSTR-9 optional ≤ ₹2 cr; GSTR-9C (**self-certified** recon vs audited accounts) above ~₹5 cr. Old mandatory CA/GST audit (Sec 35(5)) **omitted**. Composition → GSTR-9A (waived, verify). Additional liability → **DRC-03; cannot claim fresh ITC** via GSTR-9. Due 31 Dec; 3-year bar.

Late fee (Sec 47) & interest (Sec 50)

- Late fee: **₹100 CGST + ₹100 SGST = ₹200/day** (nil return ₹10+₹10 = ₹20/day), turnover-slabbed cap. Per-day because harm grows with delay.
- Interest: **50(1) = 18%** on net **cash** tax (proviso, if return filed); **50(3) = 24%** on wrong ITC **availed AND utilised** (reversed-before-use = no interest). Both late fee and interest from **cash ledger only**.

Default → stick

Non-filing → **GSTR-3A** notice (Sec 46, **15 days**) → **best-judgement assessment (Sec 62)** → **withdrawn if valid return filed within 30 days** (late fee + interest survive).

Worked mini-example

Beta buys April: from Alpha (monthly, files GSTR-1 on 10 May) ₹1,80,000 IGST; from Gamma (QRMP, no IFF, files 13 July) ₹72,000 IGST.

- April GSTR-2B (generated 14 May): Alpha's ₹1,80,000 appears; Gamma's ₹72,000 does NOT.
- Sec 16(2)(aa): Beta's April ITC = **₹1,80,000** only. Gamma's ₹72,000 → claimable in **July** 2B (subject to Sec 16(4)).
- If Gamma used IFF by 13 May → both appear → April ITC = ₹2,52,000.

Exam traps & must-remember

1. GSTR-2A (dynamic) ≠ GSTR-2B (static, basis for ITC).
2. Credit ledger pays tax only — interest/late fee/penalty from **cash**.
3. Interest 50(1) on **net cash**, not gross.
4. Sequential filing — GSTR-1 before 3B; no skipping prior periods.
5. QRMP = quarterly return, **monthly payment** (not deferred tax).
6. IFF optional, B2B only, first two months, by 13th.
7. Nil return still needs filing (blocks sequential filing).
8. 3-year filing bar (37(5)/39(11)/44) ≠ Sec 16(4) ITC time limit.
9. Late fee is CGST + SGST both = ₹200/day (candidates halve it).
10. First return (Sec 40) covers pre-registration gap; not a separate form.
11. Late-filed supplier invoice → buyer's **later** month 2B (static).
12. Sec 50(3) needs availed **AND utilised**; reversed before use = no interest.

13. GSTR-7 (TDS, govt on payments) vs GSTR-8 (TCS, ECO on platform supplies) — both 10th, both credit third party's **cash** ledger.
14. 9C now **self-certified**; old mandatory GST audit omitted.
15. Cannot claim missed ITC first time in GSTR-9.
16. GSTR-3B "furnished" only on payment.
17. QRMP opt-in GSTIN-wise and continuous.

One-line recall

- Pipeline: GSTR-1 (11th) → GSTR-2B (static, 14th) → GSTR-3B (20th, claim+pay) → GSTR-9 (31 Dec).
- Sec 16(2)(aa): no ITC unless invoice in your GSTR-2B (seller filed GSTR-1).
- Sequential: GSTR-1 before 3B; no leapfrogging; 3-year bar; no revised returns (amend prospectively).
- QRMP ≤ ₹5cr: quarterly return, monthly PMT-06 (FSM 35% = interest-free safe harbour), optional IFF.
- Interest 18% net cash / 24% wrong ITC availed+utilised; late fee ₹200/day; credit ledger never pays these.
- Default → GSTR-3A (15 days) → Sec 62 best-judgement (withdrawn if filed within 30 days).